

What's News

Business & Finance

◆ **Stock investors braced** for a bumpy autumn as they anticipate a Fed decision on interest rates and face a persistent inflation threat as fighting in the Middle East drags on. **A1**

◆ **Americans without** college degrees are experiencing one of the best job markets in years, while young graduates are finding it harder to nail an offer. **A1**

◆ **Fewer U.S. workers** are leaving their employers even as the labor market adds about 80,000 new jobs a month, settling into a “low hire, low fire” pattern. **A2**

◆ **Jaguar Land Rover** will cut 4,000 jobs as the automaker contends with Trump’s tariffs, a sales collapse in China and big investments in electric vehicles. **B1**

◆ **Robinhood’s role** as underwriter to Oura’s recent initial public offering raises the retail brokerage’s profile—and clout—among its own investors. **B1**

◆ **Florida-based EverBank** Financial reached a deal to pursue a reverse merger with WaFd, a smaller bank in the Pacific Northwest. **B3**

◆ **Antonio Gracias** and Steve Jurvetson, directors at SpaceX, spent millions of dollars on efforts to mainstream psychedelic drugs, including MDMA, the drug commonly known as ecstasy. **B4**

◆ **Money managers** are turning to AI agents to help them manage their portfolios in a development that executives predict will reshape the world of retail investing. **B5**

Worldwide

◆ **Germany’s embattled** leader faces an uphill battle to save his government after a historic far-right election victory that could reshape the country’s political system. **A1**

◆ **Iran’s oil export revenue** is drying up as a U.S. naval blockade strangles shipments from the Persian Gulf and offshore stockpiles feeding China dwindle. **A1**

◆ **Belgium’s revelation** that it had arrested a Chinese citizen on suspicion of stealing microchip technology raised European anxiety about Beijing’s quest for industrial secrets. **A10**

◆ **Greenland is cashing** in on Trump’s threats and talk of dealmaking by using its position as a strategic Arctic linchpin to draw investments from European allies. **A9**

◆ **Trump on social media** called for changing New Mexico’s name to “New America,” his most ambitious attempt yet to remake the North American map. **A3**

◆ **Trump’s super PAC** entered the Senate race in Texas with its largest outlay of the current political cycle to back Republican Ken Paxton and oppose Democrat James Talarico. **A4**

◆ **Hunter Biden** was set to launch a meme coin named for his own laptop computer, whose contents became the subject of a political outcry starting in 2020. **A4**

◆ **The Kang Kon**, a North Korean warship that partially capsized at its initial launch in 2025, was commissioned into Pyongyang’s navy after a refit. **A10**

JOURNAL REPORT

Investing Monthly: You can gift more tax-free than you think. **R1-6**

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Speed, Weather to Be Probed in Cargo Plane Crash



FIERY LANDING: An Amazon cargo plane sat at Miami International Airport on Monday after it overshot the runway the day before and crashed into vehicles, killing at least five. The craft’s speed and stormy weather will be part of the investigation. **A5**

Big Win for German Far Right Puts Chancellor in Tight Spot

After state-election loss, Merz faces pressure to weaken firewall against AfD

By BERTRAND BENOIT

BERLIN—Germany’s embattled leader faces an uphill battle to save his government after a historic far-right victory on Sunday that could reshape the country’s political system. Chancellor Friedrich Merz sounded both humbled and defiant when he addressed his Christian Democratic Union

party’s defeat on Monday by the Alternative for Germany, or AfD, in the eastern state of Saxony-Anhalt. “This is the worst defeat the CDU has experienced in years, even decades,” he said. “It will of course have consequences.” But he signaled he would stay the course on some of his signature policies. He pledged to deliver on a package of measures aimed at boosting Germany’s struggling economy, and he said his government would be unwavering in its support for Ukraine. AfD has criticized Germany’s support for Kyiv and favors

stronger ties with Russia. “Giving up is no option,” Merz said. The election defeat and sagging poll numbers have put Merz in a corner that will leave him with difficult choices, such as potentially ending the unspoken rule among Germany’s establishment parties to ostracize the far right. At stake is whether Europe’s largest economy and the region’s emerging conventional military superpower will succumb to the political instability that is plaguing its neighbors from the U.K. to France. The AfD scored 43.8% of

votes in Sunday’s election in Saxony-Anhalt, its best result in any state since its creation. Merz’s CDU saw its portion of the vote more than halve to 17.2%, worse than any poll had predicted. Despite its victory, the AfD finished just short of a majority of seats that would have allowed it to form a state government. Its leaders said on Monday they would approach other parties and individual state lawmakers to persuade them to back an AfD-led government. So far, no party has said it *Please turn to page A8*

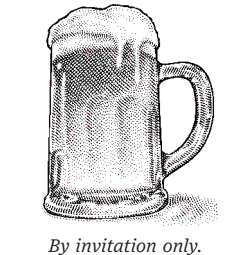
Legal Fight Is Brewing At Oktoberfest

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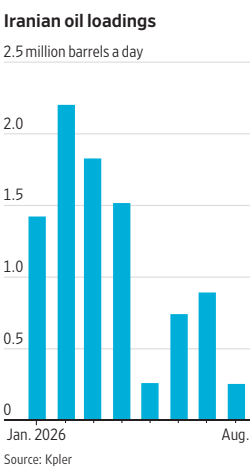
The fun goes flat in a dispute over who can sell suds

By PATIENCE HAGGIN

MUNICH—Beer isn’t just a drink here. It’s tradition and identity. And, for some, grounds for an antitrust war. For generations, the same beer makers have poured every drop at Oktoberfest. Organizers say it’s all about maintaining the purity of the Bavarian bacchanal. Critics call it a straight-up cartel. A showdown is brewing over exactly who can sell suds, run tents and otherwise participate in the party. “It’s the hardest battle you can fight in Munich,” said Steffen Marx, who has dreamed of selling his Giesinger Bräu at Oktoberfest since founding the brewery in a garage in 2006. He has gathered 21,000 of 35,000 signatures needed to call a citywide referendum that could get his beer inside the gates next year. Each fall, Munich is taken over by Oktoberfest. This year, 6.7 million revelers are expected to descend upon the city beginning Sept. 19 to guz- *Please turn to page A13*



By invitation only.



Iran’s Oil Revenue Dwindles, Worsening Economic Crisis

By GEORGI KANTCHEV AND SUMMER SAID

DUBAI—Iran’s oil-export revenue is drying up as a U.S. naval blockade strangles shipments from the Persian Gulf and offshore stockpiles feeding China dwindle, putting more pressure on Tehran’s battered economy. No Iranian crude has crossed the blockade since it was reinstated by the U.S.

Navy in mid-July, according to ship tracker Kpler. Iran is still loading small amounts of oil onto tankers, but those barrels remain trapped inside the Gulf. Meanwhile, the volume of Iranian crude already on vessels outside the blockade—a trove that is still generating revenue for Tehran—has fallen to around 29 million barrels from around 90 million barrels in mid-July and could run out in October, according to Kpler.

Gulf oil officials, who run checks to see what their customers are buying before setting the monthly price for their oil, said they have found few Iranian cargoes changing hands. Six months into the war, the oil squeeze is depriving Tehran of its main source of foreign currency as the value *Please turn to page A6*

◆ **Iran has a financial lifeline:** U.S. banks..... **A6**

Young Israeli Nomads Defy Law and Order

Squatters use violence to push Palestinians from the West Bank in the name of God

By FELIZ SOLOMON AND SHOSHANNA SOLOMON

Loui Ridi keeps watch from his balcony on a pair of dusty camper vans parked a stone’s throw from his yard, bracing for the next attack. The vans belong to young Israeli squatters who play their own waiting

game, smoking cigarettes and milling about. Their very presence is a scare tactic in a long-running campaign of violence and intimidation by extremists seeking to drive Palestinians out of the West Bank. “I am looking at them as we speak,” Ridi said by phone from his balcony. In spring, a security camera at his house

recorded masked and hooded figures who scaled his garden wall and used a ladder to disable the camera. Ridi, a 46-year-old U.S. citizen, left his Ohio home in August to defend his property in the village of Qusra, where he grew up. By the time he arrived, the Israeli military had torn down the *Please turn to page A11*

Job Market Looks Good If You Never Got Degree

By THEO FRANCIS AND RAY A. SMITH

For most U.S. workers—those without college degrees, that is—it is one of the best job markets in decades. In fact, the unemployment rate for workers ages 22 to 34 who never graduated from college has rarely been lower in the past two decades, according to a new analysis by labor-market think tank

Burning Glass Institute. What is just as remarkable is how different that is from the experience of job seekers who did graduate from college, said Gad Levanon, Burning Glass’s chief economist. For most of the past two decades, the two groups largely tracked each other, in good *Please turn to page A2*

◆ **Workers hang on tightly to their jobs:**..... **A2**

INSIDE



U.S. NEWS
Lower Manhattan is roaring back 25 years after the Sept. 11 attacks. **A3**

JASON GAY
A second chance saved the Michigan Wolverines in their football opener. **A18**

U.S. NEWS

Workers Hang on Tight to Their Jobs

Americans eschew job-hopping in a 'low hire, low fire' jobs atmosphere

By Rachel Wolfe
And Justin Lahart

American workers are staying put. Workers across all sectors are switching jobs about as infrequently as they were in the years when the job market was still clawing its way back from the 2008-09 financial crisis. The “separation” rate, which includes both people who are laid off and those who leave their jobs voluntarily, has been stuck around its lowest levels since the years after the financial crisis. The flip side of that, the hiring rate, is similarly low.

“It’s like a hen laying on its eggs,” said Burning Glass Institute labor economist Guy Berger. “People feel like there are not great outside options.”

The country is adding around 80,000 new jobs a month, boosted by Friday’s jobs report, with 162,000 jobs added in August. That is a big improvement from the 10,000 jobs a month added on average in 2025, but not as robust as 2024 when the country added 122,000 jobs a month.

The market has settled into a “low hire, low fire” atmosphere. Workers who have managed to secure jobs are hanging onto them, especially in white-collar industries where the market isn’t nearly as dynamic as it is in blue-collar sectors.

When so few people leave, few new roles open up for anyone else. University of Michigan labor economist Betsey Stevenson likens it to a crowded restaurant where every table filled up 10 minutes ago. It doesn’t matter how many tables there are, or how long you’ve been waiting: Nobody gets a table until someone gets up. So, seeing how long the line is, nobody gives up their seat.

That is especially true if you really like your table. In years past, workers were much more willing to advance their careers and pay by hopping from one company to another, chasing



Kim Pohas doesn’t want to test the job market; Marieme Barry feels challenged and supported at her job at a data analytics firm.



opportunity with less worry about stability.

People who used to view staying at a company as a lack of ambition now see it as the opposite.

Kim Pohas saw a role she would have once considered her dream job posted last month and didn’t even apply.

The 42-year-old technical writer in Irvine, Calif., knew she was qualified: Recruiters court her on LinkedIn all the time, she said. But she won’t gamble her current role—where she loves her boss, feels valued and has four years of seniority—especially when she keeps seeing friends surface in her feed, freshly laid off.

“I sound like the boomers who are like, ‘Stay for 20 years and get the gold watch and the vacation to Hawaii,’” Pohas said. “But maybe they knew what they were talking about.”

Rather than test the market, Pohas has spent the past year making herself harder to replace. She taught herself how to use AI coding tools on her own time, then helped her company rebuild a piece of their software—work well beyond her job description. The bet paid off. She got a promotion that takes effect next month.

More than a third of the jobs gained this year have come from the healthcare sector. The construction sector, a beneficiary of the data-center

Share of people seeking work who say it is a good time to find a quality job



Note: Includes both employed and unemployed job seekers
Source: Gallup

building boom, has also seen gains. Manufacturing, which lost jobs last year amid worries over tariffs, has bounced back. The overall unemployment rate remains low at 4.1%.

White-collar workers can have a tough time breaking into the market. That is because there tends to be less job switching in jobs held by people with higher levels of education—the seats at the table don’t empty as frequently, in effect. This can be especially true for veteran workers looking for more senior positions.

Nearly two million Americans have been locked out of the market for at least half a year. The long-term unemployed—people who have been

unsuccessfully seeking work for 27 weeks or more—accounted for 27% of unemployed people in August. That was markedly higher than two years earlier, when it was closer to 21%. Among employed and unemployed people seeking work in August, a Gallup poll found that only 33% considered it a good time to find a quality job.

Trex Desai knows what the wait looks like. Seeking health insurance, and colleagues, while working as an independent consultant, Desai sent out more than 200 applications and spent nine months interviewing before landing at a financial technology company five months ago.

“It was absolutely horri-

ble,” said Desai, who is 38 and lives in Brooklyn with his wife and two children.

He has no desire to go through the experience again anytime in the near—or distant—future, in large part because he’s thrilled with where he landed. He’s investing in relationships across the company, proactively offering to help his co-workers rather than waiting for them to come to him and staying on top of new developments in the industry to bring back to his firm. “I’m doubling down,” he said.

The lack of white-collar mobility falls especially hard on the young, who make up a big share of job seekers and have long relied on hopping between companies to raise their pay.

Marieme Barry, 25, is one of the ones who made it in—and has no intention of testing her luck. The news analyst at a data analytics firm likes her job, where she feels challenged and supported, works from home and has the vacation days to feed her love of travel. Sure, she’d like to make more money one day. But she considers herself among the best-off of her friends, many of whom searched for months and settled for whatever they could find. She doesn’t think a better role is waiting—especially right now. “There’s a lot to be said for staying where you are,” Barry said. “All things in due time.”

No Degree, Good Job Prospects

Continued from Page One economic times and bad.

Now, though, just as job hunters without degrees are having one of their best runs, those with college educations are having one of their worst. And those with advanced degrees or in fields such as science and technology are having an even harder time than usual.

That divergence of fortunes is a departure from what the U.S. economy has seen for years, and much of it boils down to supply and demand: There aren’t enough skilled tradespeople to go around, for example, as older generations retire and immigration drops.

Meanwhile, more Americans have college degrees than ever, just as artificial intelligence is doing more of the entry-level work for which companies typically hire young graduates.

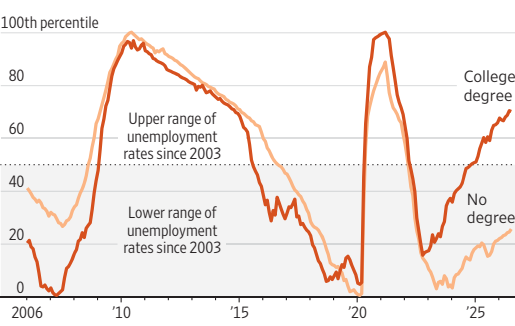
“There’s a rapidly growing supply of people with a bachelor’s degree, and you have a rapid decline of people who don’t,” Levanon says. “I don’t think it’s a temporary thing.”

A wrinkle: On an absolute scale, it is still easier to find a job with a college degree. The unemployment rate for degree-holders in their prime working years—ages 25 to 54—averaged 2.7% for the 12 months ending in July. That is well below the 3.6% rate for workers with just some college education, and 4.7% for people with a high-school diploma only.

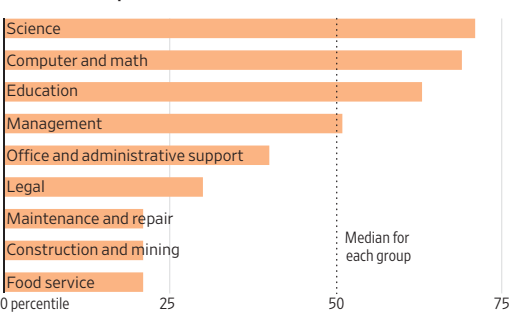
So, to gauge how the job market has shifted for each cohort, Levanon compared current unemployment rates for the different groups with their own range of unemployment rates since 2003. The analysis included data through July.

By that measure, the job market looks much better, his-

Unemployment rates for workers ages 22-34 by education level, with each group ranked against its own unemployment history*



July unemployment ranked against unemployment records for select occupations*



*12-month moving average unemployment rate for ages 16+ by education level, comparing each group with its own unemployment history since 2003; October 2025 data interpolated.
†Data as of July 2026 ‡Includes those with higher degrees.
Sources: Burning Glass Institute (unemployment rates by education level, occupation groups and select occupations); Brookings Institution (age groups)

torically speaking, for blue-collar workers, including those in construction and on manufacturing lines, and manual-service workers—think security guards and many restaurant and retail employees.

The more physical and in-person the work is, the lower the unemployment tends to be by that occupation’s own historical standards. Friday’s booming jobs report reinforced the trend: Food services and drinking places added 59,000 jobs in August, more than a third of all 162,000 jobs added to the U.S. economy last month.

By contrast, college-educated workers ages 22 to 34 years old have seen worse unemployment in the past two decades only during the pandemic and the economy’s slow rebound from the 2007-09 recession.

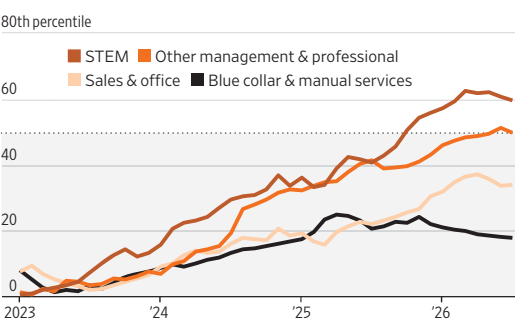
Zachary Blackmon tried to land a full-time job offer long before getting a bachelor’s degree in international business and operations management from the University of Cincinnati in May. Seventy applications later, he had gotten just three interviews.

With no job in sight by January, he decided to speed up plans to go to business school.

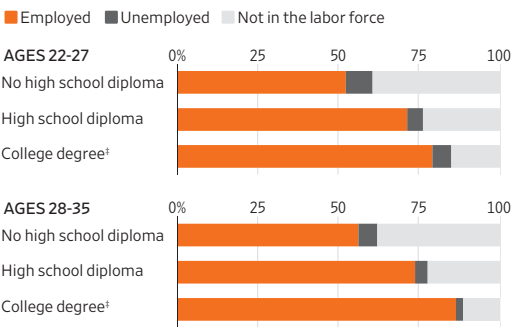
“Students like me who have done everything they’re supposed to do, we’re still facing challenges,” said Blackmon, who is now enrolled at the University of Dayton. “I kind of am hoping that the M.B.A. will open the door more concretely.”

Not everyone is employed or looking for work, which is what unemployment figures capture. Millions of Americans aren’t working because of ill-

Jobless rates for select occupation groups ranked against their own unemployment record*



Share of population by employment status and age group†



*12-month moving average unemployment rate for ages 16+ by education level, comparing each group with its own unemployment history since 2003; October 2025 data interpolated.
†Data as of July 2026 ‡Includes those with higher degrees.
Sources: Burning Glass Institute (unemployment rates by education level, occupation groups and select occupations); Brookings Institution (age groups)



Zachary Blackmon opted to pursue an M.B.A.

ness or disability, while in school or because they have given up job-hunting after long unemployment.

Especially among younger workers, those with less education are more likely to be missing from the labor force. That includes nearly a quarter of those with a high-school diploma, compared with about one in seven for those with a college or advanced degree.

Levanon said it is an open question whether the drought in entry-level professional jobs continues, and how much of a dent AI will make in blue-collar and service jobs with advancements in robotics and other automation.

Meanwhile, he has advice for recent college graduates—a group including one of his own children: Broaden your horizons, whether geographically or otherwise.

“It may be very hard to find a job at top companies, but it’s easier if you’re willing to compromise,” he said.

U.S. WATCH

OBITUARY

Robin Morgan, 85, Poet and Feminist

Robin Morgan, a wholesome child star of the 1940s and ‘50s who grew up to become an all-American radical as a poet, essayist, editor and second-wave feminist, has died. She was 85.

Morgan, who was still working on new books and poems, died Saturday in New York after suffering a series of health problems in recent weeks, said her son, Blake Morgan. Her death came just days after that of her close friend and fellow activist Gloria Steinem.

During the 1960s and ‘70s, Morgan embodied and inspired changes in how women lived and thought. As she was happy to point out, the onetime “Ideal American Girl” and adored “Little Robin Morgan” was a rule breaker and justice seeker with a notable list of achievements, along with a prison record and an FBI file.

Morgan was at the center of some of the defining moments of what came to be called second-wave feminism, expanding upon the achievements of the suffragists a half-century earlier. In 1968, she was among the organizers of the first protest against the Miss America pageant, joining fellow activists in tossing their bras (soon mythologized as burning) into a “Freedom Trash Can.” The 1970 essay anthology she edited, “Sisterhood is Powerful,” is considered one of the essential texts of the modern women’s movement.

—Associated Press

OHIO

Man Charged Toward Democrat

An armed assailant charged toward the Democratic candidate for Ohio governor, Amy Acton, on Sunday during a campaign stop at the Canfield Fair, injuring several people before he was stopped by troopers, the Ohio State Highway Patrol said.

The Ohio State Highway Patrol said that a man identified as Patrick Havas, 38, forced his way through a crowd, knocking over multiple members of the audience as he moved toward Acton, the state’s former public health director. He had a taser and two pistols.

Havas was taken to the county jail and booked on charges of disorderly conduct and two counts of assault.

Acton is facing Republican Vivek Ramaswamy. His campaign called the incident Sunday unacceptable.

Addie Bullock, communications director for Acton’s campaign, said the Democratic candidate “will always stand up to the chaos, hate and vitriol that pits us against one another.”

—Associated Press

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U.S. NEWS

New Mexico Is Next on Trump List For Name Change

By LOUISE RADNOFSKY

President Trump made a series of social-media posts over the holiday weekend calling for changing New Mexico's name to "New America," his most ambitious—and unlikely—attempt yet to remake the North American map.

Trump started late Sunday with a message that said "many people" have suggested making the name change. "So much more prestigious and beautiful for the people of that potentially incredible State," the post said. "Wow, I Love It!!!"

The message included an apparently AI-generated video in which Trump is shown in front of a New Mexico state sign sticking an "America" label over "Mexico," then dancing to the opening bars of the Village People's "Y.M.C.A."

On Labor Day, Trump posted more than a half-dozen images of maps in which the name of New Mexico had been replaced with "New America."

The messages prompted a quick response from the state's governor, Democrat Michelle Lujan Grisham, who said that "New Mexico's name isn't up for debate—it's been ours since before the United States existed."

The president, she said, was attempting to distract Americans from the war in Iran and rising gas prices. The governor said her state was focused on issues including healthcare and housing while "the White House wastes time coloring on maps."

New Mexico was admitted to the U.S. in 1912 as the 47th state in the union. While Trump has exercised presidential powers over federal geographical names, he doesn't have authority to rename a state.

The White House declined to comment on Trump's posts.

The president's pictures of digitally altered New Mexico maps appeared among a number of posts about the Iran war, as well as the U.S.'s trade battles with Canada.

As part of the Canada dispute, Trump last month signed an executive order to change the name of Lake Ontario to "Lake America," directing Interior Secretary Doug Burgum to update the Geographic Names Information System to reflect the change. That means the new name could be included in official U.S. government documents, even if not recognized by Canada.

Last year, Trump also signed an executive order declaring that the Gulf of Mexico—which is bounded by the U.S., Mexico and Cuba—would be renamed the Gulf of America. The name change, which applied to federal publications and communications, generally isn't recognized by other countries, including Mexico.

Lower Manhattan Has Roared Back

Devastated by 9/11, downtown now has a bigger population, diversified economy

By PETER GRANT

In 2001, lower Manhattan was shattered. The Sept. 11 terrorist attacks killed close to 3,000 people and reduced the World Trade Center to rubble. The Twin Towers' shocking collapse inflicted such trauma that many wondered if the Financial District could ever recover.

Now, as the 25th anniversary of the event approaches, lower Manhattan is roaring back. Its population has roughly tripled over the past 2½ decades, and more than 230,000 people work there—nearly as many as before the attacks.

Few urban projects can compare with the new World Trade Center in scale or ambition. More than \$20 billion in public and private money was spent creating about 10 million square feet of office space, nearly half a million square feet of retail, a transportation hub, the 9/11 Memorial and Museum and a performing arts center.

When American Express broke ground in July on a new 55-story headquarters, it started the last major development at the 16-acre site, a milestone after years of disputes and delays over the rebuilding effort.

Yet new office buildings and infrastructure alone don't explain downtown's resurgence. Developers converted dozens of obsolete office buildings into apartments, helping create a neighborhood where tens of thousands of people live within walking distance of their jobs.

Even though the city stepped up scrutiny of conversions this summer after a near partial collapse at a Midtown building, lower Manhattan has 23 such projects either planned or under construction, according to the Alliance for Downtown New York.

The neighborhood once emptied when office workers caught the commute home. Today, it boasts a vibrant mix of restaurants, rooftop bars and concert venues on the nearby waterfront. Stone Street, a narrow cobblestone lane dating back hundreds of years to when Manhattan was under Dutch control, bustled on a recent Friday evening. Young people ate and drank at crowded communal tables. "It's the Financial District, but it's fun down here," said Brittany Belfiore, a bartender at Harry's Side Bar on Stone Street.

Cities across the country have struggled to replicate such success. Dallas, Denver, Portland, Ore., Providence, R.I., Chicago and Washington, D.C., have all pursued office conversions as a means for revitalizing downtrodden business districts.

The lower Manhattan neighborhood has had some unusual advantages, from New York City's strong housing demand to an abundance of prewar buildings with smaller floors well suited to conversions. Af-



The Liberty Community Gardens in lower Manhattan with One World Trade Center in the background. Below, American Express headquarters under construction, and Brittany Belfiore, a bartender at Harry's Side Bar on Stone Street.

ter 9/11, the federal government offered developers new incentives to turn downtown offices into housing.

The area long defined by Wall Street is now far more diversified. Financial-services and real-estate firms, which accounted for about two-thirds of downtown employment a quarter-century ago, now account for roughly a third, according to the Alliance for Downtown New York. "It's a new world down there," said Lisa Silverstein, chief executive of World Trade Center developer **Silverstein Properties**, and daughter of its founder Larry Silverstein.

Few could have imagined such a turnaround after the wreckage of Sept. 11. The attacks destroyed or damaged some 30 million square feet of commercial space, including the entire seven-building World Trade Center complex and nearby office towers.

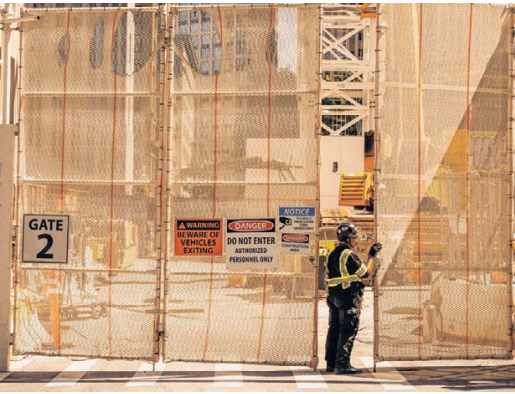
The PATH commuter rail terminal beneath the Trade Center was gone, subway service was disrupted and power and communications networks were crippled. Tens of thousands of workers were displaced.

Battles erupted over nearly every aspect of the rebuilding, including how much of the site should become a memorial and whether housing should be included.

Yet public officials, business leaders and civic groups understood they were doing something "so much larger than just deciding what to put on 16 acres," said Tom Wright, chief executive of the Regional Plan Association.

The rebuilding also benefited from something few other struggling downtowns could count on. Billions of dollars flowed into lower Manhattan from federal aid, insurance proceeds and the Port Authority of New York and New Jersey.

Businesses slowly began returning. In 2006, Silverstein Properties completed 7 World Trade Center, the first office tower rebuilt after the attacks.



The government gave relocating businesses tax benefits and other incentives, but filling the building also meant overcoming a fear that lingered long after the attacks.

For years, "we couldn't get anybody to come downtown to look at anything," said Mary Ann Tighe, the CBRE broker who represents Silverstein. "People were literally afraid."

Early in the rebuilding effort, a federally funded program offered grants of as much

as \$14,500 to households that stayed in or moved to lower Manhattan. By early 2026, downtown had more than 37,000 apartments, nearly triple the 13,000 that existed in 2000.

The new World Trade Center increasingly attracted technology, media and advertising companies rather than the financial firms that had long dominated downtown.

Downtown has a budding live-music scene that barely ex-

Clean Slate for New Generation

There is a generation now with little or no memory of Sept. 11.

Eric Diaz, 24, a designer at SHoP Architects, moved to the Financial District in part so he could walk to the firm's offices in the Woolworth Building, and says he enjoys having restaurants, bars and other services close to home.

The rebuilt World Trade Center has become part of that neighborhood in a way the old complex never was. Streets that had been eliminated to create the original superblock were restored, allowing people to walk through the site, with the 9/11 Memorial woven into the surrounding neighborhood.

Diaz says his mother was pregnant with him on Sept. 11 and watched the attack from the Midtown office where she worked. He said he found the memorial moving the first time he visited it.

For him, the World Trade Center today is now a part of his daily life.

isted a generation ago. In 2018, Pier 17 opened a 3,400-capacity rooftop venue that brings top acts to the waterfront.

On a recent evening, more than 2,000 fans packed around the stage as heavy-metal band Acid Bath played through clouds of fog. At the merchandise table, Ross Banan, a 40-year-old New York resident, said the evening had changed his impression of downtown.

"I definitely will be coming back," he said.

Two Men Without Lawyers Get Their Cases to Top Court

By JAMES ROMOSER

WASHINGTON—An Orthodox Jewish father of five who plays rock music in his spare time. A federal prisoner serving a 20-year sentence for a Mafia-linked racketeering conviction. These two men have one unlikely thing in common.

Without legal representation, they asked the Supreme Court to hear their cases. And against long odds, the court said yes.

The duo of outsiders broke through a system dominated by elite appellate attorneys, who go to great lengths to identify cases that might interest the high court. The credibility of these lawyers earns their appeals special attention from the court, and the justices know many of them on a first-name basis.

It has been five years since the justices last heard arguments in a case filed by a person who came to the court without a lawyer. Now this fall, the court will do it twice.

Daniel Grand, who says he suffered religious discrimination from his city's planning

commission, conducted his own research and drafted his appeal from a home office in Ohio. William Maxwell, who has been incarcerated for over a decade and says he is entitled to be transferred to a halfway house or home confinement, worked from a prison library in Texas.

By now, both men have teams of prestigious lawyers who will represent them at the Supreme Court lectern. But Grand and Maxwell navigated the first phase on their own: writing and filing a pivotal brief, known as a "cert petition," that asks the court to take a case.

The court receives thousands of such petitions each year and turns down most of them, including many filed by unrepresented prisoners challenging their convictions. Fewer than 60 petitions annually get slotted for oral arguments and full review.

"There's a kind of art to getting the Supreme Court to pay attention to a cert petition," said Tommy Bennett, a law professor at Southern Methodist University who



Daniel Grand attended law school briefly but didn't graduate.

tracks the petitions process.

Grand—who attended law school briefly but didn't graduate—understood the long odds. "You need to consider why the Supreme Court would even want to entertain answering your question," he said in an interview.

The question in his case involves the interaction between religious rights and land-use regulations. He says the Cleveland suburb of University Heights used zoning rules to stop him from hosting small

prayer groups in his home.

Grand and his prior lawyers parted ways after a federal appeals court ruled against him. When he decided to petition the Supreme Court on his own, he used artificial intelligence to learn the court's intricate rules and study the work of top Supreme Court advocates. "You really can't copy the subject matter, but you can copy the formulation," Grand said.

The 43-year-old polymath has also worked in real estate, is a musician and used to own

a company that helped property owners deal with building-code infractions. And he has filed other lawsuits on his own, including one dispute over a flawed Michael Jordan rookie card that he bought on eBay.

In his Supreme Court case, his legal team now includes Josh Rosenkranz, who has argued more than 20 Supreme Court cases, and the conservative advocacy group Alliance Defending Freedom, which frequently represents religious plaintiffs at the high court.

Like Grand, Maxwell has a legal background. He worked as a lawyer in Texas before he was disbarred following his conviction in 2014. Prosecutors said he helped members of the Lucchese organized crime family drain money from a mortgage company.

Maxwell isn't challenging that conviction. He says he is eligible to be transferred from prison to an alternative form of confinement under the First Step Act, the landmark 2018 criminal justice reform law. His case is about the procedural mechanism prisoners

must use to seek that sort of transfer.

Even for a former lawyer, writing a successful Supreme Court petition was no easy task from behind bars. Maxwell had access to a digital legal database, but he sometimes relied on acquaintances outside prison to look up cases or articles and send him physical printouts. He has spent much of his time in custody helping other prisoners with their legal needs.

Masha Hansford, a veteran Supreme Court advocate who now represents Maxwell, said she has seen petitions written by practicing lawyers that are "far weaker" than the 35-page petition he managed to put together.

Both cases attracted the interest of prestigious law firms after the Supreme Court signaled on its docket that the justices were taking a closer-than-usual look at the two men's petitions. The new legal teams filed additional briefs supporting the petitions, and in June, the court announced it would hear both cases in its term beginning in October.

U.S. NEWS



Republican Rep. Mike Collins, above, is trailing Democratic Sen. Jon Ossoff, below, in latest polling in the Georgia Senate race.

GOP Campaign in Georgia Goes Disastrously Wrong

Collins faces ethics probe, fundraising gap and low polling in race for Senate

By CAMERON McWHIRTER AND TERELL WRIGHT

ATLANTA—When Georgia Republican Rep. Mike Collins announced his candidacy for Senate last year, his official “war room” account on X posted a short campaign video that ended with the on-screen slogan: “Georiga, Let’s Ride.”

From that widely mocked spelling mistake on day one to a House ethics probe to revelations that his son-in-law made white nationalist posts on social media, Collins has suffered a series of setbacks that have hobbled his campaign. Meanwhile, incumbent Democratic Sen. Jon Ossoff has developed a national profile by blasting President Trump and surged in state polls.

Most politicos see the race, once considered a tossup, as firmly blue, strengthening Democrats’ long-shot push to take back the Senate this fall and marking a big disappointment for the GOP.

“With lackluster fundraising, ongoing scandals with staffers and family,” Collins is “really having difficulty breaking through,” said Jordan Fuchs, a longtime Georgia GOP strategist who worked closely with Republican Secretary of State Brad Raffensperger.

Collins’s weak showing has sparked alarm among GOP strategists and pollsters that his run could weigh on other Republican candidates in Georgia, including the race for governor and contests for offices ranging from attorney general to insurance commissioner.

Polls show the governor race is tight, with Keisha Lance Bottoms aiming to become the first Democrat elected to the post since 1998. Democrats are also pushing a long-shot effort to take the GOP-led state House of Representatives, which Republicans have controlled since 2005.

In a recent speech in Emerson, Ga., Collins said he and other GOP candidates were united and would win the election. He attacked Ossoff as left-leaning and out of touch with Georgia’s values. “Jon Os-



soff is about as far from Georgia as you can get. He’s California’s third U.S. senator,” he said.

The latest polls show Ossoff, 39 years old, with a comfortable lead over Collins, 59. An August survey by InsiderAdvantage, a conservative-leaning Georgia-based pollster, found Ossoff leading 50% to 43% with 7% undecided.

Collins spokesman Meyer Siegfried said Collins has been closing the gap, noting that the poll only showed him down by single digits, compared with the double digits of a previous survey.

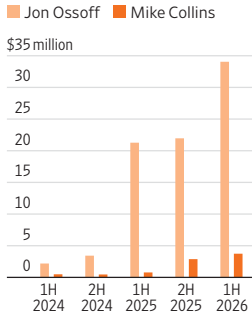
“There are repeated public polls that show the race moving in Mike’s direction, so to report anything otherwise is to be willfully ignorant of reality,” Siegfried said.

Not right candidate?

Still, one Georgia GOP strategist told The Wall Street Journal that some Republican leaders already consider the Collins campaign lost. Another strategist said GOP leaders worry that if Collins loses by more than six points to Ossoff, he will drag down other Republican candidates, since most voters cast ballots along party lines.

“There’s a general concern that Collins isn’t the right can-

Fundraising by Senate candidates in Georgia



Note: Total receipts, principal candidate committees and, for Collins, a second authorized committee.
Source: Federal Election Commission

didate or running the right campaign to defeat Ossoff,” said Nathan Gonzales, the editor and publisher of Inside Elections, a political analysis and research firm that tracks races across the country.

Early in this election cycle, GOP strategists in Georgia and Washington hoped Ossoff was vulnerable. But prominent Republicans, including Gov. Brian Kemp, declined to run against Ossoff. Collins fought a three-way race for the nomination, battling with Buddy Carter, another Republican congressman, and Derek Dooley, a former football coach backed by Kemp. Trump declined to endorse

any of the candidates until two days before a runoff this June, when he backed Collins over Dooley.

As of June 30, Ossoff’s campaign had raised about \$98 million this term, with \$77.3 million since the start of 2025. Collins has raised \$7.4 million since last year, according to Federal Election Commission filings.

Collins is getting outside help. One Nation, a GOP-aligned advocacy group backed by the Senate Leadership Fund, said it planned to spend \$15 million targeting Ossoff. Earlier this year, the fund pledged to spend \$44 million on the race. The group said Friday that it started airing television advertisements against Ossoff.

Summer of scandal

Collins’s campaign has faced a series of scandalous headlines. In July, CNN reported that Collins’s son-in-law, David Alan Scheer II, had shared posts that promoted antisemitic and white nationalist views. In comments on social media, Scheer said all Muslims should be deported and promoted antisemitic conspiracy theories.

Collins has said Scheer has no role in his campaign and condemned the comments.

There was also renewed media attention on Preston Parra, a former Collins House intern, who posted images on his X account showing himself posing in a Ku Klux Klan outfit. Parra told the Journal that the photo was out of context and reporters were “missing the whole artistic visionary aspect of it all.”

Collins said Parra wasn’t affiliated with his campaign and said such views “are absolutely abhorrent and they don’t represent my values or the values of our country.”

Collins also faces ethics questions. The House Ethics Committee released a report in January from the nonpartisan Office of Congressional Conduct that found “substantial reason to believe” that Collins used congressional resources for unauthorized purposes. The report alleges that his chief of staff hired an intern for a no-show job. Collins has called the allegations meritless.

Hunter Biden (And His Laptop) Now Have a Coin

By VICKY GE HUANG

The son of former President Joe Biden is launching a meme coin that takes aim at his family’s nemesis, Donald Trump. And he’s naming it for the most-infamous personal computer in American political history.

Yes, Hunter Biden’s laptop will live on. At least on the blockchain.

Biden’s token will trade under the ticker, \$LAPTOP, and launch Wednesday on Base, a digital ledger built by **Coinbase Global**, the largest U.S. crypto exchange, people familiar with the matter said.

The token’s name is inspired by the sensation that followed the public’s discovery of Biden’s former computer in 2020. The contents of that device, from messages that documented his foreign business dealings to nude photos of the president’s son doing drugs, were eventually laid bare. And the leaks forged a cottage industry of investigations, conspiracies—and digital media content.

On Monday, Biden posted on X a short video clip of his laptop being referenced by different media outlets, teasing the launch of his meme coin.

Meme coins carry no intrinsic value, and most tumble in price within days or even hours after their launch. But some of the tokens have remained relevant thanks to their affiliations with a procession of celebrities, personalities and politicians who issued them to cash in on their fame. Coins tied to President Trump, first lady Melania Trump and former New York Mayor Eric Adams rocketed in value when they launched, only to crash within days.

In launching \$LAPTOP, Hunter Biden will bring his weekslong media blitz to the cryptosphere. The 56-year-old has been seen and heard everywhere of late—podcasts, news shows and Substack essays—and at times alongside right-wing provocateurs such as Tucker Carlson and Nick Fuentes. He has opened up on his past troubles, present grievances, and at times promoted the virtues of crypto.

\$LAPTOP’s founders, including Biden, will hold 30% of the one billion tokens issued, the people said. Those founder tokens will be locked, meaning they can’t be sold, for six months and will vest fully in two years.

Another 20% of the supply will be sent, in two batches, to crypto wallets belonging to people who lost money on \$TRUMP, the president’s meme coin, subscribers to Hunter Biden’s Substack and a mailing list curated by his friend Andrew Callaghan, a video jour-

nalist. \$TRUMP, launched in January 2025, surged to a peak market capitalization of nearly \$15 billion before cratering. It traded at roughly \$2 recently, giving it a market cap of around \$600 million.

In a statement on Monday, Callaghan said that he and his Channel 5 program have nothing to do with Hunter Biden’s meme coin. “As we have told our followers numerous times, we do not believe crypto is a legitimate investment,” Callaghan said. “We wish Hunter the best, shout out to the homie.”

The team behind the Biden meme coin declined to comment.

The founders agreed to destroy as much 30% of the \$LAPTOP coins should a series of 30 events have predetermined outcomes within the specified time frame. Among those outcomes that would reduce the supply, and therefore potentially boost the value of the coins: a Democrat wins the 2028 presidential election; bitcoin reaches another all-time high; and \$LAPTOP’s fully diluted valuation exceeds \$TRUMP’s. If the events don’t achieve their desired outcomes, a proportionate amount of tokens will be donated to charity, people familiar with the matter said.

The final 20% of the tokens will go to charity, liquidity purposes including distribution to exchange partners and market makers, as well as the foundation behind the token, which will cover accounting, legal, administrative and compliance costs.

Biden’s foray into the meme-coin space comes as investor sentiment toward digital assets and Trump’s crypto ventures have cooled.

Trump embraced digital assets on the campaign trail in 2024. When he returned to the White House, he installed industry-friendly regulators, backed landmark stablecoin legislation and pardoned crypto figures like Binance founder Changpeng Zhao.

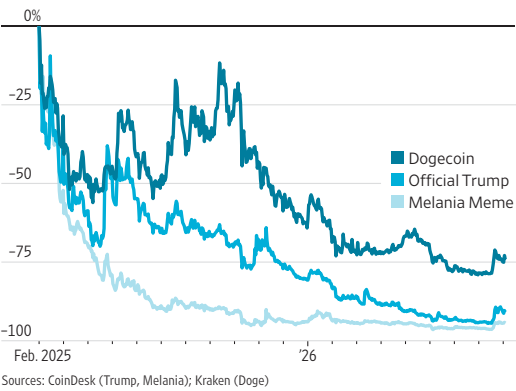
The pro-crypto tailwinds lifted bitcoin above \$126,000 last October before beginning a slide that continues nearly a year later.

Meanwhile, Trump’s recent financial disclosures showed the president had earned \$1.4 billion from his meme coin and crypto deals alone last year.

Government watchdogs have raised concerns about conflicts of interest, arguing that the president and his family continue to profit from digital assets while shaping federal crypto policy.

The White House has previously said that “neither the president nor his family has ever engaged—or will ever engage—in conflicts of interest.”

Price performance of major memecoins



Sources: CoinDesk (Trump, Melania); Kraken (Doge)

Trump PAC Begins Pouring Millions Into Texas Senate Race

By ANTHONY DeBARROS AND ELIZABETH FINDELL

WASHINGTON—President Trump’s super PAC has entered the competitive Senate race in Texas with its largest spend of the current political cycle—a \$10 million ad buy to back Republican Ken Paxton and oppose his Democratic challenger, James Talarico.

The Saturday filing with the Federal Election Commission by MAGA Inc. splits the spend evenly, with \$5 million supporting Paxton and the rest opposing Talarico. The money will go toward con-

nected TV and digital ads. The super PAC has amassed more than \$403 million as of the end of July.

Some Republicans have privately expressed frustration that the group hasn’t been spending much of the money to help the GOP keep control of Congress.

Paxton has struggled to match the fundraising of Talarico, whose campaign has brought in some \$68 million to Paxton’s \$9 million. Many Republicans have been waiting for Trump to come to Paxton’s aid after the president backed Paxton in the GOP primary

over longtime Sen. John Cornyn. The ugly primary and ascendancy of scandal-plagued Paxton, the state’s attorney general, left a bad taste in the mouths of many national party organizations.

Last week, Trump defended Paxton while also insulting him, after jokes about Paxton’s clothing went viral. “You might not like the way he looks,” Trump said, during one of a few times that day he mentioned Paxton’s clothing. “You might not love his television interviews. But he was the best attorney general in the country, perhaps, and that

speaks a lot louder than the suit he’s wearing, that doesn’t look so great.”

The aid from MAGA Inc. is a start, but far short of the money Paxton is expected to need in an expensive campaign state with more than 20 media markets spanning two time zones.

The Senate race in Texas is one of the country’s most competitive. In a state where Democrats haven’t won a statewide race since 1994, Talarico has been polling narrowly ahead of Paxton and many political analysis outlets have recently rated the race as a tossup.

Republicans have sought to portray Talarico, a state representative and seminary student, as too far-left for Texas, highlighting video clips of past progressive comments. Talarico, meanwhile, has made hay of past accusations against Paxton, from an alleged Montblanc pen theft to the abuse-of-office allegations that got him impeached by his own party in 2023. Paxton denied wrongdoing and was later acquitted by the state Senate.

“Billionaire-backed dark money groups are lying about James Talarico because they’re scared of the people-

powered movement we’re building to fix this broken, corrupt political system,” said Talarico spokesman JT Ennis.

MAGA Inc. spokesman Alex Pfeiffer said: “High Tax Talarico wants to take money out of Texans’ pockets. MAGA Inc. is going to ensure Texas knows about Talarico’s radical policies and elects Ken Paxton to the U.S. Senate.”

Aside from spending more than \$800,000 last month to support Sen. Darline Graham’s primary election in South Carolina, MAGA Inc.’s spending this cycle had been limited to a few House races.

U.S. NEWS

Runway Crash Probe To Eye Speed, Weather

By Andrew Tangel

Accident investigators probing an Amazon.com cargo flight crash in Miami are looking into a range of causes, including the speed of the aircraft, the weather, and if an airport safeguard might have helped prevent the tragedy.

At a press briefing Monday, National Transportation Safety Board Chairwoman Jennifer Homendy said those were among the many factors that the agency will evaluate, as investigators look into the accident on Sunday that killed five people on the ground and injured five more.

The Boeing 767 jet, operated by cargo carrier 21 Air, wound up about 1,300 feet beyond the paved runway, Homendy said. She said the plane tore apart a Ford Econoline van that was inside the airport grounds. The van was carrying seven people for a cleaning service. The plane also hit a Toyota SUV on the highway outside the airport.

Homendy said she walked the path of destruction, seeing the tire marks cut through the grass area outside the runway and navigation equipment and fencing strewn over the area.

“I would describe it in one word: devastating—utter devastation,” Homendy said.

The safety board has sent a team of 32 people to investigate and will examine a host of other factors, including how the airplane’s mechanical systems performed.

Publicly available flight data will have to be compared with information obtained from the aircraft’s black boxes. The team includes a meteorologist who will examine the weather conditions, including the role of thunderstorms and wind in the area.

Information about the Amazon flight suggests that the plane may have been approaching Miami’s airport too fast, according to government and industry officials tracking the accident investigation.

Without much runway left to slow down, the government and industry officials said, the investigation is likely to examine why the two pilots didn’t perform a routine maneuver known as a “go-around” to redo their landing attempt.

Gasoline Prices Hit Labor Day Record

By Giulia Petroni

American drivers are paying record Labor Day prices at the pump as higher crude and supply disruptions in the Middle East and Russia tighten global markets and push up fuel costs.

The national average price for gasoline reached \$4.15 on Monday, up from an average of \$4.08 a week ago, according to the **American Automobile Association**. The previous Labor Day record was \$3.82, set in 2012.

“Labor Day weekend travelers are facing the highest gas prices ever for this time of year,” AAA said Friday. “The national average has never been above \$4 per gallon on Labor Day.”

The price of crude oil—the main input for gasoline and the single largest component of its retail price—has surged since the Iran war began on Feb. 28. West Texas Intermediate futures, the U.S. oil gauge, traded just shy of \$93 a barrel Monday, compared with around \$67 before the war. Brent crude, the international benchmark, was around \$97 a barrel, up from \$72 prewar.

Diesel prices have also climbed to a record, with the national average hitting \$5.90 a gallon on Monday, compared with \$3.71 a year earlier. Ukrainian attacks against Russian refineries and reduced shipping through the Strait of Hormuz are tightening global supplies, increasing demand for U.S. fuel and boosting refinery margins.



The Amazon cargo plane struck a van on Miami airport grounds and an SUV on a highway.

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WORLD NEWS

Iran Has a Financial Lifeline: U.S. Banks

Foreign partnerships help money slip through U.S.-dollar clearing accounts

By RORY JONES
And DYLAN TOKAR

As the Trump administration tightens its economic squeeze on Iran, it faces a surprising weak link in its campaign to cut off the regime from the global financial system: America's own banks. Billions of dollars of Iranian funds are flowing through clearing accounts at American banks each year, Western officials and researchers say, despite sanctions that prohibit anyone subject to U.S. law from taking part in almost all financial activity linked to Tehran. Iran accesses the accounts through foreign partners that maintain relationships with U.S. banks, part of a more than century-old system called correspondent banking that helps tie the global financial system together, while providing Tehran with ways to infiltrate it. The Trump administration has recently moved to put foreign banks that process dollar transactions with Iran via U.S. correspondent accounts on alert. Officials have also been pushing American banks to

step up their vigilance on Iran-related transactions. But detecting them can be difficult, since Iran uses a network of front companies and other means to disguise them. On Aug. 28, the U.S. Treasury identified the Emirati branch of a state-owned Egyptian bank as one of the foreign institutions it believes are helping Iran access the U.S. banking system, and said it would move to cut it off. Banque Misr's United Arab Emirates branch accessed U.S. correspondent accounts and routed as much as \$1.8 billion for companies that were potentially part of Iranian shadow-banking networks, officials said. The Treasury said Misr UAE had U.S. dollar accounts with three U.S. banks but didn't name them. Misr on its website lists **JPMorgan Chase** and **Citi-group** as institutions where it has correspondent accounts. Both banks declined to comment on the Treasury action. Egypt's Foreign Ministry said it was communicating with U.S. authorities. Misr has said it is engaging with the Treasury and respects "relevant regulatory and legal frameworks." Its Emirati branches are operating normally, the bank said. The latest move was part of the Trump administration's new "Operation Economic



Two men outside a currency-exchange shop in Tehran.

Outcast," a pressure campaign aimed at squeezing Iran financially. Washington is warning global leaders to sever ties with Iran or face secondary sanctions. Some financial experts say Washington's efforts could have limited impact if it doesn't put more pressure on U.S. lenders to scrutinize their correspondent banking relationships more closely. The Treasury last year said it had identified \$9 billion in Iranian funds that moved through American banks in 2024. "Shadow banking networks are extremely difficult to detect, but by no means is it impossible to track Iran's financial flows," said Elaine Dezenski, a former senior Department of Homeland Security

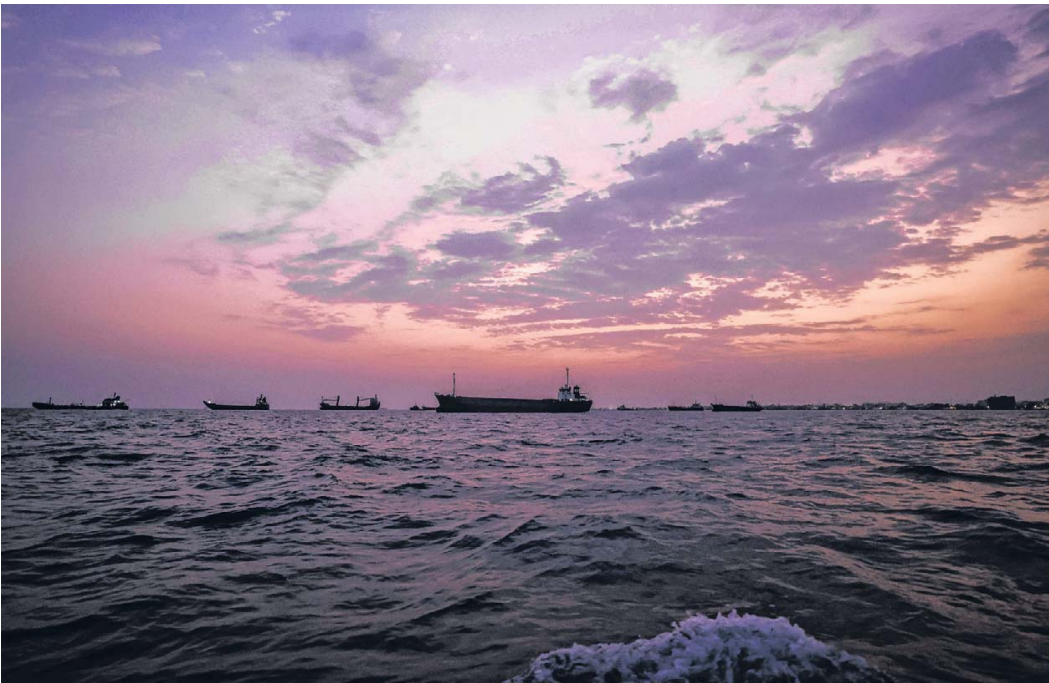
official now at the Foundation for Defense of Democracies, a Washington think tank. "U.S. and correspondent banks are squarely on the hook, and that pressure is only increasing." U.S. financial institutions say they work closely with the Treasury to enforce sanctions, including by filing legally mandated reports on any suspicious activity that could be linked to Iran. "Under President Trump, Treasury has made clear that compliance with U.S. sanctions and other legal obligations is not optional, and failure to comply will carry consequences. Financial institutions are on notice," said Gene Lange, a senior Treasury official who oversees the de-

partment's counterterrorism financing office. The Treasury also has published alerts for global banks laying out red flags that suggest shell companies could be using the U.S.-led financial system for Iran. These signs include an opaque ownership structure of a firm based in the U.A.E. or a company registered in Hong Kong that uses a Chinese bank account and has no online presence. China has said it opposes "illegal and unreasonable unilateral sanctions" by Washington and will take necessary measures to safeguard its interests. Hong Kong's government has said it vigorously enforces United Nations sanctions but not those imposed unilaterally by individual nations, which it says violate international law. The U.A.E. Foreign Ministry didn't respond to a request to comment. The root of the issue is the correspondent-banking process itself, in which any dollar-denominated transaction anywhere must be cleared by an American lender. The system gives Washington the ability to monitor most international dollar transactions and cut off users' dollars if necessary, crippling their operations. U.S. officials and researchers say Iran has built a shadow network that includes shell

companies and currency exchange houses in places such as Hong Kong and Dubai. A recent real-world example looks like this: an Iranian engineering firm put in an order with a Chinese supplier to buy 150,000 circuit boards and sensors—electronic parts that are used in car manufacturing but are also sought by Iran for weapons and drones—according to an invoice viewed by The Wall Street Journal. The invoice from the supplier contained details of its Chinese bank account, and noted the \$650,000 payment should be routed via a U.S.-based clearing partner in New York. The documents showed the Iranian engineering firm agreed to make payment via Bank Tejarat, an Iranian financial institution sanctioned by the U.S. Tejarat didn't respond to a request for comment. But an Iranian bank can't just transfer dollars to a Chinese firm's account via the U.S. In such a scenario, the payment to the account of the Chinese supplier would likely have to move from a shell company that had access to a foreign bank with a U.S. correspondent banking relationship, researchers say. It is unclear whether the payment reflected in the invoices viewed by the Journal was ultimately made.

Oil Revenue Is Drying Up For Tehran

Continued from Page One of the Iranian rial plunges, inflation soars and the economy slides deeper into crisis. It is also testing Washington's bet that greater economic pain will force concessions. Gulf officials and analysts warn the tightening vise could instead provoke more Iranian retaliation. On Saturday, the U.S. struck three Iranian oil tankers after Iran launched ballistic missiles toward two Navy warships. "Now, much will depend on the degree of economic pain that the Iranian regime is willing to bear to achieve its military and geopolitical objectives," said Hamad Hussain, an economist at Capital Economics. Roughly a third of Iran's state budget is typically funded by oil revenue. Oil sales also directly help finance the regime's military. The U.S. Treasury says the armed forces, including the Islamic Revolutionary Guard Corps, use dedicated companies and shadow-fleet networks to sell crude and supplement their budgets. Iran loaded 255,000 barrels a day on vessels inside the Gulf in August, 85% below the February-April average, Kpler data shows. Those newly loaded barrels remain trapped behind the blockade line and haven't made their way toward buyers. The diplomatic effort to end the war that led to a memorandum of understanding between



Vessels transited the Strait of Hormuz on Saturday off the coast of the port city of Bandar Abbas in southern Iran.

the U.S. and Iran in mid-June, including a weekslong pause in the blockade, allowed Tehran to move substantial volumes of oil overseas for later delivery. The country is still living off the profit from those barrels. "The process of selling oil and delivering it to customers was carried out thousands of kilometers away from the Persian Gulf and the Sea of Oman," Iranian Oil Minister Mohsen Paknejad said on Friday. But now that lifeline is disappearing. Kpler estimates that current deliveries of around a million barrels a day—which mostly go to China—could exhaust the store of Iranian oil

on the water by mid-October. Payments for previously delivered cargoes would likely dry up by mid-December. Even those payments could become harder to collect. Sanctions under Washington's new economic-pressure campaign are targeting banks and other financial channels that facilitate Iranian transactions. Some Chinese buyers are turning to Saudi, Iraqi and United Arab Emirates crude, Gulf energy officials said. In some cases, Iranian oil now costs refiners more than competing supplies because of its relative scarcity, they said. Iraq has offered discounts of nearly

\$30 a barrel on some grades. Brent crude was trading at around \$97 a barrel on Monday. The blockade is also forcing Iran to cut some production. Oil stockpiles haven't risen much, suggesting Iran has brought its output down closer to what it needs at home, said Homayoun Falakshahi, head of crude-oil analysis at Kpler. That suggests the scenario analysts predicted during the initial blockade this spring—that Iran would have to pare output to keep its backed-up oil from hitting the "tank tops" of available storage—is playing out. Overland routes offer little relief. Iran could move no

more than 40,000 barrels a day via trucks, a sliver of its prewar exports of close to two million barrels a day, Falakshahi said. The pressure extends to petrochemicals. The sector, Iran's second-largest source of foreign-currency earnings after oil, also depends heavily on seaborne exports. By August, loadings had fallen by about two-thirds from early 2026, Kpler estimates. By contrast, other Gulf producers have kept significant volumes flowing despite the conflict, with the U.S. guiding convoys through the Strait of Hormuz, and Saudi Arabia and

the U.A.E. routing more crude through pipelines that bypass the waterway. The Iranian export squeeze is deepening the economic crisis in a country where official inflation is running at more than 80% year-over-year. The International Monetary Fund forecasts a 5.4% economic contraction this year, the country's worst since the 1980s. Falling exports deprive Tehran of the hard currency it needs to support the rial and pay for imports, including raw materials for factories. That makes imports more expensive and fuels inflation. The rial has lost almost 15% of its value against the dollar since President Trump announced his economic-squeeze campaign in August, Hussain said. Iran's overall trade hasn't stopped entirely. The regime exported nearly \$15 billion of non-oil goods between mid-March and mid-August, Iranian media reported, though that value is down from last year. But a major commercial gateway has recently narrowed. Official trade through the U.A.E. has largely stopped after the country said in August it would suspend financial and economic transactions with Iran, officials familiar with the matter said. Trade is also shifting through Turkey, Iraq, Oman and Pakistan, but that adds time and expense. Gulf officials and analysts see little sign that the mounting economic pressure will force Tehran to relent. "The U.S. campaign will have a significant effect on the average Iranian household. But in terms of Iran capitulating at the negotiating table? I have a lot of doubts," said Ellie Geranmayeh, an Iran expert at the European Council on Foreign Relations.

LEBANON

Israeli Airstrikes On Village Kill 12

Israel's air force carried out two airstrikes Monday on a southern Lebanese village, killing at least 12 people and wounding others, including children, Lebanon's Health Ministry said. Monday's strikes came amid a new round of escalation between Israel and Hezbollah despite a truce reached more than two months ago. Israel said the strikes came in retaliation for two Hezbollah drone attacks that exploded while targeting Israeli troops in Lebanon from the area. Hezbollah didn't claim a role in the attacks. Israel said the strikes targeted a Hezbollah militant trying to transport weapons. Earlier Monday, Israel's military issued an evacuation warning for a home in the village of Deir al-Zahrani and shortly afterward a building was struck. The military said the strike was in retaliation for a drone attack by Hezbollah militants. There was no word on casualties.

SERBIA

Mladic Funeral Held, Angering the EU

Ratko Mladic, the Bosnian Serb commander who died while serving a life sentence for war crimes, was buried Monday with military honors and crowds attending as Serbia defied European Union warnings against allowing public homage to the man found guilty of the continent's first case of genocide since World War II. In Bosnia, the Mothers of Srebrenica group that gathers relatives of the victims urged the EU to react, saying that Mladic's funeral "threatens to become the biggest fascist gathering in Europe in the last 70 years." "The glorification of genocide is not honor, it's a shame," they said on X. The EU's foreign service said in a statement that "any glorification of war criminals, genocide denial and revisionism contradict the most fundamental European values and have no place in the EU or in EU candidate countries."

INDONESIA

Closures Set Amid Volcanic Activity

Indonesia extended the closure of several airports and shifted schools to remote learning in affected areas Monday even though a volcanic eruption that has halted nearly 3,000 flights and coated areas with ash was subsiding. The 25-hour eruption of Anak Krakatau that produced a fountain of lava and a boom heard more than 400 miles away ended Sunday, the country's Geological Agency said. But it remained active Monday with moderate, intermittent eruptions. Anak Krakatau is a volcanic island in the Sunda Strait between Indonesia's main islands of Java and Sumatra. Its name means "child of Krakatau," and the volcano is the offspring of the infamous Krakatau, whose monumental 1883 eruption triggered a period of global cooling. An eruption of Anak Krakatau in 2018 caused a tsunami that killed at least 430 people in Sumatra and Java.

—Associated Press

—Associated Press

—Associated Press

WORLDWATCH



NOT-SO-EASY RIDERS: Brazilian army soldiers cruise on a motorbike during an Independence Day parade in Brasília on Monday. Brazil claimed independence from Portugal in 1822.

EWARISTO SA/AFP/GETTY IMAGES

PAID ADVERTISEMENT

BEFORE YOU VOTE AGAINST CRYPTO, MEET SOMEONE WHO OWNS IT.

The National Cryptocurrency Association is bringing the voices of everyday crypto holders into the conversation. We have offered a bipartisan group of Senate offices, including those who remain undecided on the Clarity Act, the opportunity to meet an American crypto holder and hear directly about their experience.

The debate over crypto has become crowded and confusing. Senators are sorting through technical questions, competing claims and sharply different views of the technology, the industry and the legislation. At the same time, they are preparing to cast a vote that will affect more than 67 million Americans who own crypto.

A direct conversation can help explain why people own crypto and what the vote could mean for them.

Stu Alderoty
President, National Cryptocurrency Association

nca.org/CryptosUntoldStory



WORLD NEWS

Ukraine Is Raising War’s Cost for Russia

Kyiv’s drone strikes have succeeded by increasing economic damage to Moscow

By ALEXANDER OSIPOVICH

Ukraine’s long-range drone strikes are inflicting pain on some of the most strategic sectors of the Russian economy. The costs are adding up. By pounding refineries, shipping terminals and e-commerce warehouses, Ukraine is using economic pressure to weaken its larger foe. Russian President Vladimir Putin has declared that the strikes won’t change his military aims, and Russia has hit back with its own drone strikes.

The Ukrainian effort is being felt by ordinary Russians—many of whom were shielded from the war’s consequences. The broader economy was already slowing after an earlier wartime boom. Here’s how Ukraine’s attacks are disrupting business in Russia.

Energy

The most damaging aspect of Ukraine’s campaign has been its targeting of oil refineries, which led to fuel shortages and rationing measures over the summer. One of the hottest new smartphone apps in Russia is a crowdsourced tool to help drivers locate gas stations with available fuel.

Russia’s refinery industry processed 3.8 million barrels of oil a day in August, a drop from the 5 million barrels a day it handled the same month last year, according to Energy Aspects, a data and analysis firm. To ease the crisis, Russia began importing gasoline from as far away as India. It also loosened fuel-quality standards to allow more supplies from second-tier, Soviet-built refineries and banned diesel exports. Russian government statistics show the price of gas is up 19% this year and recently resumed climbing after a dip in August. The run-up has confounded efforts by Russia’s central bank to curb inflation, which is running at about 6% annually, above its 4% target.

E-commerce

Ukraine has carried out more than 30 strikes since July on logistics hubs used by Wildberries or Ozon, Russia’s two largest e-commerce companies. The attacks set off fires at some of the warehouse complexes, imperiling the businesses of thousands of third-party vendors who sell goods over the online platforms.

Entrepreneurs posted tearful videos on social media to plead for help after their inventory was torched. The attacks have caused more than \$10 billion in damage to infrastructure and goods, and will result in at least \$12 billion in lost sales over the next 12

months, according to estimates from Data Insight, a Moscow-based research firm. Putin has pledged government help for Wildberries vendors. Last week he put total losses from Ukraine’s campaign against economic infrastructure at 1% of Russia’s gross domestic product—equivalent to around \$25 billion.

Banking

The attacks on the e-commerce sector have fueled worries about knock-on effects on Russia’s banks, especially state-owned VTB, a major lender to Wildberries and its vendors. Analysts estimate Wildberries owes \$6 billion to \$7 billion to VTB. While that accounts for a small slice of VTB’s loan book, jitters over Wildberries have contributed to a selloff in VTB’s shares on the Moscow Exchange. The bank’s share price has slumped more than 25% this year. VTB and Wildberries didn’t respond to requests to comment.

Russians have shown a growing preference for holding cash this year, a shift that could threaten the banking sector if it continues. The central bank linked the shift to disruptions of online payments caused by mobile-internet outages. It didn’t spell out what caused many of those outages: Ukrainian drone incursions, which often led officials to pull the plug on internet coverage as a preventive measure.



Smoke above a Wildberries facility after a Ukrainian drone strike near Moscow in August.

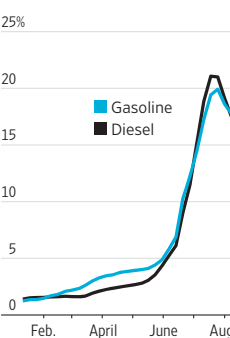
Agriculture

Starting in July, Ukraine effectively shut down the main corridor for Russian exports of wheat, barley and other crops with a series of strikes on export terminals and cargo vessels on the Black Sea and the neighboring Azov Sea. Russian wheat exports fell more than 50% in August from the same month last year, sinking to their lowest level since 2010, according to SovEcon, an agricultural consulting firm. The blockage has led to a domestic glut, depressing prices for Russian farmers, even as global wheat prices are near a three-year high. The governor of Russia’s breadbasket Rostov region declared a state of emergency in late August, citing the disruption to local agriculture.

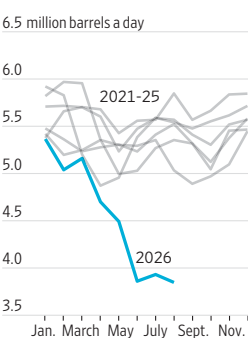
Aviation

Frequent travelers to Russia say the disruption to civil

Change of price since the start of 2026



Crude oil processed by Russian refineries



Sources: Rosstat (prices); Energy Aspects (crude processing)

aviation is one of the most noticeable results of the Ukrainian campaign.

Airports routinely shut down for hours when drones are detected nearby, forcing flight delays and cancellations. There were 993 airport closures across Russia in August, a roughly fivefold jump from

half a year earlier, according to figures from aviation-security firm Osprey Flight Solutions.

Ukrainian President Volodymyr Zelensky said Russia’s airspace “will effectively be closing” due to drone activity, a warning to the largely non-Western airlines still servicing Russia and their insurers.

Kyiv Considers Legalizing Porn to Fund Defense Needs

By MATTHEW LUXMOORE

KYIV, Ukraine—Every few weeks, Svitlana Dvornikova leaves her home near the front in Ukraine and travels to a rented villa on the Mediterranean coast of France or Spain. She dons makeup, a wig, high heels and a pseudonym. Dvornikova isn’t there to escape the war. She travels abroad to stream solo shows to her one million subscribers on the adult online platform OnlyFans. Doing it in Ukraine could land her in jail.

Unlike in most European countries, the production, distribution and possession of pornography in Ukraine is illegal, punishable by up to seven years in prison. Still, Ukraine has been unable to curtail a vast and lucrative porn industry, which officials say operates with the protection of corrupt police.

Ukrainian authorities are now demanding taxes from people who work in the porn industry. But anyone who complies is effectively confirming their involvement in criminal activity. “These women either don’t pay taxes and face criminal charges for that, or they pay taxes and get charged with violating pornography laws,” said Yaroslav Zhelezniak, an opposition lawmaker who chairs the finance committee in Ukraine’s Parliament. “It’s a tragicomic situation.” Zhelezniak is leading a push to legalize porn in Ukraine, arguing that doing so wouldn’t only help against corruption, but would raise up to \$25 mil-



Beezone is a collection of webcam studios for models.

lion a year in tax revenue.

It might be a drop in the ocean for a country fighting a war of survival that says it needs \$120 billion a year for its defense needs. But the sum that Zhelezniak predicts would be enough to pay for 30,000 drones. A bill co-authored by Zhelezniak is awaiting its second reading in Parliament after winning a first vote in July. Meanwhile, Dvornikova is one of thousands of women who skirt the law by operating abroad or moving out of Ukraine altogether to make porn—many of them boosting the tax revenues of other countries instead.

For years, Ukrainian authorities turned a blind eye to the industry. Many of Ukraine’s largest porn studios made handsome profits in cahoots with corrupt law-enforcement

agents. In one example, the office of Ukraine’s general prosecutor said in May that police departments in three separate regions had each been receiving over \$20,000 a month in bribes. Things changed after Russia invaded. Two years into the war, Ukraine’s tax authorities received data on thousands of Ukrainians from OnlyFans’ U.K.-based parent company, Fenix International. The figures showed that 7,900 Ukrainians made in excess of \$131 million from OnlyFans during 2023. That meant millions of dollars in taxes were owed. OnlyFans models across Ukraine began receiving letters from the authorities. Some were making in excess of \$20,000 a month. Many, including Dvornikova, filed tax declarations. This meant they

could now be charged not only with tax evasion but with illicitly producing porn. Dvornikova and her husband were getting their daughter ready for school one morning last spring when police arrived to search her home and accused her of breaking the law by producing pornography for profit. They seized a laptop, flash drives and the equivalent of \$200,000 in cash, which she said she had set aside for taxes. “They had a list of webcam models, and knew all their addresses,” Dvornikova said in an interview. She said the officers told her she could give them half of the cash as a bribe and keep the rest. She declined the offer. Those who have stayed inside Ukraine have resorted to workarounds.

Trump Envoys Set New Push for Peace Talks

President Trump’s envoys achieved one thing with their first trip to Ukraine’s capital Sunday as they tried to jump-start peace talks between Russia and Ukraine: a brief pause in Russia’s deadly bombing campaign against Kyiv. Ukraine and Russia held off on strikes on each other’s capitals as the envoys, Jared Kushner and Steve Witkoff, visited first Moscow then Kyiv this weekend.

“Come visit more often, and we’ll have a chance to let our people live a little,” Ukrainian President Volodymyr Zelensky said Sunday after talks with the pair. Russia has been carrying out regular strikes on Kyiv in recent weeks using jet-powered drones that Ukraine is struggling to counter. On Saturday, after Kushner and Witkoff met with Russian President Vladimir Putin, a White House official

said the men discussed plans for next steps to resolve the conflict. As had been expected, Sunday’s talks didn’t produce a breakthrough. Zelensky thanked them for restarting efforts to mediate an end to the war. He said they also discussed a potential winter aid package, including air defense, energy support and American liquefied natural gas.

—James Marson

Vote Puts Merz in Tight Spot

Continued from Page One would accept the offer, and these negotiations could take weeks. As long as no new government is sworn into office, the departing CDU state premier would continue to govern in a caretaker capacity. A small far-left group, the Sahara Wagenknecht Alliance, could play kingmaker after suggesting it may offer passive support to an AfD state premier. Under the state’s constitution, a head of government can be elected with a mere plurality of votes if he or she fails to obtain a majority in three consecutive votes in the parliament. Tino Chrupalla, the AfD’s

national co-chairman, seemed to reject this option on Monday, saying that “we need a stable majority.” Since Merz’s election in 2025, the AfD’s support has soared in national polls while the CDU’s has collapsed. This is creating unease among CDU lawmakers and regional politicians, many of whom blame the government. More than 80% of voters—and almost 60% of CDU voters—are unhappy with Merz’s work, according to a poll by Infratest dimap released last week. His government is one of the least popular in German post-World War II history. Part of the reason he is so unpopular is that Germany’s economy has been stuck in a rut. It has barely grown since 2019. A multibillion-euro spending program to fix the military and upgrade decrepit infrastructure has yet to translate into higher growth. Sunday’s election result matters because in Germany’s



German leader Friedrich Merz spoke Monday on his party’s loss.

federal system, state power is a prerequisite for national power. A succession of state-level electoral defeats can gut a party’s political base, raising pressure on the leadership to change course or give way to a new team. Impatience with Merz is now turning to panic and spreading among the CDU grassroots and elected offi-

cials, who are in turn pushing him to shift the government’s political course. A minority also wants him to lift an internal party ban on cooperating with the AfD at the state level. The first—which Merz sketched out on Monday—is to forge ahead with his government and persuade the partners in his coalition government, the Social Democrats, or

SPD, to stick to a planned overhaul of the cash-strapped welfare system. “Precisely because he’s wobbled on so many issues in the past, he can’t afford to waver and show weakness now,” said Sudha David-Wilp, vice president and senior fellow at the German Marshall Fund of the U.S., a think tank. The SPD is pushing back. Lars Klingbeil, the SPD vice chancellor and finance minister, said Monday that the vote was “a signal that we need to think about our policies here in Berlin and about the government’s planned reforms.” If this fails, Merz could deflect attention by surrendering his party’s chair to a more-popular figure. But this could further undermine his authority. Many analysts expect the chancellor will have to abandon or weaken the so-called firewall, the informal agreement among mainstream parties to ostracize the AfD. A decision could come as early as next

month after two more state elections in late September. Merz could give CDU politicians at the state level latitude to vote with the AfD on specific bills while barring them from formally joining an AfD government. An internal party ban on working with the post-communist Left Party could also be lifted for balance. Merz has ruled out even passive cooperation with the AfD, but CDU lawmakers in eastern Germany, where the far-right party is strongest, are divided about the firewall, setting the stage for a possible split in the party. Critics think ostracizing the AfD has alienated voters and forced the CDU to govern with parties that don’t support its agenda, leading to policy paralysis. But ending the firewall would be highly risky. It could spook the SPD, prompting it to abandon the coalition, and even fracture the CDU. If this happened, Merz might have to lead a fragile minority government.

WORLD NEWS

Greenland Seeks to Profit From U.S. Threats

By Sune Engel Rasmussen

Greenland is cashing in on President Trump's threats and talk of dealmaking by using its position as a strategic Arctic linchpin to draw investments from European allies.

Ursula von der Leyen, president of the European Union's executive arm, visiting Greenland on Monday, pledged investments worth €200 million, or \$230 million, in minerals, satellite communications and renewable energy.

The move is the latest in an international tug of war for influence over the island. The Arctic has assumed greater strategic importance as melting ice is opening new shipping routes and gradually making the region's deposits of fossil fuels and minerals more accessible. Greenland in particular has become a flashpoint in the combustible relationship between Europe and the U.S. because of Trump's threats to take control of the island.

Trump on Monday posted on Truth Social an image of the U.S., Canada, Greenland, Iceland, Mexico and Caribbean islands all colored as an American flag.

Greenland, an autonomous territory within the Kingdom of Denmark, controls its internal affairs. The island withdrew from the EU in 1985 following a referendum, but maintains extensive ties to the bloc through fisheries arrangements and development cooperation.

Speaking in its capital, Nuuk, alongside the Danish and Greenlandic prime ministers, von der Leyen said a joint declaration they signed showed that the Arctic island has chosen Europe.

"It reflects a clear choice expressed by Greenland to strengthen the ties with the European Union, in line with your values, your freedom and your interests," von der Leyen said. The declaration also showed Europe had made "the choice to be more present and to be more engaged in Greenland and in the Arctic," she said.



Ursula von der Leyen, left, president of the European Commission, and Denmark's Prime Minister Mette Frederiksen, second left, visited the internet and satellite-communications company Eutelsat OneWeb on Monday in Nuuk, Greenland.

The EU investments include a project to boost satellites and improve internet access as well as two mining projects to secure raw materials.

Even as the island has been rattled by U.S. threats against its sovereignty, it has managed to use its uncomfortable moment in the spotlight to gain concessions from its friends.

Denmark last year announced more than \$6.5 billion in extra military spending to improve security in the Arctic and North Atlantic regions, including Greenland. Copenhagen also allocated an additional \$250 million through 2029 to support infrastructure, healthcare and economic growth.

In addition to Monday's announcement, the EU has proposed more than doubling the funding allocated for Greenland as part of its long-term

budget, to €530 million from 2028-2034.

Greenlandic politicians use the specter of U.S. involvement in the island to accelerate European investments in its mining projects as well.

"If you don't make an offer fairly soon, others will," Greenland's foreign minister Múte B. Egede told members of the European Parliament last week. "We can feel that things are on the move."

The EU's efforts to draw Greenland closer comes after Iceland, which is regarded as an Arctic state, last week rejected talks to join the EU, dealing a blow to the bloc's effort to position itself

as a geopolitical counterweight to Trump's high-pressure tactics.

Trump says the U.S. needs Greenland—which lies on the flight path for missiles fired from Russia toward North America—for national security purposes, and has expressed interest in Greenland's natural resources, including rare earth minerals. He has repeatedly offered to buy the island, though without naming a price or offering the island concrete deals.

Trump's approach to Greenland has been met with derision among locals. Most of them shunned the president's handpicked envoy to the is-

The island has used its position to gain concessions from its friends.

land, Louisiana Gov. Jeff Landry, when he visited Nuuk for the first time in May.

Trump's threats have pushed Greenland's government closer to Brussels.

"It has supported us morally, knowing that the EU is standing by us, and even more importantly, it has sent a strong message to the U.S. administration that interfering with Greenland also means interfering with the entire European Union," Egede told the European Parliament last week.

Greenland's economy is dependent on subsidies to sustain its population of 56,000 people. Denmark supports Greenland's economy with an annual block grant of \$620 million, and finances its police, prisons and defense. In total, subsidies from Denmark and the EU constitute nearly half of Greenland's budget.

American Prospecting

Greenland's rejections of the U.S. hasn't stopped American businessmen from seeking inroads on the island.

Prospectors, some linked to the Trump administration, have invested in projects to develop a rare-earth mine and to harness hydroelectric power to run an AI data center. Neither project is close to fruition.

Texas-based Greenland Energy Company intends to spend about \$60 million on exploring sites on the Jameson Land peninsula in eastern Greenland. In July, Greenland Energy Co. towed a barge with an excavator and more than a dozen containers to the area, before they were told by the Greenlandic government that they didn't have permission to offload any equipment at all.

One American businessman has spotted a potential commercial opening: sealskins. Investor Larry Swets said he last month delivered a 36-page proposal to the White House calling on the president to lift the U.S. ban on seal products as a way to improve relations with Greenlanders, through what he calls sealskin diplomacy.

Greenlanders and other Inuit peoples have hunted seals for their meat and skin for centuries, but international bans have collapsed sealskin markets.

Swet's proposal, which the Journal has seen, seeks to serve as a "confidence-building measure."

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WORLD NEWS

A Once Disgraced Warship Rejoins North Korea’s Fleet

Kim Jong Un claims the Kang Kon gives Pyongyang nuclear-capable navy

By DASL YOON

SEOUL—Just over a year ago, the botched launch of the Kang Kon enraged Kim Jong Un.

On Sunday, the North Korean leader beamed with pride after he commissioned the warship into North Korea’s navy. Kim and his daughter, sporting an all-white outfit, were saluted by sailors as they strolled together down a red carpet.

The Kang Kon—named after a Korean War general—was docked at an east coast shipyard. North Korea didn’t provide footage of the warship transiting at sea, but claimed it can fire a nuclear-tipped weapon from the 5,000-ton vessel. Kim had overseen tests of cruise missiles and machine guns on the vessel.

Kim said the Kang Kon gives North Korea a nuclear-capable navy that will be able to fend off enemy warships that once roamed freely around the country’s waters. “We should make the enemies fear us,” the 42-year-old dictator said in remarks carried by Pyongyang’s state media. “Only when the enemies fear us, can they never dare provoke us.”

The reported 15-month turnaround of the Kang Kon after it capsized illustrates how Kim is giving priority to the modernization of his Soviet-era navy. Kim is pursuing a nuclear-powered submarine and he wants North Korea to produce two warships like the Kang Kon every year for the next five years.

Having such a warship in North Korean waters would give the Kim regime a nimble arsenal to defend—or attack—



North Korean leader Kim Jong Un toured the destroyer Kang Kon on Sunday.

using its growing nuclear arsenal. Much of Pyongyang’s firepower is on land, with many locations known to Seoul, Washington and Tokyo. North Korea’s air force is weak.

Kim’s naval ceremony took place hours before the kickoff of trilateral military exercises involving Washington, Tokyo and Seoul. The five-day drills, called Freedom Edge, are aimed at deterring North Korea’s nuclear and missile threats.

The joint exercises seek to integrate operational capabilities across maritime, air and cyber spaces. The USS George Washington, the American aircraft carrier, had participated in previous Freedom Edge exercises but is unavailable because of its recent deployment to the Middle East. No U.S. aircraft carrier will participate this time.

The toppling of the Kang Kon embarrassed Kim, with at

least five officials detained over the mishap. The country’s state media at the time called the botched launch an “unpardonable crime.” North Korea claimed the water had been pumped out and the ship restored upright within weeks.

The deployment follows the introduction of a warship of the same class located off North Korea’s west coast. The Kang Kon, which will be placed in the waters between the Korean Peninsula and Japan, brings new security challenges based on its location, said Jo Bee-yun, a security analyst at South Korea’s Sejong Institute think tank.

“From the east coast, North Korea could target U.S. bases in Japan or project power further into the Pacific,” Jo said.

Some of North Korea’s naval advances were made with apparent help from Russia, weapons experts say. Kim has drawn closer to President Vladimir Putin, particularly in

their military ties, which includes Pyongyang sending munitions, missiles and troops to the front line of Russia’s war with Ukraine. North Korea’s largest warships, including the Kang Kon, have air-defense systems resembling Russian systems, the experts say.

At Sunday’s deployment ceremony, Kim said North Korea was carrying out an important plan to strengthen its naval forces and vowed to prove this to the world in eight months, without elaborating on the plan.

“We will deploy the most powerful strategic assets in the most important waters,” he said.

Watch a Video



Scan to see the recommissioned vessel that had capsized in 2025.

EU Fears Intensify Over Chinese Tech Espionage

By KIM MACKRAEL

BRUSSELS—Belgium’s revelation that it had arrested a Chinese citizen on suspicion of stealing advanced microchip technology is fueling European anxiety about Beijing’s trade practices and quest for industrial secrets.

Belgian officials said Monday that in May they had arrested a man, who also holds Belgian citizenship, just before he was due to fly to Beijing. The arrest was part of an investigation into the possible transfer of intellectual property and trade secrets from a Belgian semiconductor company to a Chinese company, prosecutors said.

The detention marks an escalation in a battle between China and its Western rivals over technological advances in critical industries such as semiconductors. European intelligence agencies have warned that Chinese entities target Western researchers and companies to gain access to technology its companies can exploit. U.S. restrictions on selling advanced semiconductor technology to China have helped make that industry a prime target.

European policymakers are considering new economic-security measures to address concerns about China, said Antonia Hmaid, program head at the Berlin-based Mercator Institute for China Studies.

The Belgian case on its own is unlikely to change the current trajectory, she said, “but it might be enough to give people who are already pursuing this path the impression that this is the right path.”

Representatives from China’s embassy to Belgium and its mission to the European Union didn’t respond to requests to comment.

Belgian prosecutors said the 52-year-old man’s arrest

was part of an investigation into espionage, participation in a criminal organization, misuse of company assets and the unlawful disclosure of company secrets. They didn’t identify him publicly.

The man held a research position at a Belgian semiconductor company called BelGaN before the company’s 2024 bankruptcy, prosecutors said. BelGaN specialized in making gallium nitride semiconductors, which allow for higher voltages compared with silicon-based chips. The chips can be used in electric vehicles, but also have aerospace and military applications. BelGaN bought the Belgian manufacturing site from ON Semiconductor, a U.S.-based multinational.

Chinese companies have tried for at least a decade to acquire European gallium nitride technology. In 2016 a Chinese chip-making company launched a takeover bid for Germany’s Aixtron, a specialist in the field selling semiconductors to the U.S. arms industry. The U.S. government blocked the acquisition on national-security grounds.

Belgian officials said there are indications the arrested man was working at BelGaN while acting as a director at a Chinese company that was established soon after he took up his BelGaN position.

“The investigation may point to the unlawful transfer abroad of specialized intellectual property and trade secrets,” prosecutors said Monday. They said they are still looking for a second suspect.

“If Europe does not radically alter its China, trade, and industrial policies, Beijing’s industrialization at the cost of everyone else will only accelerate,” said Joris Teer, a policy analyst with the European Union’s Institute for Security Studies.

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FROM PAGE ONE

Hot Markets
Give Way to
Cooler View

Continued from Page One

against reading too much into those seasonal patterns. But in recent weeks, new reasons for investor caution have emerged. One of the largest: the looming threat of an interest-rate increase from the Federal Reserve, which announces its next policy decision on Sept. 16.

Chairman Kevin Warsh's decision to ditch forward guidance and take more of his cues from markets has muddied the waters for investors when it comes to monetary policy.

That has left traders scouring Fed governor speeches and economic-data reports for clues on the central bank's next move.

"There's going to be a lot of eyes on those numbers," said John Luke Tyner, head of fixed

income and portfolio manager at Aptus Capital Advisors.

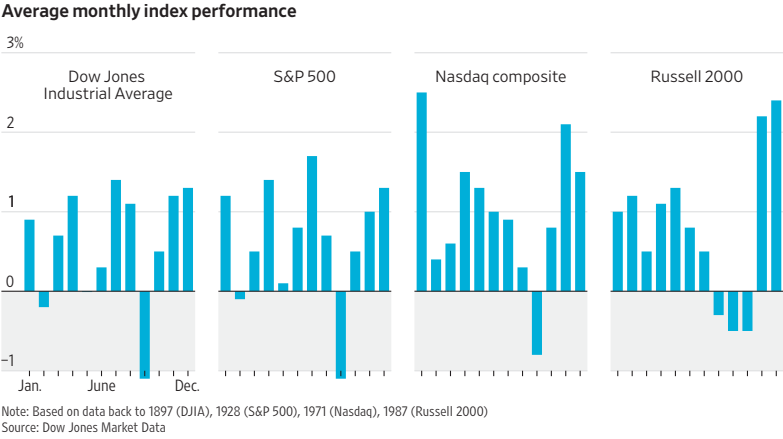
The past couple of weeks offered just one example of how frequently those expectations can change.

After Warsh struck a hawkish tone during remarks on Aug. 28, the odds of an increase at the Fed's next meeting jumped to 58%, from 35% before the speech, according to CME FedWatch data.

On Thursday, Fed governor Christopher Waller made a case for leaving rates where they are. Interest-rate futures showed coin-flip odds between an increase and a hold. Then Friday's robust jobs report amped up rate-rise bets once more, back to a roughly 60% chance of higher rates after the meeting.

"Rates have really been driving the car for equities the last few weeks," said Ross Mayfield, an investment strategist at Baird.

That uncertainty comes as an unruly bond market could put pressure on stocks. Treasury yields have marched higher for much of the summer, driven by concerns about rising oil prices, growing U.S.



budget deficits and a deluge of tech-company bonds now competing for investors' cash. Last week, the rout went global, pushing yields to multiyear highs in Japan, Germany and the U.K.

Higher bond yields can drag on stock prices and lift borrowing costs for companies and consumers across the economy.

Rising prices remain the top concern for bond traders,

and continued fighting between the U.S. and Iran has done little to ease those worries. The national average price of diesel climbed to a record of \$5.85 on Friday, according to AAA. That is up from \$3.712 a year ago.

Investors will get more insight on the path of prices this week, with the much-awaited consumer-price index report due on Friday and a reading on producer prices on

Thursday.

With another blockbuster earnings season in the books, some analysts have also warned that any boost from the third-quarter reports due in the coming months could be minimal.

Back-to-back quarters of standout profits have raised expectations and made it especially difficult to impress traders. Custom chip company Broadcom, for example, said

on Wednesday that it more than tripled its earnings and nearly doubled its revenue. Shares slipped 2.7% the next session.

Many analysts note there are plenty of reasons not to panic. The economy is in impressive shape, thanks to a healthy labor market and the rippling effects of the artificial-intelligence investment boom. Profits are booming at the biggest U.S. companies. The Choe Volatility Index has dropped to its lowest levels of 2026. Credit spreads are tight, a sign bond investors aren't concerned about economic conditions that could hurt companies.

But the mood has shifted from the euphoria that felt tangible when the Nasdaq was notching back-to-back records early this summer. The question, Mayfield said, is whether the fundamentals that have bolstered the bull market so far can stretch the rally into 2027.

"There are more anxieties or uncertainties about the backdrop," he said. "It does feel like a transitional moment."

Israeli
Nomads
Defy Laws

Continued from Page One

squatters' outpost—a pop-up canopy shading plastic chairs and a shabby sofa that served as home base for settlers who threw rocks at house windows while families hid inside.

Some squatters stayed behind, Ridi said, and in recent weeks they have stolen his sleep, privacy and sense of security. They are a constant reminder that dozens of others are a phone call away, ready to pile into off-road vehicles, armed with sticks or guns.

The rogue settlers are part of a loose network known as Hilltop Youth, young men and women aiming to snuff out any chance for a future Palestinian state. They live outside mainstream society as nomads, and menace Palestinians into leaving land they claim is the birthright of Jews.

The Hilltop Youth establish the barest of footholds on open land with temporary lodgings and, in many cases, later build homes and raise families. Some seize a plot and do nothing more than keep away anyone but Jewish settlers. They stake their claims with an Israeli flag or a Star of David fashioned from scrap metal, large enough to be seen at a distance.

Israeli activists who support Palestinians shared videos showing various degrees of harassment by Hilltop Youth: standing uncomfortably close to Palestinians, staring, spitting, stopping cars and sitting on the hoods. One video shows four young men barging into a home, demanding coffee and smoking cigarettes on a porch sofa. Security cameras from a Palestinian's farm recorded masked figures beating his sheep to death, according to videos viewed by the Journal.

Hilltop Youth, who view their mission as transcending secular laws, are testing the limits of Israel's pro-settler government.

A series of high-profile attacks on Palestinians and their property this summer has prompted an international outcry and rare condemnation from Israel's leaders. A senior military official said hundreds of teenagers and young men make up the movement's violent core. Former Israeli security officials said Hilltop Youth were responsible for nearly-daily harassment, as well as assaults, killings and arson attacks.

Hilltop Youth have attacked Israeli soldiers and police removing squatter outposts or trying to restore order, claiming such law-enforcement efforts are proof the government isn't on their side.

Human rights lawyers, meantime, say violence by settlers is rarely punished, though there have been a handful of recent criminal indictments.

While Israel's broader settler movement keeps the Hilltop Youth at arm's-length, the young squatters have helped push Jewish settlements deeper into the West Bank by displacing Palestinians and opening land to homesteaders.



Above, Israeli settlers outside Loui Ridi's home; left, settlers taking goods from a Palestinian construction site.

grow the hair from their temples into long locks. Girls and women dress in ankle-length skirts or overalls, wearing their hair loosely covered.

During attacks, Hilltop Youth wear black hoodies and cover their faces with balaclavas. They are easily identified as Jewish settlers by the white tassels dangling from their hips, a religious garment worn by Orthodox men.

Some in the broader settler movement draw a distinction between Hilltop Youth who volunteer as farm hands and those living in so-called wild-cat camps. Yet the line isn't so clear, say those in the movement, because all Hilltop Youth share the goal of reclaiming the land for Jews.

The latest escalation in violence began in July with a glowing cigarette flicked from the road in a bone-dry valley by the Jewish settlement of Havat Gilad, a 30-minute drive from where Ridi is holed up. Flames engulfed the fields of settlers and destroyed more than a dozen homes. Authorities continue to investigate the cause. Settlers blame their Palestinian neighbors.

Havat Gilad itself rose from the start of Hilltop Youth. In 2002, Itay Zar set up camp with his then-pregnant wife in a one-room shack with a dirt floor, two horses and a John Deere tractor. The settlement now has 110 families.

"My siblings and I, we were the original Hilltop Youth," said Zar, now 50. Over the years, he took in troubled boys to work on the farm.

About a week after the fire in July, a pro-settlement activist tour group gathered dozens of Israelis for a hike through Palestinian areas to Havat Gilad. Members of the settlement's civil defense squad and Israeli soldiers squared off with Palestinians from a nearby village.

A widely aired video showed an Israeli aiming his rifle at a Palestinian man as they approached each other. A Palestinian seized the weapon and a burst of gunfire followed. When the clash was

over, the dead included four Palestinians, an Israeli army reservist from Havat Gilad's defense squad and another soldier, according to the Israeli military and Palestinian health authorities.

Within hours, dozens of settlers poured into Palestinian villages, setting fire to homes and fields, according to authorities and settlers. A mosque in Qusra, about 2 miles from Ridi's house, burned and the Hebrew word for revenge was cast in spray paint. More than a dozen new outposts sprang up almost overnight, settlers said.

"Good month!" said an Aug. 13 post in a WhatsApp group that shares Hilltop Youth updates. The post listed 39 Palestinian villages where it said 47 vehicles were burned, 45 buildings set on fire and 57 injured since mid-July. The post closed with flame emojis.

Back and forth

The ranks of the Hilltop Youth swelled in tandem with the expansion of settlements and outposts after the Hamas-led attack on Israel on Oct. 7, 2023. Since then, the government granted legal status to dozens of outposts and opened thousands of acres of land to Jewish settlers.

Hilltop Youth reject the legal boundaries of the West Bank, building outposts in Palestinian-controlled areas and challenging the Israeli military to intervene.

Hundreds of illegal outposts have been established in the past three years, according to Peace Now, a left-leaning advocacy nonprofit. Many are quasiofficial farms set up with tacit permission from authorities, settlers said, while others are unsanctioned. Au-

thorities tear down outposts every day, a senior Israeli military official said, only to see them spring back. Some outposts have been destroyed 100 times, the official said.

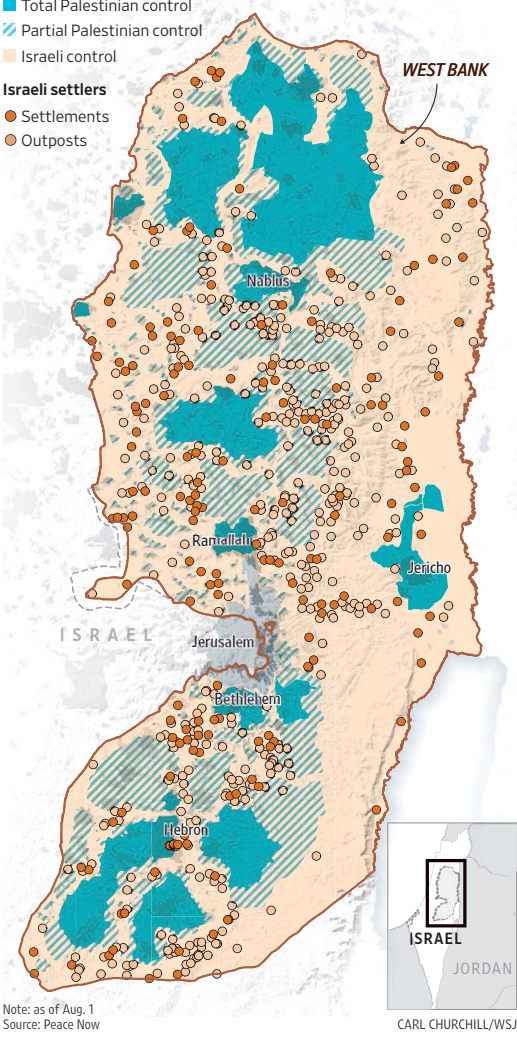
In March, the military reported that a border police officer was injured and a security vehicle was damaged during an attack by a group of Israelis in the West Bank. Israel's military chief in June last year chastised what he called a "radical minority" for assaulting soldiers in a closed military zone.

In the years when the Hilltop Youth took shape, Dvir Kariv served as an officer for a special unit of Shin Bet, Israel's internal security service, assigned to prevent Jewish terrorism. He said he has watched the movement's growth with disappointment.

If Israel could fight three wars at once—in Gaza, Lebanon and Iran—he said it could handle a small group of violent extremists at home. The only explanation, Kariv said, is that "Israel doesn't want to deal with this."

Yonatan Livni, 24, said he became a Hilltop Youth after the Oct. 7 attack shattered his faith in government protection. Last year, he set up an illegal outpost with several young families and a handful of boys in the West Bank. Authorities bulldozed it nine times, he said, but they have rebuilt it over and over. They keep the outpost simple—a water trailer, solar panels, cheap building materials—to make replacing it easier.

"Many people feel that the state has abandoned them," he said. "The moment Jewish lives are in danger and the army doesn't help, the youth have no choice but to take matters into their own hands."





The Lost Screen Memorial art installation, seen in Geneva in May, honors children whose deaths were linked to social media.

In recent years, companies have adopted AI tools to determine the likely age of the user. If it detects users who say they are adults but are really between the ages of 13 and 17, these restrictions will be implemented automatically.

Meta says it will invest in stronger technology to detect and eliminate accounts of users under 13, which are prohibited.

Meta also uses various signals to determine whether the person supervising a teen account—and thereby able to turn off key restrictions, such as the time limits—is actually the teen’s parent. For example, if a parent account is created using the same device or email address the teen uses, that is a red flag.

But Meta acknowledges that it doesn’t have a foolproof system for preventing teens from creating—or asking someone else to create—a fake parent supervisory account. Another longtime work-around for teens has been to create secondary Instagram accounts of which their parents aren’t aware. Going forward, parents will be notified when a teen links a secondary account, but it won’t apply to teens’ existing extra accounts.

How Meta’s New Safety Measures Will Seek to Protect Teen Users

As part of its \$18 billion settlement, Facebook and Instagram agreed to add youth restrictions

By JULIE JARGON AND MEGHAN BOBROWSKY

Teens will soon have a very different experience on Instagram and Facebook. The changes to the platforms are a key component of Meta Platforms’s \$18 billion settlement with 48 states to keep children safer online.

New features that will be automatically engaged on accounts of users ages 13 to 17 include daily time limits, nighttime off-limits hours and reduced functionality during school. To understand whether these changes will effectively lead to a safer experience, we spoke to top legal and product executives at Meta as well as on-line-safety experts.

Meta says the features will roll out in the next six months. Here’s a breakdown of what the new safety measures will achieve, and where they might fall short.

Time constraints

Endless scrolling is a huge concern for parents, and Meta has

agreed to put in place a two-hour daily limit for teens across Instagram and Facebook as well as to block the apps between the hours of midnight and 6 a.m. (Direct messaging will remain available.)

Teens won’t be able to change those settings without permission from a parent who supervises their account.

But the company wants to create a level playing field in the industry so that teens don’t migrate to competing apps.

As part of its terms, Meta is asking that TikTok, YouTube and Snap agree to place the same daily time limits and nighttime restrictions on their apps. If those competitors don’t comply within five years, Meta will lift its limits.

There is a “school mode” that mutes notifications during school hours. (Parents can loosen that restriction as well.)

Teens or parents will also be able to turn off the autoplay feature, which creates a bottomless video feed, but it isn’t off by default.

Offering restrictions that teens can beg their parents to relax sets

up a conflict between parents and children, says Josh Golin, executive director of Fairplay, a non-profit child-safety organization. That is antithetical to the whole idea of offering default settings, he says.

However, if there is no parent overseeing a teen’s account, there is no one for a teen to negotiate with.

Algorithms

Meta is automatically hiding the number of likes and reactions that teens can see on their own posts as well as on other teens’ posts. Online-safety advocates champion that change, as comparisons on social media can lead to self-doubt. (On the subject of self-esteem, teens will also now be automatically blocked from extreme-makeup filters in addition to all of the currently blocked filters.)

Another huge concern for parents is what Instagram’s algorithm

shows their teens.

Feeds that use artificial intelligence to optimize for engagement and give priority to catchy content over more personal posts from friends and family, are often attributed to teen mental-health issues.

Now, there is an option for teens—or parents—to turn off the algorithmic recommendations.

But the algorithmic feed will be on by default, at the objection of safety experts.

“Opting in to a non-personalized feed relies solely on teens or parents to make those changes themselves,” Golin says. “I don’t think most teens will understand what that means, let alone avail themselves of that option.”

Workarounds

Kids often lie about their age when they set up social-media accounts.

Meta says the new features will roll out in the next six months.

Parental controls

Parental controls in general have become unduly burdensome for families as teens use multiple apps to communicate with friends.

Online-safety advocates have long argued that the tech companies should simply design their products to be safe for teens.

Meta’s previous move to make teen accounts more secure didn’t require parental controls, though it gave parents the ability to enable extra restrictions, such as time limits, and to monitor their children’s social connections.

These new restrictions appear to up the level of parental involvement, something online-safety advocates argue will put additional risk on teens in poorer communities. “Parental controls only work in a household that has an adult with time, technical confidence, a smartphone and an account on the platform, fluency in the language the tools are offered in, and a stable relationship with the child,” says Katharina Kopp, deputy director of the Center for Digital Democracy. “Children who have all of that are usually the children who are already best protected.”

More Parents Favor School Phone Bans

By JULIE JARGON

Student phone use at school has been a divisive issue since the pandemic, but for the first time, more Americans now favor all-day bans than oppose them.

Support for bans stands at 48% of American adults, up from 36% two years ago, according to a new study from Pew Research Center.

Many parents were initially hesitant to embrace daylong phone bans.

One concern: They wouldn’t be able to reach their child in an emergency. Yet support grew as legal cases exposed the harms of social media and researchers like Jonathan Haidt advocated for a more thoughtful approach to technology. As of this summer, more than two-thirds of U.S. states have enacted legislation or policies restricting phone use in schools.

Phones, as a portal to social media, have been linked to a variety of problems in school including fights, bullying and declining academic performance. The fix, it seemed, was simple: eliminate phones and everything else would improve.

Phones have been linked to a variety of problems in school.

The question now is, do school phone bans actually make a difference in students’ lives? The answer depends on what aspect of improvement you’re looking for.

Early data suggested a small boost in test scores and a drop in disciplinary actions were linked to phone bans in a large Florida school district. But as more time has passed and more states have adopted bans, a clearer picture has emerged.

A study of nearly 5,000 schools nationwide that lock student phones in Yondr pouches found them to be an effective way to curb student phone use. Though there have been stories about kids cutting through the pouches or duping administrators by putting in decoy phones, those troublemakers amount to only a small percentage.

All told, the share of students who used phones in class for personal reasons dropped from 61% to 13%.

But there is often turbulence when a ban is enacted. The first year phones were banned typically resulted in disruption as students adjusted to the change, according to



Students’ phones getting put away in a Chicago classroom; Yondr pouches, left.

suggest. There was also little evidence of phone bans’ impact on school attendance, chronic absenteeism and online bullying.

The latest findings show a disconnect between the hype behind school phone bans and the reality, says Jason Baron, an assistant professor of economics at Duke University, and one of the study authors.

“Test scores are a difficult outcome to move because they’re a function of many things both inside and outside of school,” Baron says.

“If your goal is to increase student well-being, you might be encouraged by this,” he adds.

“But if you care about test scores, you might be disappointed that three years out we’re not seeing gains.”

the study, which was conducted by university professors affiliated with Stanford University’s Institute for Economic Policy Research and the National Bureau of Economic Re-

sadness and frustration.

What’s less clear is the effect on student attention and academic performance. A 2025 Pew survey found that a majority of adults be-

PERSONAL JOURNAL.

Banking on Retirement-Savings Trick

Coast FI is a simple formula that calculates when you can coast on what you’ve already saved, but it comes with its own pitfalls

By OYIN ADEDOYIN

What if there was a single number that could tell you when you’ve saved enough for retirement? A formula going around the internet promises to do just that.

It is called Coast FI. The FI stands for financial independence, since it is an offshoot of the Financial Independence, Retire Early movement that encourages extreme saving early in your career. But instead of retiring early, it marks the point at which you can coast on what you’ve saved.

Coast FI is when you have enough in investments to fund your full retirement without any more contributions. The idea is that reaching Coast FI early frees you up to, say, take a lower paying job, take time off from work or try to start a business.

It is pleasing in its simplicity, but it also comes with lots of risk, especially if reality doesn’t line up with your calculations.

“It’s great to start early,” said Matt Coursen, a certified financial planner and relationship manager at Plante Moran, a wealth-management firm based in Detroit. “But just understand that life happens, things change. Your circumstances are going to change.”

Here’s how it works.

Say your goal is to have \$1.8 million by the time you retire at 65 and want to see how much you should have invested by the time you’re 35. Assuming a rate of return of 7%, your Coast FI number would be around \$239,600. A 35-year-old that never added another dollar could conceivably allow compound growth to get them to their retirement nest egg goal three decades later.

The exact formula is:

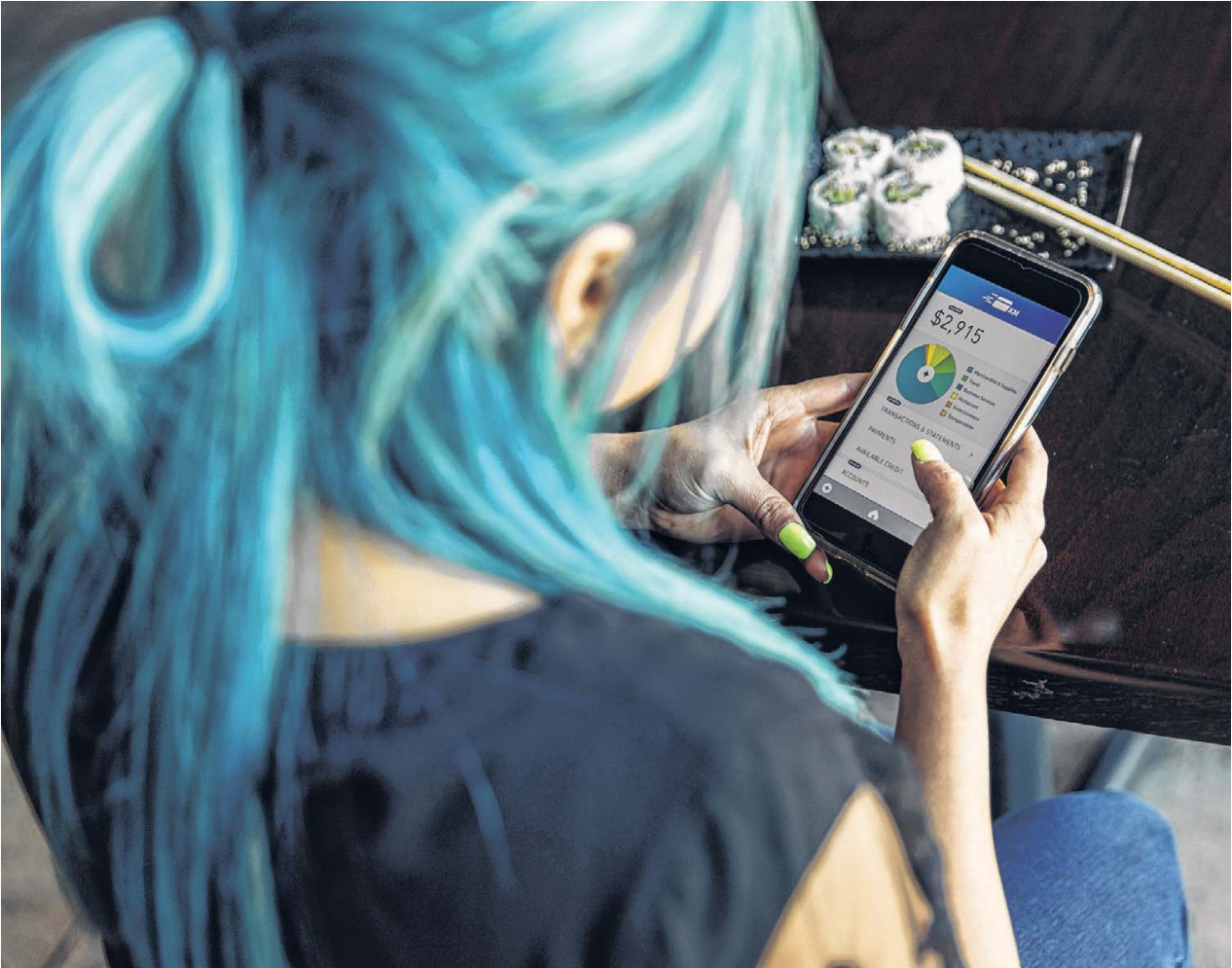
Coast FI = Retirement savings goal / (1 + r)^t

where:

r = rate of return on investments
t = number of years until retirement OR (retirement age - current age)

Jessica Fick found out at age 31 that she and her husband had reached their Coast FI milestone, with \$300,000 in savings. She eventually created her own excel spreadsheet to calculate it. Fick and her husband have since quit their nonprofit jobs and started a business promoting concepts like Coast FI. They haven’t added to their investments since 2023.

Coast FI has been around for a while, and it is well-known among people who subscribe to the retire-early movement. Fick wrote about it on her blog in 2019. But interest has recently been grow-



Google search interest in the Coast FI formula has grown 50% from last year, with financial influencers garnering hundreds of thousands of views.

ing across social media, as younger Americans worry about how new technology like artificial intelligence will impact their careers, and ponder the uncertain future of Social Security.

Google search interest in the topic has grown 50% from last year. Financial influencers on TikTok garner hundreds of thousands of views talking about Coast FI. There are online calculators that help people calculate their Coast FI numbers.

In a recent survey of about 1,000 Americans by TIAA, 15% of respondents said they were actively pursuing Coast FI. The same survey found 64% of Gen Z said they felt very or somewhat confident that they will be able to retire comfortably by a traditional age, down from 77% last year.

The simplicity of Coast FI makes it both appealing and difficult to rely on. The younger you are when you calculate your Coast FI number, the more time there is for economic and personal circumstances to change, fi-

nancial advisers say.

“Inflation is the number one killer of retirement success,” said Jon Zetlmaier, founder of Zetlmaier Wealth Management based in Seattle.

It is difficult to predict how much one dollar will be worth decades from now and how the market will behave in a given year. That makes it difficult to predict how much you actually need for a retirement that is decades away.

Young adults may calculate their Coast FI number before they get married, have children or buy a house.

“Those are all tremendous costs which probably aren’t going to allow you to save 50 to 75% of your income,” Zetlmaier said.

It is also difficult to predict future stock market returns. If the market tanks in the first few years after you stop contributing,

it could greatly reduce how much you have in retirement years.

Still, Coast FI has inspired some early-career adults to give priority to retirement saving.

Teena Singh moved back home to live with her parents in Georgia after graduating college, despite having a full-time job. That enabled her to save most of her take-home pay. She took advantage of workplace retirement matches and maxed out her Roth IRA every year. She put all her bonus money toward the effort.

Stock-market rallies in recent years helped to accelerate her progress, she said. By age 27, she had \$1 million in savings.

“Seeing that number in my bank account was definitely very freeing,” said Singh, now 28.

In 2022, she left her six-figure job as a software engineer due to stress, and took a pay cut at a

new job. Last year, she quit and decided to pursue online content creation. Singh is single and doesn’t know if she will have children or a spouse when she reaches retirement age.

One reason it is so hard to predict how much someone will need in a far-off retirement is that healthcare costs, caring for aging parents and other major expenses can drastically impact future budgets, financial advisers say.

“I know what my budget is today, I don’t necessarily know what I’m going to need to live on in 15 years or in 25 years,” said Doug Ornstein, senior director at TIAA Wealth Management.

Fick doesn’t expect that everyone pursuing Coast FI aims to quit their job and stop contributing. She sees it more as a checkpoint that gives people permission to make changes in their life if they want to.

“If you’re saving in any way, shape or form, it’s going to put you in a better spot,” she said.

It is pleasing in its simplicity, but it also comes with lots of risk.

Fun Goes Flat In Oktoberfest Beer War

Continued from Page One

zle beer and pump an estimated \$1.8 billion into the economy.

To preserve the festival’s flavor, the city only permits beer from approved “established and reputable” Munich breweries that brew to a 1487 purity law: from barley, hops and water procured from a well within city limits. As a result, six breweries have brought all the booze for decades. Even the Prince of Bavaria—whose family invented Oktoberfest—was turned away.

Marx has gone all out to meet the purity standard, pursuing a drilling permit for the well for two years and raising €12.4 million to dig on the Giesinger lot next to a BMW battery research facility. Now he needs the city council’s blessing, or approval via citizen referendum, to join the list of approved vendors.

Rules protect the festival’s quality and character, said Christian Scharpf, Munich’s head of labor and economic affairs, who oversees the festival.

One drinker’s tradition is another’s cartel. German antitrust lawyer Fabian Vetter said the big lager companies’ control of the market seemed like a sketchy syndicate—one in which the Bavarian state itself participates, since it owns one of them.

Lukas Kestler, another German antitrust lawyer, said Munich is entitled to set the festival’s rules and choose breweries that comply, add-



Oktoberfest is expected to bring 6.7 million revelers to Munich..

ing that Oktoberfest wasn’t a cartel because the rules weren’t set by participants. (Neither Vetter nor Kestler represents Oktoberfest participants or hopefuls.)

Scharpf said the current beer rules had been upheld in court.

Prince Luitpold of Bavaria tried in the 1980s to get his beer into Oktoberfest. His brewery initially lay outside town limits. When he offered to bring a portable brewery and brew on festival grounds, the city refused, saying too many other producers would want to do the same.

Then he opened a permanent brewery in a Munich park, but the

city banned it from selling beer for off-premises consumption and said it didn’t have enough production capacity.

“Whatever you do, the city of Munich will try to find new excuses to block new suppliers,” the prince said. He sued, alleging a cartel and sales monopoly.

Judges were unmoved that Luitpold’s forebears had brewed in the region since 1260, written the purity law and invented Oktoberfest for his great-great-grandfather King Ludwig I’s 1810 wedding. A Munich court ruled against Luitpold in 1990.

This year the argument spilled over to the tents that house the festivities. These structures can be larger than a football field, rise several stories and hold 8,000 people.

Local restaurant Münchner Stubn sued the city in May after it lost bids to manage larger tents, alleging the process favors families that have run tents for generations by awarding points for tradition.

Scharpf said courts upheld the bidding process in the past. The Bavarian Supreme Court hears the case Sept. 11.

Alexander Egger, CEO of Münchner Stubn, wants bidding opened to

vendors across the European Union. He said it would increase competition and lower prices. Last year, some tents including his charged €15.80 (\$18.55) for a liter of beer—about 30% more than typical prices in Munich’s city center.

The suit stoked fears that if foreign companies manage tents, they could introduce foreign beer and food.

“Wouldn’t it be a horror vision if we had to drink little glasses of Kölsch, or if döner kebab and pizza were on every corner of the festival grounds?” Christian Schottenhamel, whose family has operated Oktoberfest’s oldest tent since 1867, asked in a May Instagram video. (Kölsch is from Cologne, a city 350 miles away.)

Egger, a Munich native who has gone to Oktoberfest every year since age 3, insists his proposal wouldn’t affect the menus.

Fights about tradition are practically a tradition of their own at Oktoberfest. Twenty years ago, the hot topics were a smoking ban and carving out space for traditional Bavarian music. More recently, tensions boiled over organic chicken. And there is the perennial tsk-tsk over racy, inauthentic dirndls.

Yet some customs are younger than they look. Beer from outside Munich was welcome for much of the 19th century, and breweries could serve a wider variety of beers, said Andreas Krennmair, an Austrian beer historian. Dirndls and lederhosen only became the dress code in the 1990s.

Giesinger’s Marx knows getting into Oktoberfest could mean giving up the brand’s underdog identity.

“If we reach our goal to go to Oktoberfest, it’s not the rebel brand anymore,” Marx said. “Maybe people won’t like us anymore.”

ARTS IN REVIEW

By JUDITH H. DOBRZYNSKI

Philadelphia
American art—definitionally—has had a checkered existence. Early artistic attempts were largely derivative of European art; Native American and folk art weren’t taken seriously until recent decades, and decorative objects were deemed “industrial arts” for a long time. Not until the 19th century, with the birth of the Hudson River School, could the U.S. claim a native-born style and, even then, only in the mid-20th century, with the advent of Abstract Expressionism, did American art gain worldwide recognition.

For the nation’s 250th anniversary, the Pennsylvania Academy of the Fine Arts and the Philadelphia Museum of Art are saying goodbye to all that. In a joint exhibition titled “A Nation of Artists,” they explore the subject using similar themes—like labor, westward expansion and global exchange—but different approaches.

At the Philadelphia Museum, an early wall label declares “artists are everywhere among us.” Swooping up paintings, sculpture, silver, furniture and everyday objects made between 1700 and the 1950s, it vastly expands the definition of art and mixes disparate objects together in loosely chronological galleries. Butter molds meet oil paintings.

At the Pennsylvania Academy, founded in 1805 as America’s first art school, a wide range of paintings and sculptures created (mostly) by its alumni, teachers and exhibitors is displayed thematically, with no narrative. Barkley L. Hendricks’s “J.S.B. III” (1968), a bold portrait of a black man in sunglasses, hangs in the same gallery as a 1794 ivory miniature of “Frances Gratz Etting” by James Peale Sr.

At both venues, the curators—Kathleen A. Foster, Alexandra Kirtley and Julia Harner-Light at the museum and Lea Stephenson and Leah Triplett at the academy—supplemented their collections with about 120 artworks lent by John S. and Leigh Middleton. They include notable paintings like “George Washington at Princeton” (1779) by Charles Willson Peale, “The Shore of the Turquoise Sea” (1878) by Albert Bierstadt and “The Lee Shore” (1941) by Edward Hopper; they push the number of works in the



ART REVIEW

Our Country’s Creativity

A joint exhibition highlights the long, rich history of American art

museum’s exhibition to about 750 and at the academy’s to more than 280. It’s a lot, but the shows run through July 5, 2027, and Sept. 5, 2027, respectively, so there’s plenty of time to take it all in.

The academy’s show is installed in its newly renovated landmark building, a Victorian masterpiece designed by the architect Frank Furness of the noted firm Furness & Hewitt. In the rotunda at the top of its grand staircase, one panel is appropriately devoted to “The Artist in His Museum” (1822), a large self-portrait by Charles Willson Peale, a founder of PAFA, of an artistic dynasty, and of an early American museum; one of the most important paintings of its era, it shows him theatrically lifting a curtain on his treasures. Elsewhere are nine works foreshadowing the range of what’s to come. Opposite the Peale, another history painting, “Dewey Canyon III” (2003) by Jane Irish, presents a panoply of small images about the Vietnam War. On another panel, Mark Rothko’s 1968 “Untitled (Maroon Over Red)” hangs above a red interior, “Le

Chambre” (1961), by Raymond Saunders, which is adjacent to a tabletop still life (1887) by a master of them, William Michael Harnett. Another grouping presents portraits, including the expressive nude “Claudia Bach Pregnant” (1975) by Alice Neel.

While some surrounding galleries don’t jell as well—partly because their themes bleed into one another—they nevertheless present intriguing arrays. One section on portraits juxtaposes Bo Bartlett’s confrontational, meticulous “Self Portrait” (1996), him posed in black near a sunlit window, arm raised across his chin, with Cecilia Beaux’s brushy “New England Woman” (1895), also in a sunlit room, but wearing white, her arm making the opposite diagonal. Another theme casts works by Americans who studied, lived or traveled abroad, such as Benjamin West, here in “Death on a Pale Horse” (1817), and John Singer Sargent, with “In a Garden, Corfu” (1909), as international in style, not strictly Euro-derivative.

“Winter Encounter” brings to-

gether four paintings of nature, including Rockwell Kent’s pristine “Seascape” (1923-25), set before a snowcapped mountain, and Minerva Cuevas’s “The End” (2016), a similar scene but dripping with tar, despoiled by man. Winslow Homer’s masterly “The Fox Hunt” (1893)—a jewel depicting a fox fleeing from crows in a snowy landscape—merits a separate space nearby. PAFA presents several similar grace notes, as well as some engagingly simple vignettes, like “Picturing Pink Skies.”

The Philadelphia Museum’s exhibit is more traditional. It’s mostly a rehanging of its permanent collection of American art, and part, encompassing the years from about 1650 to 1840, was unveiled in 2021—though it’s now infused with the Middletons’ Peale portrait of Washington (the original version is owned by PAFA), Thomas Cole’s “Schroon Lake” (1840) and furniture.

The densely hung new galleries, containing post-1840s works, remind visitors that the museum has roots in the 1876 Centennial Exhibi-

tion, opening afterward as the Pennsylvania Museum and School of Industrial Art. Furniture, vessels, porcelain, silver and a sampling of household goods populate a display that’s nonhierarchical.

A typical gallery, headed “Prosperity, Abundance, and Inequity 1840-1860,” presents a fancy white marble mantelpiece, elaborate furniture, Martin Johnson Heade’s lush “Orchids in a Jungle” (c. 1871-74) and Severin Roesen’s lush “Flower Still Life With Bird’s Nest” (1853). Yet a central vitrine holds a plain stoneware jar (1859) made by an enslaved black man, David Drake, that’s inscribed with a biblical verse suggesting universal salvation.

A nearby gallery, hung salon-style, considers the theme of “Nature and Nation.” Painters including Bierstadt, Cole, Frederic Edwin Church, Fitz Henry Lane and Robert Seldon Duncanson provide a realistic wonderland of America’s outdoors, often in panoramas. It’s a stellar display.

The museum takes up the Arts and Crafts era, indigenous art, 20th-century landscapes and more. Galleries titled “Speed, Sound and the Machine” and “Modernism Takes Shape” offer classics by the likes of Arthur Dove, Charles Demuth and Charles Sheeler, as well as “Still Life With Peaches” (1927) by Luigi Lucioni and “Composition (Toreador Drinking)” (1942) by Suzy Frelinghuysen, both underappreciated, and an impressive, sculptural oak fireplace and doorway (1935-38) by Wharton H. Esherick.

To many, American art in Philadelphia means two works by the city’s own Thomas Eakins—the hyper-realistic “The Gross Clinic” (1875) and “The Agnew Clinic” from 1889. They currently hang at PAFA and at the museum, respectively. But “A Nation of Artists” demonstrates that Philadelphia, sometimes called “the birthplace of America,” is a cradle of American art, too.

A Nation of Artists

Philadelphia Museum of Art, through July 5, 2027
Pennsylvania Academy of the Fine Arts, through Sept. 5, 2027

Ms. Dobrzynski writes about art for the Journal and other publications

PENNSYLVANIA ACADEMY OF FINE ARTS

The WSJ Daily Crossword | Edited by Mike Shenk

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1 Neutral and reverse, e.g.	33 Diet high in fat	58 Possible nickname for the starred answers, considering their initials
6 “Get out!”	34 Cobbler’s kin	59 Another possible nickname for the starred answers, considering their initials
10 Rascally kids	35 *With 37-Across, “M’A’S’H”	62 Food drive donations
14 Barreled toward	37-Across, star with six Emmy wins	63 Grave
15 Animated character	37 See 35-Across	64 No longer fashionable
16 Shopper’s aid	39 Life force, in Chinese philosophy	65 Kind of D.A.
17 *Namesake of the world’s largest tennis stadium	41 Luau souvenirs	66 Strong smell
19 Sharif of “Funny Girl”	43 Photo-sharing site, for short	67 Vet visit deliveries
20 “The Doors” star Kilmer	47 Soccer great Hamm	Down
21 Ernie’s buddy	48 Dance unit	1 It keeps people grounded
22 Mumbai’s nation	49 Oust from office	2 Swimmer’s woe
23 Coats a cake	50 *Landscape photographer awarded the Presidential Medal of Freedom by Jimmy Carter	3 Dancer’s toppers?
25 *Master of None’ star who was the first Asian-American man to win a Golden Globe for TV acting	53 Call out	4 Cheer from the bleachers
28 Adrenaline rush	54 Take another stab at	5 Paltry pencil
30 Offensively smutty	55 Marcel Duchamp’s genre	6 “P-Valley” network
31 Small criticism		

► Solve this puzzle online and discuss it at [WSJ.com/Puzzles](https://www.wsj.com/puzzles).

Previous Puzzle’s Solution

N	E	T		O	L	P	A	L		I	N	S	T
O	D	I	C		P	A	R	S	E		O	A	T
V	I	V	A		Z	A	P	A	T	A		U	B
A	T	O	N	E		A	D	A	N	G		O	N
					W	H	A	T	A	B	O	O	T
T	W	E	E	N	S				N	A	H		
B	A	D			H	A	U	L		R	U	L	E
A	V	E	N	G	E	R	S	E	N	D		G	A
R	E	N	E		M	E	T	A			K	I	D
					I	N	D			P	O	S	E
I	D	A	N	I	E	L	B	L	A	K	E		
K	O	I			E	N	E	R	O		R	A	N
N	U	D	E		A	D	A	P	T	A	T	I	O
O	L	A	Y		D	I	N	E	R		S	L	O
W	A	N	E		A	N	D	R	E		E	M	S

The contest answer is **PUNK'D**. Each of the five theme movie titles contains a punctuation mark: VIVA ZAPATA!, WHAT ABOUT BOB?, AVENGERS: ENDGAME, DANIEL BLAKE, ADAPTATION. Each of the punctuation marks can be found in exactly one clue (with no other punctuation in the clues): period in 6-Down (PRADA), question mark in 19-Across (UBER), exclamation point in 30-Across (NAH), colon in 58-Across (KOI), comma in 69-Across (DINER). The first letters of the answers to those clues, in grid order, spell the contest answer.



ARTS CALENDAR

HAPPENINGS FOR THE WEEK OF SEPTEMBER 8

By WSJ ARTS IN REVIEW STAFF

Film

“Practical Magic 2” (Sept. 10)

Set a quarter-century after the events of Griffin Dunne’s 1998 romantic fantasy, this sequel sees Sandra Bullock and Nicole Kidman return as witchy sisters who are again confronted with the burden of their supernatural talents when new members of the family begin to discover their own powers. Susanne Bier directs a cast that also features Di- anne Wiest, Stockard Chan- ning, Lee Pace and Maisie Williams.

“The Uprising” (Sept. 11)

Andrew Garfield stars as a humble plowman who leads a rebellion against the tyrannical rule of Richard II in Paul Greengrass’s 14th- century action drama.

Art

“Juanita McNeely” (Saint Louis Art Museum, Sept. 9-Feb. 28, 2027; Contemporary Art Museum St. Louis, Sept. 10-Feb. 7, 2027)

This dual-venue exhibi- tion is the painter’s first solo presentation in her home- town. McNeely, who died in 2023, channeled painful per- sonal experiences, including a battle with cancer and an injury that left her in a wheelchair, into boldly color- ful works that are captivat- ing both for their palette and their often-unsettling subject matter that focuses on the body.

“The Bayeux Tapestry”

(The British Museum, Lon- don, Sept. 10-July 11, 2027)

This historic loan show returns the famed tapestry to England for the first time since it was created nearly 1,000 years ago. The more than 200-foot-long work chronicles the events leading up to the Battle of Hastings and the Norman conquest of England. It documents the last time England was suc- cessfully invaded and the events that created the

modern monarchy, and pro- vides an unparalleled vision of 11th-century life.

Opera

“Mitridate, re di Ponto” (Opera Philadelphia, Sept. 9-13)

Written when Mozart was only 14 years old, this opera seria about family conflict, political intrigue and a fight for one woman’s heart re- ceives a new production di- rected by Emma Griffin.

Music

“Sounds of Remembrance” (Perelman Performing Arts Center, New York, Sept. 11)

The New York Philhar-

“Call My Agent! The Movie” (Netflix, Sept. 10)

The fan-favorite French comedy series gets a fea- ture-length sequel that in- cludes the main cast, with Camille Cottin’s now-former agent chasing dreams of di- recting. The film’s star-stud- ded cameos include George Clooney, Eva Longoria and others.

Theater

“Garry Starr: Classic Pen- guins” (Studio Seaview, New York, Sept. 8-Oct. 4)

Damien Warren-Smith offers a raunchy comedy take on literature in this one-man show in which he



Andrew Garfield in Paul Greengrass’s ‘The Uprising.’

monic, led by its new music director, Gustavo Dudamel, and joined by the Soldiers’ Chorus of the U.S. Army Field Band, commemorates the 25th anniversary of the Sept. 11 attacks with a concert—in a venue at the World Trade Center site—featuring the music of Tchai- kovsky, Beethoven, Bernstein and more, as well as the world premiere of a work by Julia Adolphe with texts by Safiya Sinclair.

TV

“Last Seen” (Apple TV, Sept. 9)

Adapted from a Ryan Da- vid Jahn novel, this six-part Aussie thriller follows a po- lice dispatcher who receives a call from a teenager whom he thinks is his daughter who went missing years earlier.

enacts every novel in the Penguin Classics series in just an hour.

Last Call

“Noguchi’s New York” (Isamu Noguchi Foundation and Garden Museum, Long Island City, N.Y., through Sept. 13)

The artist designed 30 public projects for the city, only a third of which were actually built and of which just five survive today. That story is told in this show, which our critic called “a revelatory and, de- spite everything, uplifting exhibition.”

Write to brian.kelly@wsj.com. For events celebrating America’s 250th birthday, visit our America 250 Calendar, which is updated weekly.

FOCUS FEATURES

OPINION

Europe Hits the Snooze Button



GLOBAL VIEW
By *Walter Russell Mead*

Sunday’s victory of the anti-immigrant, anti-America, pro-Russia and pro-China Alternative for Germany party, or AfD, in the German state of Saxony-Anhalt shook Europe to its core. Chancellor Friedrich Merz’s Christian Democratic Union party was the hardest hit. The CDU had ruled the state since 2002 and saw its vote share collapse from 37.1% in 2021 to 17.2%. Saxony-Anhalt is the eighth-largest of Germany’s 16 states by land area; measured by economic output per person, it is among the poorest.

State elections in Berlin and Mecklenburg-Vorpommern this month are likely to bring more good news for the AfD and further setbacks for the Christian Democrats. Mr. Merz may lose his job as the bad news rolls in, but concerns about an extremist takeover of Germany are premature. Winning pluralities in a handful of former East German states is a significant achievement, but the AfD is still very far from taking over Germany as a whole. France, where Marine Le Pen currently leads the polling for the 2027 presidential election, seems likely to elect a “far right” leader long before Germany does.

Voting trends in Germany and France, however, point to the most important development in European politics today. Threats to Europe’s prosperity and security are growing. But instead of coming together to fight these problems, Europe’s countries seem to be drifting apart. European solidarity is weakening even as Europe comes under more pressure, and more kinds of pressure, than it has in decades.

AfD’s win in Germany shakes a fractured, sleepy continent that should pull together.

Take the Arctic. Threats to European interests there, whether from Russia, China or Donald Trump’s aspirations for Greenland, continue to grow. However, Europeans fumbled perhaps their best chance to change the momentum when Icelanders voted narrowly on Aug. 29 against resuming negotiations on entering the European Union. Shortsightedness in Europe had a lot to do with it. Fishing is big business in Iceland, and European countries were unwilling to promise they wouldn’t use accession talks as leverage for access to Icelandic waters.

Europe is also failing the migration test. Uncontrolled illegal migration is the princi-

pal force driving the rise of the far right across Europe. But migration policy is still an uncoordinated mess. Spain has been legalizing illegal aliens; Italy would like to deport them. France and Britain spend at least as much time squabbling over who is responsible for the rampant illegal crossings of the English Channel as doing anything constructive about it.

Defense plans are also going awry. The EU’s independent financial watchdog has reported that despite an almost 80% increase in defense spending between 2020 and 2025, economic rivalries and lack of coordination make it unlikely that European rearmament will achieve its goals.

Europeans aren’t yet thinking strategically. Britain may no longer be a member of the EU, but British support remains essential to any serious European defense initiative. Yet Britain is excluded from core elements of the EU’s €150 billion lending program aimed at creating a strong European defense industry.

Energy policy is an incoherent muddle. Europeans, who have warned the rest of the world for decades about climate change while neglecting to install air-conditioning in much of the Continent, baked all summer. They may now freeze all winter as gas stocks are at record lows for this time of year. None of this has led to a serious European energy policy. Argentina’s

threats to impose sanctions against British efforts to develop resources near the Falkland Islands have drawn a collective yawn from a continent that should be diversifying and securing its sources of supply.

Not even direct threats to European security spark a common response. As Russian drones pop up across the Continent and as cyberattacks flare in one country after another, we see little beyond tsks-asking from European institutions and capitals. European support for Ukraine is wavering even as Russia ramps up attacks. The alleged Russian sabotage attempt on Germany’s Leipzig/Halle airport failed to trigger a rush of Euro-patriotism. The airport is located just across the border from the state of Saxony-Anhalt and serves its second-largest city. That didn’t shake regional voters’ support for the most pro-Russian party on the ballot a month after the attempt.

Doctors talk about *la belle indifférence*, a state of reality-denying serenity that some patients enter while experiencing serious medical symptoms. It’s an apt metaphor for Europe’s mental condition.

The Saxony-Anhalt election is only the latest alarm for a slumbering Europe. Let’s hope the Continent’s leaders don’t hit the snooze button again. The house is on fire and the smoke is spreading.

What Trump Could Learn From Bush



MAIN STREET
By *William McGurn*

Running for president in 2016, Donald Trump said he hadn’t supported the war in Iraq. In a GOP debate in South Carolina, he stated his position with characteristic bluntness: “Obviously, the war in Iraq was a big fat mistake,” he said. “George Bush made a mistake.”

In office, President Trump demonstrated a willingness to use military force, provided it was of limited duration. But today, as Tehran continues to resist, he finds himself in a similar spot with Iran to the one President Bush was in with Iraq before the surge.

The president’s legacy depends on a clear victory in Iran.

Mr. Trump also faces the same pressure to high-tail it out of there. The damage that U.S. military attacks and economic pressure are inflicting is real and considerable. Still, Tehran refuses to cry uncle.

One of Mr. Bush’s stumbles was a May 2003 speech from the deck of the U.S.S. Abraham Lincoln. No one remembers what he said, but people remember the “Mission Accomplished” banner that flew behind him. Now Mr. Trump is posting on Truth Social an im-



President George W. Bush in November 2003.

age of himself looming large above the sepia-tinted memory of Mr. Bush’s failure, declaring “Mission Accomplished”—implying this time it’s real.

But Mr. Trump hasn’t accomplished his mission in Iran. The military operation he said would take four to six weeks is in its seventh month. The president himself alternates between solemn promises of annihilation and ceasefires. Americans may wonder how Iran can be so defiant if we are as victorious as the president says.

“The entire country can be taken out in one night, and that night might be tomorrow night,” President Trump said in April. To keep promising decisive action to end the war only to pull back at the last minute leads friend and foe alike to conclude that such threats are empty, passing storms that Tehran will survive.

Whatever Mr. Bush’s failings in Iraq, he knew he had to win. Without a clear victory, the

lost lives of thousands of Americans would be for naught—and U.S. credibility would be damaged for decades.

So he made the unpopular call to double down with the surge—adding more troops in a wholesale change in strategy. Everyone wanted out, including many conservatives. Doubters included some of the highest-ranking members of his administration.

Mr. Bush vowed to Bob Woodward, “I will not withdraw even if Laura and Barney”—his wife and their dog—“are the only ones supporting me.” That spoke of his resolve.

Inside the White House, where I was chief speechwriter, we were never in doubt. “Billy,” the president told me, “we are not going to abandon the people of Iraq the way we abandoned the people of Vietnam, from the rooftop of an embassy.” It made for a lonely presidency.

Say this for Mr. Bush’s critics back then, including

retired generals and Republicans in Congress. Their open dissent sure beats the sneaky way Barack Obama announced at West Point in 2009 a surge of 30,000 additional troops for what he had called “the necessary war” in Afghanistan—and in the next breath undermined it all by announcing they’d begin leaving in 18 months. Not to mention the utter humiliation of Joe Biden’s exit of U.S. troops from Afghanistan.

In contrast, the additional troops Mr. Bush committed to Iraq achieved a decisive turn in the war—helped by the Anbar Awakening, the revolt by Sunni sheikhs against al Qaeda. To the Beltway cognoscenti, this military success was Mr. Bush’s unforgivable sin: winning a war the experts had decreed lost. And they never forgave him for it.

The lesson for Mr. Trump is that whatever his Iran critics might say, many simply don’t want him to succeed, the cost to U.S. credibility be damned. Presidents who don’t win wars they initiate are treated unkindly by history.

No doubt George W. Bush is the last man Mr. Trump believes he needs advice from. But the situation in Iran seems to be coming to a head, and if it all blows up, now or a few years from now, it will make Americans skittish about ever taking on Tehran again. Mr. Bush’s insistence on victory shows a path to vindicate America’s moral and military credibility—and even preserve Mr. Trump’s legacy.

Write to mcgurn@wsj.com.

BOOKSHELF | By Marc Levinson

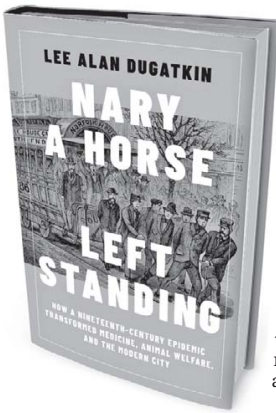
A Nation Dismounted

Nary a Horse Left Standing

By *Lee Alan Dugatkin*
MIT, 256 pages, \$29.95

In the final week of September 1872, horses fell ill in Markham, Ontario. Hundreds more horses in nearby Toronto were soon shivering, coughing and discharging an unusual mucus through their nostrils. The sickness spread to Detroit before reaching Buffalo and Rochester in upstate New York, crippling local economies. By late October, a large share of New York City’s 38,000 horses were confined to their stables, leading the New York Herald to declare, “Manhattan Island Turned Into a Vast Horse Hospital.”

Other American cities, from Boston to San Francisco, would soon experience much the same. Workers trudged miles to their jobs as horses were too weak to pull streetcars. Ships were stranded for lack of horse-drawn wagons



to carry away their cargo. Deliveries of milk and coal were canceled. As Lee Alan Dugatkin writes, “no one’s horse was safe.”

In “Nary a Horse Left Standing,” Mr. Dugatkin offers a lively history of a forgotten event known as the Great Epizootic of 1872. Although equine influenza upset life for only a few weeks in each of the many communities it struck, Mr. Dugatkin contends that it triggered major changes in medicine, transportation and animal rights.

The causes of the epidemic were debated at the time. Veterinary science was in its infancy, and many self-styled animal doctors in the U.S. had no formal training. Even among those who did, many blamed the epidemic on miasma—conditions attributed to odors, stagnant water or unseen particles in the atmosphere. When horses showed symptoms, Mr. Dugatkin writes, veterinarians and stable hands “did not isolate or quarantine them because they did not believe the disease was spread from one animal to another.”

Enter James Law, a Scot who had been recruited in 1868 by Ezra Cornell, the co-founder of the eponymous university, to join the faculty as a professor of veterinary medicine. Law demolished the arguments of the miasmists, marshaling data to show that local eruptions of equine flu were unrelated to temperature, elevation, soil conditions, changes in weather or any of the other widely touted causes.

Law showed that the only plausible explanation of repeated outbreaks in crowded stables was a “specific virulent element” passed from one horse to another. This scientific approach took hold. Thenceforth, animal diseases once thought inevitable due to bad air would be treated with medical measures and quarantines to avert contagion.

As conspicuously ill as many horses were, streetcar companies and wagon drivers had financial incentives to keep them working. The nascent animal-protection movement massed to stop them. The American Society for the Prevention of Cruelty to Animals, founded in New York in 1866, had won a state charter entitling it to demand police assistance to enforce laws “enacted for the protection of dumb animals.” The society’s founder, Henry Bergh, mounted an inspection campaign the day the epidemic reached Manhattan, stopping streetcars, examining the horses pulling them and threatening drivers with arrest if they refused to take emaciated animals back to their stables.

An equine influenza epidemic burned through North American cities in 1872, creating a crisis of animal suffering and human logistics.

Bergh was an able publicist. Newspapers around the country featured his actions in defense of sick horses in New York, prompting allied organizations in Boston, Philadelphia and Chicago to undertake similar campaigns. Notwithstanding the streetcar companies’ complaints that these efforts interfered with commuters’ need to earn a living, the animal-rights movement became an influential force in local politics.

The effect of the Great Epizootic on transportation is less clear than Mr. Dugatkin suggests. The evident risk of relying on horses to transport goods and people may have accelerated the quest for alternatives, but inventors and investors had been promoting concepts for horseless urban transportation for two decades with little success. Not until the 1890s would technological advances make it practical to operate streetcars with electric motors and buses with gasoline-powered engines. By then, the epidemic was a distant memory.

Mr. Dugatkin, a professor of biology at the University of Louisville, styles his book an urban history. He ably discusses the epidemic without veering too far into scientific details, and brings color to his story by drawing on contemporaneous accounts in big-city newspapers. He notes that New York’s unexpectedly low turnout in the November 1872 presidential election may have reflected voters’ inability to catch horse-drawn omnibuses or streetcars to reach polling stations.

The book’s near-total emphasis on cities may be its major shortcoming. At the time of the epidemic, more than 80% of the country’s 8.4 million horses were stabled on farms. While the lower density of the horse population in rural areas would have reduced the likelihood of contagion, stagecoaches crossed the countryside carrying people and packages between railroad stations and thousands of communities not served by railroads. The horses that pulled them potentially carried the equine flu from cities to farms and small towns.

Were the three-quarters of Americans who lived in rural areas untouched by the epidemic? Was agriculture, easily the nation’s largest industry, immune? The equine flu did not trigger a mass die-off. The number of horses on U.S. farms rose 4% in 1872-73. A more-thorough discussion of how the Great Epizootic affected rural America would have provided a better understanding of its magnitude.

That said, “Nary a Horse Left Standing” is an entertaining book that should have wide appeal. Animal welfare seems to have become one of the few issues in the U.S. that has support across the political spectrum. Its many advocates may be surprised to learn that the horse-flu epidemic of 1872 played a major role in the history of their cause.

Mr. Levinson is a historian and economist in Washington, D.C. His next book, “The UPS Man: James E. Casey and the Creation of Modern Logistics,” will be published in October.

Socialism and the Dumbest Generation

By *Mark Penn*
And *Andrew Stein*

Say socialism and college-educated young people start to dance and cheer. But when you ask them about the specifics of what it would mean, they quickly sour on it as shown in a recent Harvard Caps/Harris poll.

Karl Marx promised a utopia governed by the principle “from each according to his ability, to each according to his needs.” The Democratic Socialists of America has called for an “adequate income for all” and a guaranteed federal job paying a “living wage” to anyone who wants one. But the poll finds that 77% of registered voters under 25 believe their paycheck should be based on the “merit and value of their work.” That belief is even more prevalent among older voters.

Sixty-eight percent of young voters say they want

to own their own home. Meanwhile Cea Weaver, Zohran Mamdani’s director of the New York City Mayor’s Office to Protect Tenants, has declared that “private property and . . . especially home ownership is a weapon of white supremacy” and that housing should be regarded as a collective good.

Young people embrace an ideology that goes against everything they actually believe.

Mr. Mamdani and the DSA platform have also called for “seizing the means of production” and nationalizing all large corporations and essential industries. Claire Valdez, Democratic nominee for New York’s Seventh Congressional District, would “nationalize the airlines.” The mayor plans to establish city-owned grocery

stores that he says would “pay no rent and no taxes,” giving them a competitive advantage over ordinary privately owned shops.

All this is out of touch with young voters and how they see their future. Seventy percent of them want to own their own business and 63% see America as the land of opportunity.

Today’s young adults must be the most entrepreneurial socialists in history. What accounts for the divergence between their stated views and the ideology they claim to endorse? Another result may provide a clue. The same poll asked Americans if they have a favorable view of America. For all age groups, 74% answered yes. Only 52% of those under 25 did. Nearly 40% liked China.

It isn’t unusual for college students to be rebellious and then change when they get older. In the late 1960s and early ’70s, Daniel Yankelovich asked people under 25

about their attitudes toward patriotism. He found a major intragenerational gap: In 1969, only 35% of college students said patriotism was an important value, compared with 60% of noncollege young people.

The share of 18- to 24-year-olds who attend college has increased by roughly half since 1969. It seems our institutions of higher learning are busy producing the dumbest generation—one that succumbs easily to the social-media sirens championing socialism while in reality they yearn for the same old elements of the American Dream their parents wanted—owning a home, getting paid well for good work and maybe starting a business.

Mr. Penn was a pollster and adviser to Bill and Hillary Clinton, 1995-2008. He is chairman of the Harris Poll and CEO of Stagwell Inc. Mr. Stein served as New York City Council president, 1986-93.

OPINION

REVIEW & OUTLOOK

Trump and the Senate Stakes

After the 2020 election, Republicans were poised to hold the Senate majority if they won merely one of two January runoff races in Georgia. President Trump proceeded to make the races a referendum on his claim that the November election had been stolen. GOP turnout slumped, and Democrats won both seats and a 50-seat majority (plus Vice President Kamala Harris's tie-breaking vote). Is Mr. Trump about to cost the GOP the Senate again?

That's the way the midterm races are trending now as the fall campaign enters its final sprint. GOP seats in at least six races are in serious jeopardy, including in states like Alaska, Ohio, Texas and Iowa that in recent years have been comfortably Republican. Even Kansas and Nebraska aren't safe. Michigan and New Hampshire seem to be the only GOP pickup chances, thanks to strong mainstream candidates.

Republicans can afford to lose no more than three seats to hold their majority. How did what months ago seemed like a safe GOP Senate turn this way?

Start with Mr. Trump's job approval of 39.7% in the RealClearPolitics average. That typically corresponds to a wave for the party out of power. Mr. Trump is further underwater on the economy and inflation, and he even has a net disapproval on immigration. Mass deportation has included episodes of violence and stories of the law-abiding spending weeks in harsh detention.

Deportation roundups are hurting Susan Collins in Maine, while unpopular tariffs are making the Farm Belt a possible disaster for the GOP. Republican Ashley Hinson, the party nominee for Senate in Iowa, is capable. But the mood in the state is negative as tariff retaliation has cost export markets, and fertilizer and equipment prices are rising.

The President's latest tariff brawl with Canada is also hurting the GOP in Michigan and Maine, two states that trade heavily with their northern neighbor. The promised manufacturing renaissance was supposed to help in Ohio, but it hasn't arrived and GOP incumbent Jon Husted trails Democrat Sherrod Brown.

Mr. Trump has also hurt the party by meddling to oust electable GOP incumbents who weren't as deferential as he likes. He caused

The President often sounds as if he's campaigning against the Republican Senate.

Thom Tillis to retire in North Carolina, and that seat is now all but lost. In Texas he endorsed ethically challenged Attorney General Ken Paxton against Sen. John Cornyn, who would have won easily. Mr. Paxton is trailing Democrat James Talarico, and the GOP will have to spend tens of millions to be competitive and may still lose the seat.

Mr. Trump has also dampened the enthusiasm of GOP voters by railing against Senate Republicans. He attacks them for not breaking the filibuster rule to pass the SAVE America Act, among other imagined failings. He rails against Majority Leader John Thune. As in Georgia in 2021, he's giving conservative voters an excuse to stay home.

The President could be campaigning for more defense spending, or more government reform, or more pro-growth policies to raise real incomes. Instead he's fixated on his Washington vanity projects, including the White House ballroom and the District of Columbia Trump Arch. Polls show these don't matter to swing voters, who can be forgiven for wondering what Republicans want to do if they keep Congress.

Republicans seem to have decided to make the campaign a choice between GOP capitalism and Democratic socialism. That might work if Republicans can pin specific radical policies or votes on Democratic candidates. But most Democrats will run away from the socialist label, even if they'll vote that way if they win.

Republicans need a coherent message for the future that is more than a defense of their few accomplishments this Congress. Mr. Trump will have to spend his \$400 million cash hoard, while staying out of states and districts where he isn't popular. JD Vance's recent visit to Maine's second district didn't help Ms. Collins, whose main problem this year is her party affiliation.

The midterm election in a second presidential term is often bad for the party in the White House, with Bill Clinton a notable exception. The campaign still has two months to run, and Republicans might be able to avoid a Senate wipeout. But if they do lose their majority, Mr. Trump will find his Presidency in a two-year state of siege, and he'll be the main reason.

Pablo Torre 1, Mark Cuban 0

A big sports story of late is the NBA's punishment of the Los Angeles Clippers for violating league rules by trying to avoid the salary cap on player compensation. The sanction seems apt to us, but a related story is the vindication of reporter Pablo Torre.

The host of the podcast "Pablo Torre Finds Out" broke the story a year ago of the Clippers' links to a no-show endorsement contract between the company Aspiration and the team's star Kawhi Leonard. The Clippers and owner Steve Ballmer vociferously denied wrongdoing. Former Dallas Mavericks owner Mark Cuban, the voluble one, declared himself to be on "Team Ballmer" at the time and cast doubt on Mr. Torre's reporting.

But the NBA investigated, and last week

The billionaire doubted the podcaster, who has been vindicated.

commissioner Adam Silver leveled the punishment that includes banning Mr. Ballmer from the team for a year and the loss of five first-round draft picks. The Clippers and Mr. Ballmer are threatening a legal response, but the NBA investigative report by Wachtell, Lipton is persuasive about the role of the team's basketball executives. In other words, Mr. Torre was right. Mr. Cuban didn't apologize entirely, but he did issue a two-word response that is close: "Congrats Pablo."

We mention this because the first resort of politicians and other elites these days is to attack the press for fake news no matter the truth. The press makes mistakes, but its public role in exposing shady behavior is essential. Score one for Team Torre.

Democrats Want Fetterman 'on a Pike'

The price of dissenting from orthodoxy in Washington these days is high—if you're a Democrat. If you're a Republican who supports higher taxes or Big Labor, you're hailed as a free-thinker. But a Democrat who dissents on Israel becomes Public Enemy Number 2 after Donald Trump.

That's the treatment now descending on Pennsylvania Sen. John Fetterman, as former aides and fellow Democrats feed stories intended to drive him from the Senate. Sources who decline to be identified say he neglects semiofficial duties such as constituent meetings, committee hearings and public funerals, but that he appears on cable-news shows with regularity (including, mortal sin, Fox News). Readers can decide if these are serious offenses among the cast of dedicated saints known as the U.S. Congress.

Mr. Fetterman's real offense is political. He's a consistent progressive on taxes, healthcare, climate, guns, social issues and much else. But he vocally supports Israel in its war against Hamas and Hezbollah, backs President Trump's war in Iran, and rejects such progressive-left follies as abolishing Immigration and Customs Enforcement and defunding the police.

Such heterodoxy probably benefits Democrats by making their party seem less crazy. A lot of thanks he gets—his Democratic colleagues evidently want to ruin him.

Mr. Fetterman's defections from the party line have been few by comparison with previous eras. But progressives thought Pennsylvania had elected a dependable left-winger in 2022 and haven't overcome the shock that he has a mind of his own. Mr. Fetterman nearly died of a stroke days before his 2022 primary, and the close encounter with mortality altered his political outlook. He told the Journal in an interview last

The party can't tolerate his dissent from the new anti-Israel orthodoxy.

year that many Democrats "want more of the performative stuff, the yelling and the explosive things. But I've lost my taste for that."

The sight of protesters denouncing Israel hours after the savage Hamas attack of Oct. 7, 2023, also gave him a jolt. Mr. Fetterman's empathic support for the Jewish state has had the effect of highlighting Democratic leaders' reluctance to speak unequivocally about the left's flirtation with antisemitism. For that reason alone, they want him out of the way.

Abdul El-Sayed, the Democratic nominee in Michigan's Senate race and an anti-Israel obsessive, gave the game away when he named as a top priority once in office the defeat of Mr. Fetterman in a 2028 primary. "You put one ogre on a pike, and then everyone else gets the message," Mr. El-Sayed said with his usual charm.

The attack on Mr. Fetterman's alleged laxity in carrying out his duties is intended to provide progressive Democrats the talking points they need to promote a primary challenge, assuming they can't drive him to announce his retirement first. Expect more such accounts in the press, replete with quotes from unidentified party officials.

An anonymous group of former Fetterman staffers has started a social-media account promising to share their old boss's supposed misdeeds. The tattlers say they're "disgusted with what he's become," and they're leaking private emails and text messages in a clear violation of their staff obligations.

They'll feign indignation about poor office behavior, but what angers them is his occasional votes with Republicans, his refusal to indulge in hysteria about Mr. Trump and, especially, his unapologetic support for Israel. This is intolerable in today's Democratic Party.

LETTERS TO THE EDITOR

The Debate Over Foreign Money in Higher Ed

Regarding Craig Singleton's op-ed "Higher Ed's Secret Foreign Funding" (Sept. 1): The American Council on Education and the higher education community take seriously our obligation to safeguard important research work against malign foreign actors and have been working for years to achieve this goal in collaboration with national security and law enforcement agencies. Mr. Singleton argues for disclosing the names of all individual donors. This call neglects current law, the Constitution and common sense.

When Congress passed legislation mandating disclosure of foreign gifts to colleges and universities, it didn't include the names of individual donors as part of what is to be released. The Education Department's attempts to add that requirement fly in the face of congressional intent and also are likely a violation of the First Amendment, given a recent Supreme Court decision finding a religious nonprofit organization in New Jersey didn't have to disclose individual donor names.

Some private nonprofits and public institutions already report donor names to the Internal Revenue Service for gifts of at least \$5,000, but the IRS is barred from disclosing that information to the public.

We also remain deeply concerned that public disclosure of donor names could have tragic consequences, such as for family members of political dissidents living abroad. Other organizations, including the Council for Christian Colleges and Universities, have shared concerns with the Education Department.

We support our institutions in carrying out required and necessary re-

porting of foreign gifts. Don't force them to flout congressional intent or endanger lives in doing so.

TED MITCHELL
American Council on Education
Washington

The Education Department shouldn't cave to higher education groups trying to block the release of foreign donor names. I have filed more than 100 public records requests on higher education foreign funds, even obtaining donor names for 12 of the Association of American Universities' member institutions. I have found that public disclosure of foreign donors is neither unprecedented nor incompatible with foreign gift giving to universities.

New York state has required both public and private universities to disclose foreign funds since 1984, prior to the enactment of federal Section 117 regulations. Even as state public records disclose some foreign donor identities, New York universities have attracted substantial foreign gifts and contracts. Between 2015 and 2025, Cornell reported at least \$3.6 billion while Columbia received at least \$1.1 billion, according to federal data I obtained. Cornell, moreover, entered into a lucrative partnership with the Qatar Foundation in 2001 to operate a branch campus in the Gulf state.

New York isn't alone in disclosing some donor identities. Other states, including Pennsylvania, Utah and New Jersey, provide this information, too.

Transparency measures aren't running universities dry of foreign funds.

NEETU ARNOLD
Manhattan Institute
Boston

Data Centers: National Necessity or Nuisance?

Your editorial "The Data Center Panic and U.S. Decline" (Sept. 1) makes an effective case for the national importance of data centers.

But it would have been more persuasive to those who oppose them to have insisted that data center companies reduce their disruptive noise and improve their design. I believe data centers are vital for national security and the economy. Nevertheless, I don't want to hear, smell or see them in their present configuration, and I'll bet a lot of other people feel the same way. Until data center developers and companies make these changes, the opposition will grow louder.

R. BRECKENRIDGE DAUGHTREY
Manakin Sabot, Va.

Anxiety about data centers harkens back to anti-fossil fuel and anti-nuclear energy campaigns of the past. Oil and gas and their byproducts are essential to first-world living standards. The same is true of data centers. Practically every aspect of daily life is made possible through data-center interactions, from sending emails to online banking deposits to posting on social media.

America must lead on data-center build-out or else lose to China. Our data centers should use nonpotable water and off-grid electricity from reliable sources and minimize their environmental footprint while low-

ering taxes and energy bills. President Trump is right that data centers could unleash prosperity and revitalize forgotten communities. Don't bite the hand that feeds us. Let data reign.

GABRIELLA HOFFMAN
Director, Independent Women's
Center for Energy and Conservation
Alexandria, Va.

Your editorial asserts that "data centers also generate scant pollution." But residents understandably fear the effects of these projects on their health and the well-being of their communities. Virginia Commonwealth University Associate Prof. Damian Pitt and his associates found that emissions from data centers' generators in Northern Virginia increased significantly between 2015 and 2023. Emissions of carbon monoxide, nitrous oxide and dangerous particulate matter increased by 196%, 111%, and 139% respectively. In some instances, combined emissions from data center clusters exceeded the pollution associated with a natural gas power plant.

Americans deserve clean air and peace of mind. Implementing a Community Air Monitoring Program before seeking community approval protects resident health and reduces resistance to data center construction.

FRANK P. CASTRINA, M.D.
Carlisle, Pa.

Trump Aligns With Hamilton on Trade Policy

Regarding Andrew Langer's op-ed "What JD Vance Gets Wrong About Hamilton" (Aug. 28): Mr. Langer argues that Alexander Hamilton's tariffs "were generally moderate and principally intended to raise revenue without suppressing imports—a far cry from President Trump's sweeping protectionism." This is a misread of Hamiltonianism.

An instructive book by Carson Holloway, "Hamilton versus Jefferson in the Washington Administration," brilliantly outlines Hamilton's policies. A reading of this book makes clear that Mr. Trump's policy parallels that of the Founding Father.

Hamilton understood, as do Messrs. Trump and Vance, that governments use tariffs to benefit their countries.

Messrs. Trump and Vance, like Hamilton, scorn ideology. They are interested in what Hamilton called the "particular situation." Looking at the particular situation is the antithesis of

the free-trade ideology advocated by Mr. Langer.

The Trump administration gets it right: The essence of true conservatism is making prudential judgments based on a particular situation.

Messrs. Trump and Vance are restoring the balance of free trade across the world.

PATRICK J. WALSH
Quincy, Mass.

Do We Need More Lawyers?

Regarding Drew Thornley's letter "More Paths to Practice Law" (Sept. 3): Does anyone really think that the country would be better off if only we had more lawyers?

MICHAEL LEB
Pasadena, Calif.

Pepper ... And Salt

THE WALL STREET JOURNAL



Iran's Approach to Warfare Mirrors the Fabian Strategy

Regarding Lindsay Chervinsky's op-ed "How George Washington's Defeat Led to America's Victory" (Aug. 27): Washington's Fabian strategy of biting the enemy's ankles and just surviving sounds a lot like the Islamic Revolutionary Guard Corps's strategy in Iran today.

WILLIAM DAVID STONE
Beverly Hills, Calif.

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OPINION

An Award for Scholars Who Tell the Truth

By Roland Fryer
And Bill Ackman

One of us (Mr. Fryer) released a study in 2016—later published in the Journal of Political Economy—finding that police aren’t more likely to shoot black Americans than white Americans, after accounting for the relevant context. Colleagues who read the draft warned him not to publish: “You’ll ruin your career.” The paper was denounced on social media within minutes of release, and Mr. Fryer needed armed protection for more than a month. Privately, scholars who read the study called it rigorous, honest work. Publicly, many of the same scholars said nothing. No single study settles a question this large—but silence isn’t how science advances.

The Carob Trust Prize for Academic Courage will honor social scientists who face unjustified attacks.

That silence is the problem—a cultural and an economic one. When the professional cost of publishing an unwelcome finding exceeds the cost of suppressing it, rational scholars suppress it. The result is that social-science literature reflects what researchers are permitted to say rather than what they actually discover. The scope of the problem is difficult to measure, because its most important effects are invisible—though the data we have suggest it is getting worse. In a 2024 survey of more than 6,000 professors by the Foundation for Individual Rights and Expression, 35% said they had toned down their written work for fear of controversy—roughly four times the share of social scientists who admitted the same at the height of McCarthyism.

Over the past decade, Mr. Fryer has met with hundreds of undergraduate and graduate students—careful,

talented, serious scholars—who came not to discuss what they had found but to ask whether they were allowed to say it. “Can I publish this?” has become a common question. So has “Can I say this in public?”

These students had results. They had run the regressions, conducted the robustness checks, and done the work. What they lacked was confidence that those results would be received as anything other than a provocation, with their motives impugned. Some buried the findings. Some chose different dissertation topics entirely. We can’t calculate the discoveries that never happened. The papers that were never written. The policies that were never corrected because someone decided the cost of honesty was too high. Deciding which answers are acceptable before the investigation begins isn’t solidarity. It is sentimentality. And sentimentality has never closed an achievement gap, reduced an infant mortality rate, or lifted anyone out of poverty.

Mr. Fryer raised the alarm about suppression of inconvenient findings in a November 2024 Wall Street Journal essay. He called for something like a MacArthur Fellowship or an X Prize for academic truth-telling. The prize should be large enough to matter, prestigious enough to serve as a public credential for scholars who were right when it was costly to be right. Shortly after that piece ran, we found each other and decided to launch the Carob Trust Prize for Academic Courage.

The prize awards \$1 million each to as many as five social scientists a year who have demonstrated intellectual independence, published findings that were attacked rather than answered, and been validated by the evidence—despite the professional cost. The selection criteria are designed to distinguish courage from contrarianism: Nominees must show a sustained commitment to following logic and evidence regardless of pressure, a willingness to ask questions others avoid, and work that has shifted academic debate, public discourse or policy—often despite being



DAVID GOTHARD

misread, mischaracterized or vilified at the time of publication.

The inaugural prize is limited to the social sciences; in future years we hope to broaden it to additional disciplines and to add a category for institutional leadership. Nominations are open through Nov. 1, and the first winners will be announced in early 2027.

We expect the prize may be mischaracterized. There are already prizes sponsored by conservative philanthropists for scholars who challenge progressive orthodoxy. There are fellowships at think tanks for which the conclusions are written before the research begins. On the other side, there are faculty award committees at major universities that have for years honored scholars whose findings align comfortably with the politics of their institutions. A prize that rewards only the scholars whose findings make conservatives comfortable isn’t a truth prize—it is a subsidy for being a team member. A prize that rewards only the scholars whose findings make university administrators comfortable is the existing system with better catering.

The scholars we want to honor include the researcher who finds that systemic racism is the primary driver of a given disparity and is dismissed by colleagues who don’t want to hear it. They include the health economist whose data on genetics and disease are weaponized by people she never meant to arm. They include anyone whose careful social-science work, wherever it leads, has been met with organized suppression rather than organized rebuttal. The test isn’t the conclusion. The test is the quality of the work, the hostility of the reception, and the verdict of the evidence over time.

We have tried to make this structurally resistant to capture from either direction. The selection committee spans the ideological spectrum. Members include the Harvard economist and Nobel laureate Eric Maskin, the Johns Hopkins sociologist Stefanie DeLuca and the Brown University economist Glenn Loury. Many of them have paid a professional price of their own for following evidence to uncomfortable places. They don’t share politics. They share an epistemology: that a

finding isn’t made wrong by being unwelcome and isn’t made right by being convenient. Mr. Fryer chairs the committee; no one on it is eligible for the prize, and Mr. Ackman, who funds it, has no vote on winners. A prize that requires consensus among people who disagree about nearly everything is harder to pull toward any one agenda than a prize administered by allies. We view this as a feature, not a complication.

We are, in this sense, our own proof of concept. One of us is a black economist from the American South who has never voted for an actual candidate. (He writes in Richard Pryor, or a friend, because neither political party has been faithful enough to the evidence to earn his vote.) The other is a white billionaire whose views and politics are out there for all to see. We come to this from different worlds, different experiences and different instincts about most things.

But we deeply agree on the most important principle: You can’t help people you don’t understand. Bad data have victims, and they are rarely the professors. They are the families who can’t buy their way out of a failing school or an unsafe street. The scientific method isn’t a political position. Treating it as one is how America loses.

We are under no illusion that a prize can change culture overnight. What it can do is change the career calculus at the margin—for the graduate student wondering whether a question is too risky, the junior professor deciding whether to submit a finding that will generate angry emails, the senior scholar who has quietly stopped asking the questions he once did. We aren’t telling them to be brave. We are trying to make doing their jobs less expensive.

Mr. Fryer, a Journal contributor, is a professor of economics at Harvard, a founder of Equal Opportunity Ventures and a senior fellow at the Manhattan Institute. Mr. Ackman is CEO of Pershing Square Capital Management.



EDITOR
AT LARGE
By Gerard
Baker

Life is measured in mileposts, a steady progression through the rites of passage that delineate the mortal journey. When we’re young the markers of time are mostly thrilling firsts: first day of school, first kiss, graduation, first job, marriage, first home. Soon they give way to other, less welcome firsts: first broken heart, first hospital visit, first death of a loved one. As we age, the firsts are replaced by a steady accumulation of lasts. The realization dawns that each of the little rites of life and love we have performed with metronomic regularity for decades are happening now for the final time: the last trip to a favorite place, that last steep hill climb, the last visit with an old friend.

The joy of parenthood is getting to live all those firsts again through your children. The pain comes in realizing you will do the lasts again too. Suddenly the most routine

things you have done for years become pregnant with existential significance as you realize you will never do it again. The finality of the act reminds you not only of your own mortality, but of the strange and awful severing that growing old represents: the shock of understanding that these creatures you have made and shaped aren’t yours after all. All you can do is send them on their way to mark off their own succession of firsts and lasts.

This somewhat maudlin rumination was prompted last month by one of those lasts for me, a mortality-reinforcing moment that the Anglo-Irish poet C. Day-Lewis (1904-72) called “the small, the scorching ordeals which fire one’s irresolute clay.” My fifth and youngest daughter (yes, I have five—I sometimes think I am but a character in a Jane Austen novel) embarked on her senior year in college. And so, for the 20th time her mother and I said goodbye to a fledgling uncertainly attempting flight.

I realized as we packed that this would be my last long drive from New York City to the Midwest and

back, the last effort to cram what always seems like enough stuff to fill a family home into the back of a groaning vehicle, my last grumbling lecture about how when I went to college I had a suitcase and an alarm clock, the last time I would try to get my head around how many pairs of shoes a young woman needs.

An annual ritual with my youngest daughter has me thinking about the loss inherent in life’s seasons.

It was the last chance too to sit in a car for 12 hours and talk—between the music and the podcasts—about our hopes and fears, the last chance to be reminded of what a simple joy the college years are, to wander around the branchy groves of a great university buzzing with that unique energy of young men and women in the anticipatory excitement of people about to embark on their greatest journey.

There is salt to every strawberry. There is plenty I won’t miss about this ritual. I won’t miss the daylong back- and leg-torturing drives west and east along Interstate 80, the numbingly familiar, mostly unchanging terrain. I won’t miss the stops for fast food and comfort breaks in windswept concourses of highway service plazas. I won’t miss another day driving back and forth between the storage unit and the dorm (it turns out the oversize car load was only a fraction of the vital necessities of a 22-year-old woman).

And I certainly won’t miss the tuition. My daughters have been enriched by their education and we don’t regret the investment. But I can’t suppress a wince when I mentally calculate how much more house or car or pension I could have had if I hadn’t deposited something close to a small country’s gross domestic product into the bulging coffers of a private university.

Yet of course the pain comes harder when you realize you would do it all again in a heartbeat just to have a little more time with them. You would happily drive twice the

distance, eat three times the terrible food, to have another chance to defer this last time. And the real pain comes when you think back to the times when the whole parenting thing seemed too much: the sleepless nights, the tears, the teenage tantrums. Now, performing among the last of the parental duties, you would give everything to turn back the clock, knowing that all of the trouble and inconvenience of being with a young child doesn’t amount to a fraction of the pain of parting from her.

In his poem “Walking Away,” from which I quoted above, Lewis captures the cruelty and beauty of this moment. He describes how he watches his young son nervously, hesitantly leave his father’s side to take the field for his first soccer game, and he relates the awesome, sacred truth that this tiny moment of separation signified:

“I have had worse partings, but none that so / Gnaws at my mind still. Perhaps it is roughly / Saying what God alone could perfectly show— / How selfhood begins with a walking away, / And love is proved in the letting go.”

Is Court Packing Constitutional? Don’t Be So Sure

By James Piereson

Democrats are trying to revive an idea left for dead nearly 90 years ago: packing the Supreme Court. Many members of the party have proposed expanding the court from nine justices to 13 the next time they win control of the presidency and Congress. That would transform a 6-3 conservative majority into a 7-6 liberal one.

Last week only one House Democrat, North Carolina’s Don Davis, voted for a measure to propose a constitutional amendment fixing the court’s size at nine. But it’s unclear that such an amendment is necessary. Democrats cite several precedents from the 19th century in

which Congress voted to increase the number of justices. But there are no clear precedents that support a partisan court-packing plan and a strong argument that it would be an unconstitutional assault on judicial independence and the separation of powers.

Article III establishes “one Supreme Court,” and Article I mentions “the Chief Justice,” but otherwise the Constitution leaves to Congress the authority to establish the structure of the federal judiciary, including the number of justices. In the Judiciary Act of 1789, Congress created the Supreme Court with six justices.

That number fluctuated during the early 19th century, mostly for

administrative reasons. Justices were expected to “ride the circuits”—to spend part of each year hearing appeals and presiding over trials in the geographical circuits they represented. As the country expanded westward, Congress created new circuits, along with new justices to hear cases in those circuits.

The Seventh Circuit Act of 1807 created a new judicial circuit made up of Ohio, Kentucky and Tennessee and added a justice to ride it. The Eighth and Ninth Circuits Act of 1837 and the Tenth Circuit Act of 1863 expanded the high court further. But the Judicial Circuits Act of 1866 consolidated the circuits into nine, and the Judiciary Act of 1869 fixed the high court’s size at nine justices. By the time Congress created the modern 10th Circuit in 1929, it had abolished circuit riding.

There were two occasions on which Congress reduced the size of the court for political reasons. In 1801 lame-duck Federalist lawmakers eliminated one justice to deprive President Thomas Jefferson of an appointment. Congress repealed that law in 1802, before a vacancy arose, and reset the number of justices to six. The Judicial Circuits Act of 1866 would have reduced the size of the court from 10 to seven to deprive President Andrew Johnson of new appointments. The court shrank to eight justices before President Ulysses S. Grant signed the 1869 Act.

Franklin D. Roosevelt initiated the only effort to expand the court for

partisan reasons. Frustrated that a coalition of conservative justices had declared New Deal legislation unconstitutional, he proposed in 1937 to expand the court gradually to 15 justices by adding a new seat when justices reached age 70 and 10 years on the court and didn’t retire within six months. Democrats held more than three-fourths of the seats in both congressional chambers, but the proposal stirred bipartisan opposition from lawmakers who said it would politicize the court and turn the president into a dictator.

In short order, the Senate Judiciary Committee issued a stinging rebuke, declaring that the plan “should be so emphatically rejected that its parallel will never again be presented to the free representatives of the free people of America.” One conservative justice began voting with FDR, and the controversy passed, having scuttled the idea of partisan court packing.

Until now. Democrats say that if they gain power in Washington, they will kill the Senate filibuster, expand the court by a simple majority vote, and then confirm new justices as soon as the president appoints them.

But the courts will have something to say about all this. Republican lawmakers will likely file a lawsuit challenging the legislation, so that those appointments will be held in abeyance while the issue works its way to the Supreme Court.

Ruling on their own institution would put the justices in an awkward

position. But there are good reasons to think such a law would be unconstitutional, in that it would undermine the separation of powers and the independence of the judiciary. The history of court expansion in the 19th century provides no support for the Democrats’ plan, nor does the language of the founders in their commentary on the Constitution or FDR’s ill-fated experiment with court packing.

The justices may also consider the long-term implications of court packing. Once one party starts it, the other party will have every reason to follow suit, leading to further expansions of the court. A court composed of 20 or 50 or 100 members at some point would come to look like another legislative body.

No matter how this legal battle played out, a court-packing law would undermine respect for the rule of law and further politicize the Supreme Court. That would be the only effect if the Democrats were to lose in court.

Instead of tossing aside Senate rules and breaking other norms and precedents to pack the court, Democrats would be better advised to follow the example of Thomas Jefferson’s Republicans, not to mention Ronald Reagan’s and Donald Trump’s. Influence the court the old-fashioned way, by electing presidents and senators who will appoint justices more to their liking.

Mr. Piereson is a senior fellow at the Manhattan Institute.

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SPORTS



JASON GAY

The Last Second Flip-Flop

Western Michigan appeared to have secured a historic upset of Michigan. Or so it seemed.



Whatever you do, please—*please*—don’t call it a “miracle.” Because it seems less like a miracle and more like college football shenanigans. Skulduggery. Flimflam.

Flimflam, I say!

If nothing else, it’s further evidence of a vast, intergalactic conspiracy to ensure the University of Michigan gets to play by its own rules—and stop jerks like me from making fun of friends and colleagues who went to school there.

(If you attended Michigan, I suspect you see it differently, and may mildly disagree with the above.)

Saturday night in Ann Arbor, visiting underdog Western Michigan appeared to have secured a historic upset over its in-state Goliath when time expired as (or maybe even before!) a last-second Hail Mary pass by Wolverine quarterback Bryce Underwood touched an out-of-bounds Western Michigan defender, ending the contest and handing Michigan one of the most embarrassing defeats in school history.

Or so it seemed...

Replay officials took a gander at the replay and decided there was still one second left in the game. This was an interesting interpretation, as the rest of us looked at the 0:00 on the game clock and assumed, as reasonable

people tend to do when they see 0:00 left on the clock, that time had expired, because that’s usually a safe assumption when there’s 0:00 left on the clock.

We weren’t the only ones who thought the game was over. Western Michigan’s players celebrated a presumed 12-7 victory. The crowd in the Big House was stunned. Brand new Wolverine head coach Kyle Whittingham—hired to clean up after a scandal, in his first game in maize and blue—looked like a man who’d give anything to be back home eating cookies under a pile of comfy blankets.

The upset of the decade was here, in the first weekend of September. Western Michigan had

never beaten Michigan. A Big Ten behemoth had been punked by the Mid-American Conference.

And I—the classy guy that I am—was going to spend the next 45 minutes sending obnoxious text messages to every Wolverine I knew.

Folks, I went to Wisconsin. These are the rules. This is what you do when Michigan gets upset.

To my horror, officials added one more second, and one more play.

And on this try, Underwood’s Hail Mary was caught by Michigan’s J.J. Buchanan as time, this time, truly expired.

Victory, Wolverines. Devastation for Western Michigan, who deserved better. And an absolute

Michigan’s J.J. Buchanan caught a game-winning touchdown as time expired to help the Wolverines escape with a 13-12 victory.

bummer for me and anyone else who really craved some Saturday night Schadenfreude.

Wolverine fans rushed the field, an absurd act considering that Michigan was a 27.5-point favorite in this game, but whatever, civilization is crumbling and there’s no honor anymore.

Was this somehow linked to Michigan’s recent decision to drop first-semester grades for its incoming freshmen? Had university officials declared any bad news on campus off-limits and dialed up a soothing Wolverine win?

Social media, as it is engineered to do, raged over the call. Was this the biggest heist in college football history? It was the maddest the sport had gotten in ages at anything that didn’t involve Lane Kiffin.

Angry fans urged Western Michigan to take its case to court. Find a friendly judge in Kalamazoo or East Lansing or Columbus to bang a gavel and void the Wolverine win.

That’s what the American justice system is for, after all. College football grievances.

The Big Ten would come forward in the wee hours with a detailed explanation—complete with video, a clock countdown and the chatter of the review officials—to (surprise) back up the controversial decision.

This version of the footage vs. the clock appeared to show that a Western Michigan player had touched the ball with one second left on the game clock. Replay officials discuss this calmly, matter-of-factly, like they’re ordering appetizers.

We are going to put one second on the game clock...and let’s get the wings and some of those mozzarella sticks.

The Big Ten added that “all broadcast cameras used for the replay system, including the camera on the game clock, are synced using a strobe system to ensure all cameras are aligned.”

OK. So what clock was NBC using? The late Merlin Olsen’s old Casio?

This is what sports have become in the replay era: overriding your own eyes and common sense in favor of digital forensics and wonky clarifications that arrive long after the stadium has cleared out.

Michigan fans can now spend the rest of Labor Day weekend as they prefer, telling us they’re right and the rest of us are all hopelessly wrong. It’s about as fun as it sounds.

We all saw what we saw. Today, Western Michigan simmers as Michigan survives. Call it a win, call it an escape, call it the clandestine claw of the dreaded Wolverine. Just don’t call it a miracle.

Kiffin’s LSU Squad Off to Flying Start

By Robert O’Connell

The noise around LSU grew so loud in recent days that you might have forgotten that the Tigers’ football team actually plays football.

In the buildup to their Week 1 showdown with Clemson, a firestorm had engulfed the Tigers’ program. Lane Kiffin, the school’s polarizing new head coach, lived up to his reputation as a master of loopholes by recruiting players straight out of NFL training camps. Coaches from all levels of football denounced what they saw as a flagrantly corrupt talent grab. And just two days before kicking off its season on Saturday night in Baton Rouge, LSU found itself being sued by the SEC, its very own conference.

But when the Tigers walloped Clemson 51-10 in the most anticipated matchup of college football’s opening weekend, Kiffin reminded the world that he isn’t content with being the craziest sideshow in America’s wildest sport.

He’s out to conquer it—and he doesn’t care if he makes an enemy of everyone else in the country.

“What’s the difference?” Kiffin said after the game. “Everybody hates you, they can’t hate you that much more.”

Kiffin has spent his entire coaching life testing that philoso-

phy. He has called rival head coaches cheaters by name. He has quit jobs in the middle of runs to the postseason and on the eve of national championship games. And he’s turned over every stone to win, including nabbing players fresh out of NFL training camps.

But Kiffin has also established himself as one of the premier offensive minds in the sport, and it was his genius for play-calling that made the difference on Saturday. Kiffin’s designs launched receivers into wide open grass and sent running backs bursting clean through the line of scrimmage. LSU gained 644 yards—more than quadrupling the offense Clemson could cobble together.

And as it turned out, Kiffin’s team didn’t even need the much-discussed former pros to help. Despite a recent injunction that would have allowed two of them to suit up, the school held them out of the game to hedge against future court decisions and possible penalties handed out by their conference.

“Imagine if we had pro players,” Kiffin quipped before joggng to the locker room at halftime.

Clemson coach Dabo Swinney had pointedly criticized Kiffin in the days before the game. But Kiffin made it clear that he was out for blood in his first outing as LSU’s head coach. The trouble with stirring up controversy, he

644
Total yards gained by the LSU Tigers in a 51-10 win over Clemson



LSU head coach Lane Kiffin reacts during the team’s 51-10 blowout win against Clemson in the season opener.

admitted, is that it comes crashing down on your head if you underperform.

“Even if we won close and kind of ugly,” Kiffin said, “the whole story would have been, ‘I screwed the team up.’”

But from the second quarter, when quarterback Sam Leavitt sprinted for two touchdown runs to put LSU up 31-3, it was clear that there would be nothing close about Saturday’s contest. And it was only ugly if you were on the Clemson sideline.

“The best thing about that one,” said Clemson coach Dabo Swinney, “is that it’s over.”

The truly frightening thing, for a college football world that would

like nothing more than to be rid of him, is that Kiffin is only getting started. In the years since he flamed out as USC’s head coach in 2013, Kiffin has made a patient climb back up the sport’s mountain, rehabbing his reputation at Florida Atlantic University before leading Ole Miss to its first playoff in history. (Kiffin, of course, jumped ship before Ole Miss actually played in the playoff.)

At each of those jobs, Kiffin had to use his wits to make up ground against college football’s historic powerhouses. But Saturday was the first glimpse of what Kiffin looks like with the full might of a football-crazed state at his disposal. LSU has shelled out

more than \$40 million in NIL payments to its roster this season, an outlay that helped it build the top transfer recruiting class in the country.

And that’s on top of the \$13 million annual salary they paid to coax Kiffin away from Mississippi.

On Saturday, after weeks of scandals and headaches, that looked like money well spent. Swinney had called Kiffin’s pursuit of NFL players “embarrassing” just days before the game—then Swinney’s team lost by more than five touchdowns.

College football’s old guard may not like the way Kiffin does business. But they’d better recognize that it works.

Jaguar Land Rover Cuts 4,000 Jobs

The Range Rover maker is among the hardest hit by Trump’s tariffs

By Stephen Wilmot

Jaguar Land Rover is cutting 4,000 jobs as the automaker contends with President Trump’s tariffs, a sales collapse in China and big investments in electric vehicles. The British company said

on Monday that it would eliminate roughly a 10th of its global workforce as part of a plan to cut \$2.3 billion of costs over the next two years. It is targeting salaried employees and managers rather than factory workers, initially via a voluntary program.

The restructuring at JLR, which is owned by India’s **Tata Motors**, is the latest sign of turmoil in the European car industry. Volkswagen’s board last week approved a plan to cut 50,000 positions, while BMW

said in July that it would reduce its workforce by about 8,000.

“The automotive industry faces significant challenges, with technological change amidst intense competition and ongoing geopolitical uncertainty,” JLR Chief Executive P.B. Balaji said.

Balaji said cost savings would support investments in areas such as electrification, digital technologies and advanced manufacturing.

The job cuts came less than a week after JLR opened or-

ders for the Range Rover Electric, the brand’s first electric vehicle. Despite an early hit with the Jaguar I-Pace, JLR has lagged behind European rivals in developing EVs.

The company is among the car manufacturers hardest hit by the higher U.S. tariffs introduced by the White House last year. It pays a 10% tariff to ship Range Rovers from its flagship British plant and 15% for the Defender and Discovery models made in Slovakia, up from 2.5% for both countries previously.

The U.S. is by far its largest market, accounting for roughly a quarter of sales in its most recent financial year, which ended in March. It is also the company’s top growth opportunity, Balaji said at a recent investor day.

Unlike BMW and Mercedes-Benz, JLR doesn’t have an American production base, leaving it with no option for now but to pay the higher tariffs to access the U.S. market. The company doesn’t sell *Please turn to page B2*

Robinhood Wins a New Role In the IPO For Oura

By Jasmine Li and Hannah Erin Lang

Smart-ring maker Oura’s recent initial-public-offering filing listed a surprise underwriter: **Robinhood Markets**.

It is the first official underwriting gig for Robinhood, the retail brokerage of meme-stock fame that in recent years expanded well beyond equity and options trading.

San Francisco-based Oura, best known for its fitness-tracking rings, filed to go public on Thursday, in an offering that is expected to value it at north of \$11 billion. Founded in Finland in 2013, Oura is popular among health and longevity enthusiasts and has many fans on Wall Street.

Goldman Sachs, Morgan Stanley, JPMorgan, Allen & Co. and Jefferies are lead bookrunners on the deal, meaning they will command most of the work and fees. Robinhood is listed 18th and last. But that is still a victory.

“We intend to be disruptive in this space,” Robinhood Chief Executive Vlad Tenev said in June, when the company received regulatory approval to underwrite deals.

Working as an underwriter should give Robinhood more influence over the number of shares set aside for its customers. In recent years, retail traders clamored for more access to newly public companies—but the number of shares allocated to brokerages in popular offerings often fall well short of demand. Bankers tend to give priority to institutional investors.

“We usually think of retail investors as the residual claimant of whatever shares are left,” said Jeremy Michels, associate professor at Purdue University’s Daniels School of Business. “But with Robinhood getting into this market, it’ll be interesting to see if potentially that role changes.”

When SpaceX made its stock-market debut this summer, individual investors requested some \$100 billion of shares. SpaceX gave more than normal to individual investors—about 20%—but it wasn’t enough. On listing day, X was littered with gripes from those who received far fewer than they requested.

It is auspicious timing for Robinhood getting in on the game. The market is preparing for another wave of large IPOs *Please turn to page B2*

To Boost Range Of EVs, Makers Add Gas Engines

By Christopher Ottis

The auto industry has a new solution to Americans’ fear that electric vehicles will run out of juice: a gasoline engine.

Hyundai, Ford Motor and Jeep parent **Stellantis** are among the first U.S. market automakers planning to roll out a new kind of plug-in vehicle called an extended-range EV. It is a fully electric car with the security blanket of a gas-powered generator to charge the battery, if needed—ensuring you won’t end up stranded as long as a gas station is nearby.

“It is simply a good answer,” said Micky Bly, head of propulsion systems at Stellantis, which aims to kick off the “EREV” trend in the U.S. later this year or early next with its Jeep Grand Wagoneer SUV. A second range-extended vehicle, a pickup truck called the Ram 1500 REV, will follow it. The truck couples a large EV battery with a gas V-6 to recharge it, promising up to 690 miles of driving—more than twice the typical EV in the U.S.

In late August, Korean giant Hyundai said its next Santa Fe SUV will offer an EREV version in 2027. Hyundai has said it would provide about 600 miles of driving. Its luxury brand Genesis will offer a similar vehicle. And after canceling its money-losing electric F-150 Lightning truck last December, Ford says it will resurrect that truck as an EREV.

The cars have a gas-powered generator to charge the battery.

Whether customers will embrace a new and complicated middle-ground technology is a separate question. EV newcomers often struggle with the complexities of charging,

and previous attempts to marry plug-in and gas vehicles haven’t found much commercial success in the U.S.

“Now we’re throwing in another layer of complexity and oddity,” said Ivan Drury, director of insights at car-shopping site Edmunds. “There’s going to be a major level of education required.”

Nick Phucas, a mechanical engineer in Virginia, recently swapped a Rivian EV truck for

Extended-Range Electric Vehicle (EREV)

Gas

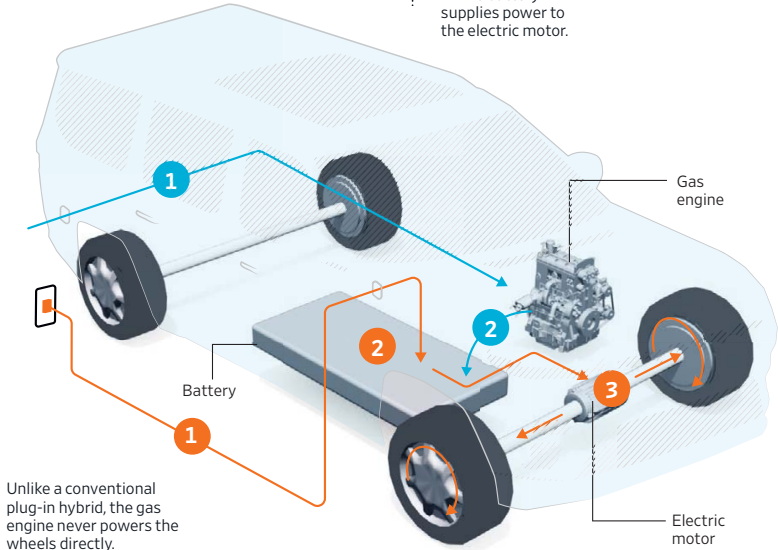
1. The vehicle’s engine receives gas from a pump.

2. The engine powers a generator to supply electricity to the battery.

Plug

1. The vehicle’s battery receives electricity by plug.

3. The electric motor powers the wheels’ movement.



Unlike a conventional plug-in hybrid, the gas engine never powers the wheels directly.

Note: Configuration of components varies Sources: Hyundai; Telemetry Agency

MERRILL SHERMAN/WSJ

a Ram gas pickup. Phucas said the EREV concept is intriguing, but wonders whether the truck’s performance will be compromised when relying on the gas generator.

Other unknowns remain, he said. “If I get to the end of my (EV) range and I refill with gas, what will my range be?” he said.

The new approach comes as the industry is navigating a painful retrenchment from

seeking a mostly electric market by the 2030s, with billions of dollars in stranded investments as customers failed to make the switch at levels once projected.

EV sales remain depressed since the Trump administration removed a \$7,500 incentive last year and rolled back regulations driving a more electric market.

Two primary concerns have kept Americans from buying

EVs en masse: the higher cost of battery-powered cars, and concerns over range—specifically, the availability of charging. In theory, EREVs solve the range and charging problem, while offering other advantages for bigger vehicles like three-row SUVs. Those require large batteries that can struggle with long recharge times. The setup is popular in China’s high-tech auto market, *Please turn to page B2*



Meta Platforms expects its data center in northeast Louisiana to cost more than \$50 billion.

Insurers Set Sights On AI Data Centers

By Jean Eaglesham

The \$1 trillion race to build data centers is driving the economy—and creating a huge new opportunity for insurers. The industry is eyeing a once-in-a-generation chance to generate tens of billions of dollars in additional income.

Global premiums for insuring data centers will likely reach \$20 billion to \$30 billion a year by 2030, reinsurer **Swiss Re** forecast in a report this month.

That is a supercharged rate of growth: at least double the \$10 billion in new premiums the centers could generate this year, according to ratings company S&P Global. To compare to another major market, it is four times the \$5-billion-a-year size of global aviation insurance, according to S&P.

“U.S. data centers are likely one of the biggest opportunities for commercial insurers for decades,” said Jérôme Haegeli, group chief economist at Swiss Re.

Individual artificial-intelligence data centers are among the most valuable insured assets in the world—often worth \$20 billion upward each, more than bridges, tunnels and skyscrapers. Tech firms can balk at paying for full coverage, instead opting to essentially carry a significant chunk of the risk on their own balance sheets, according to analysts.

The scale of self-insurance represents an “amazing opportunity” for the insurance industry, said Jim Bichard, chief financial officer at Lloyd’s of London, the insurance marketplace. Insurers and brokers are working on new structures, including outside sources of capital, to fit the specialized insurance requirements for hyperscale data centers.

Even if the backlash against the AI boom slows the forecast pace of growth, data centers offer a tantalizing sales prospect for insurers.

Hundreds of billions are al-

Pensions, a Lost Benefit, Make Small Comeback at Companies

By Anne Tergeesen

Pensions were on their way to becoming a relic at American companies.

Now some companies are bringing them back.

The lost benefit is being revived by a small but growing number of companies to settle negotiations with labor unions or win over employees in fields where recruiting and retaining workers is especially competitive.

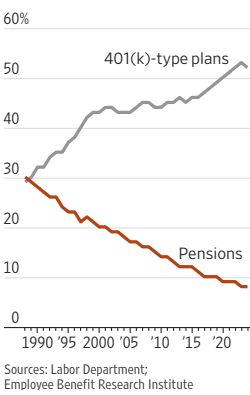
Matthew Cronin, 27 years old, is among the 600 workers who recently won the benefit from PECO, Pennsylvania’s largest electric and natural gas utility. He plans to keep contributing to his 401(k), but is counting on the pension to help offset the cuts to Social Security he is anticipating.

“Having a pension is a big motivator to staying with the company,” said Cronin, a consultant for PECO who helps customers connect to the grid.

Other employers reopening or starting pensions include **International Business Machines**, meat processing giant JBS Foods and Northwell Health, a major medical system in New York and Connecticut.

Unlike 401(k)s, pensions are typically paid for by employers and offer a retirement check for life. The plans were hit hard by the 2008 financial crisis, when stocks plummeted and new funding requirements

Share of private-sector workers with retirement plans, by type



Sources: Labor Department; Employee Benefit Research Institute

forced many companies to contribute more to shore them up. Many companies froze their plans to stop benefits from accruing, moving employees into 401(k) plans.

Less than 10% of private-sector workers participated in pensions in 2024, down from about 30% in 1988, according to the non-profit Employee Benefit Research Institute. Government workers are much more likely to have

10% Percentage of private-sector workers with pensions in 2024.

one. But recent changes to some types of pensions have made them less of a financial risk for companies, said John Lowell, a pension consultant at October Three. Traditional plans generally

promise lifetime benefits based on salary and years of service, whether markets rise or fall. To reduce the unpredictability of their pension costs, companies including IBM began converting them to cash balance pension plans in the 1990s.

With this version of pensions, employers credit employee accounts with a preset percentage of pay annually and promise a return that is often tied to Treasury yields.

Many newer plans instead give workers market-linked returns, similar to a 401(k). That shifts most of the investment risk to employees.

Such changes have reduced many of the funding risks and uncertainties that employers disliked about traditional pensions, said Olivia Mitchell, a pension expert at the University of Pennsylvania’s Wharton School.

We aren’t going back to a pension-based system, but there is “a selective revival under way,” she said.

In 2023, nearly 26,000 employers—most of them relatively small—had cash-balance plans, up from about 23,000 in 2020, according to FuturePlan by Ascensus, a plan administrator.

Market conditions are also pushing companies to rethink pensions, including rising stock prices and higher bond yields, which make it easier to meet future payouts.

Many pensions—both active and dormant—now have surpluses, pots of money they can use to fund pension benefits for current employees. The top 100 U.S. corporate pensions *Please turn to page B2*

INSIDE



AUTOS

Volkswagen’s peace deal with unions sets up fresh battles to come. **B3**



HEARD ON THE STREET

Birkin gets in the way of Hermès watch ambitions. **B9**

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‘Spider-Man’ Keeps Climbing



The film earned \$23.5 million this holiday weekend.

Estimated Box-Office Figures, Through Monday				
Sales, In Millions				
Film	Distributor	Weekend*	Cumulative	% Change
1. Spider-Man: Brand New Day	Sony	\$23.5	\$923.3	4%
2. The Odyssey	Universal	\$17.3	\$589.1	21%
3. Coyote vs. Acme	Falling Forward Films	\$15.9	\$38.4	—
4. By Any Means	Paramount	\$9.3	\$9.3	—
5. Insidious: Out of the Further	Sony	\$8.1	\$55.7	-21%

*Friday, Saturday, Sunday and Monday in North American theaters

Source: Rentrak

Insurers See AI-Center Opportunity

Continued from page B1 ready being plowed into the build-out: Whatever investors decide for the future, “the infrastructure already built doesn’t disappear,” Swiss Re’s Haegeli said.

The biggest check on the insurance gold rush: the risks. Data centers are exposed to an array of potential threats during their construction and operation, from extreme weather to power cuts, IT failures and even terrorism. The clustering of buildings in areas such as Virginia’s “data center alley” means a single event—such as a tornado—can trigger multiple major claims.

“The risks are very, very significant,” said Richard of Lloyd’s of London. “The scale is so much bigger than we’ve seen in more traditional markets.”

Tech companies typically choose sites for data centers based on affordable land and easily accessible power, factors that favor disaster-prone states, such as Texas. As the hyperscale build-out gathers pace, the dollar value of assets exposed to potential catastrophe is spiraling.

More than a third, or 40%, of U.S. data-center capacity is located in tornado-prone areas, and over a quarter in areas subject to large hailstorms, according to Swiss Re. Flash floods are another significant—and hard to predict—threat.

Some risks can be largely sidestepped: choosing not to build on an earthquake fault

line, for example, or in flood plains. But other threats are much harder to avoid.

“The peril that is most concerning is really tornadoes,” said Karen Clark, chief executive officer and co-founder of risk-modeling firm Karen Clark & Co.

Developers can’t protect assets from the most severe grade of tornadoes, but rely on the fact that the chances of one hitting any particular location is very low, according to Clark. “You’re betting on the probability,” she added.

Another insurance headache is that the resilience of new hyperscale data centers, each of which can house billions of dollars in physical assets, is largely untested. Policies are being underwritten without the usual benefit of a long track record of claims to help set the rate and terms.

That all adds up to high prices. “The premiums become quite large, very quickly, the way they have to date been priced,” according to risk-modeler Clark.

A hyperscale data center can have a total insurable value of \$20 billion to \$30 billion, according to an S&P report this year.

A few are bigger still: **Meta Platforms**, for example, forecasts its center in northeast Louisiana will cost more than \$50 billion. A single center can house thousands of servers, along with valuable energy and cooling systems.

Some of the biggest insurance companies are willing to take on a “low single-digit billions” slice of the risk for a given center, S&P said. “No single insurer can absorb the risks alone.”

Some risks, such as technology-related losses, will “likely remain self-insured or only partially insured,” the report added.

BUSINESS & FINANCE



An extended-range Jeep Grand Wagoneer SUV is planned for later this year or next.

EV Makers Turn to Gas Solution

Continued from page B1 where even Ford and **General Motors** offer EREV vehicles not sold in the U.S.

Most plug-in hybrids on the road today are essentially gasoline vehicles with a battery shoehorned in to provide a small amount of all-electric range. EREVs flip the concept. They are designed first as electric vehicles, and the en-

gine solely acts as a generator for the battery, with no mechanical connection to the wheels.

The setup saves some battery costs compared with full EVs and eliminates the need for gas-car parts like a transmission. EREVs also drive like EVs, including instant acceleration even when the battery is drawing from the generator.

Still, consumer behavior has proved tough to change. Plug-in hybrids have had a lackluster reception in the U.S. so far, never accounting for more than a percentage or two of the new-car market. Some owners only bought the cars for perks such as access to high-occupancy-vehicle

lanes on the highway in California, said Ed Kim, president of industry research firm AutoPacific. Others seldom plugged them in.

“A consumer isn’t going to buy what they don’t understand, and that I think has been the central issue behind plug-in hybrids’ relative lack of adoption here in North America,” Kim said.

Engineers say EREVs should deliver a better experience than current plug-in hybrids. Most of those don’t offer much electric range before reverting to the gas engine. The Subaru Crosstrek plug-in—discontinued after 2023—got a paltry 17 all-electric miles. The plug-in Jeep Wran-



‘We intend to be disruptive in this space,’ said Vlad Tenev.

ing take Robinhood public.

As part of its push to get users more access to privately held companies, Robinhood launched a closed-end fund in March and invested in Oura. Oura makes up 3.64% of Robinhood Ventures Fund I, which includes companies such as Databricks and OpenAI.

While Robinhood looks to help sell customers Oura’s stock, Oura views Robinhood’s individual-investor population as potential customers, a person familiar with the matter said.

The two companies share similarities in their user bases: Oura said 42% of its members are ages 30 to 45, and 31% are under 29. Robinhood customers’ median age was 35 last year, The Wall Street Journal reported.

When Robinhood rolled out a premium credit card for us-

ers this spring, it originally included a complimentary Oura subscription, though the perk was removed. (It now covers a subscription to rival Whoop.)

In 2021, Robinhood sought to give its users a bigger-than-normal chunk of its IPO, allocating about 25% of its shares compared with a typical 10%. At the time, the firm said more than 300,000 users participated in the IPO, which raised about \$2 billion and valued it at \$32 billion.

Earlier this year, Tenev said the market has grown more receptive to the idea than it was back then.

“We really had to claw and scratch and ask for favors to get retail these allocations,” he said in April. Now, “pretty much every major IPO of consequence has been on Robinhood’s platform.”

Companies Revive Pensions

Continued from page B1 now have enough assets to cover 112% of their liabilities, up from 77% in 2012, according to pension consulting firm Milliman.

Efforts by unions to restore pensions have prevailed at airlines including **Delta** and **Southwest**, which recently started cash-balance plans for pilots.

“There is a groundswell from the participant side to get these things going again,” said Zorast Wadia, a principal at Milliman.

Earlier this year, JBS began contributing to a new pension for its approximately 26,000 hourly workers. Jointly managed by JBS and the United Food and Commercial Workers International Union, the plan is open to workers from other meatpacking companies and currently requires most retirees to take a lifetime income, rather than offering a lump-sum option.

The union said it pushed for the pension because fewer of JBS’s hourly workers, who earn an average of about \$24 an hour, were saving in the 401(k) than are in the pension.



Stefanie Duran, a nurse, plans to join the Northwell pension; Matthew Cronin gained the benefit at utility company PECO.



Jim Ridderbush, a union steward at JBS’s Green Bay, Wis., plant, said that while the older workers are excited, “the younger kids don’t really understand what a pension is. It’s a dinosaur.”

Northwell Health started rolling out a traditional pension last summer for nurses and administrative staff, giving them a one-time enrollment option. The benefits formula factors in a worker’s tenure and last 10 years of pay. Participants can continue to save in a 401(k) without the employer match, said Gregg Nevola, head of benefits.

He said Northwell is confident it can manage the pension’s long-term liabilities since only about one-third of its 108,000 workers are eligible.

Stefanie Duran, 44, a nurse at Northwell’s Lenox Hill Hospital in Manhattan, plans to join the pension in January while continuing to contribute 10% of pay to her 403(b) plan, where she has saved more than \$200,000.

“People are living longer, and the 403(b) for many people isn’t going to be enough,” she said.

Eileen Toback, executive director of the New York Professional Nurses Union, which represents 1,500 nurses at Northwell, said negotiations were at a standstill until Northwell offered NYPNU members access to the pension.

The swing to pension surpluses has opened up new benefit funding possibilities for employers, said Jared Gross,

gler, discontinued after 2025, got about 20 miles.

The first mass-market EREV in the U.S. did a little better. That was General Motors’ groundbreaking Chevrolet Volt, built from 2011 to 2019, which could achieve about 50 miles of battery-only driving.

This new crop of EREVs will have more than 100 miles of all-electric range, meaning most drivers should rarely have to put gas in them, said Sam Abuelsamid, an engineer and industry analyst at Detroit research firm Telemetry.

Crucially, EREVs can use gas to tow heavy loads without running out of range. Towing is a key reason that larger electric trucks such as the F-150 Lightning and the Chevrolet Silverado EV failed to sell in large numbers.

With the gas generator, “You’re not really sacrificing anything in terms of how far you can tow, how long you can tow,” Abuelsamid said.

Bly, Stellantis’ propulsion chief, said that while the industry spent years racing toward full EVs to meet government regulations, EREVs may represent a middle-ground solution customers are happier with. At the same time, they will likely cost more than comparable gas vehicles and possibly more than full EVs, analysts and engineers say.

“Customers won’t reject them, but will they pay you extra for it? That remains to be seen,” said consultant Dan Nicholson, a former General Motors vice president.

JLR Plans To Trim 4,000 Jobs

Continued from page B1 enough vehicles to justify building a plant, with roughly 100,000 retail sales in the year through March across North America.

JLR could use an under-used plant belonging to another automaker. In May the company unveiled a deal with Chrysler owner Stellantis to explore collaboration on future U.S. products.

Tariffs, combined with a cyberattack that halted production for weeks, all but wiped out JLR’s profit in the year through March.

To improve the company’s resilience, Balaji wants to reduce the minimum number of vehicles JLR can profitably manufacture to 300,000.

Customers bought roughly 352,000 JLR vehicles during the year through March, down around 18%. China, where global brands have been rapidly losing share to local ones, led the declines.

Part of the reduction in sales was planned as the company sold down old Jaguar models in preparation for an electric-only reinvention of the British sports-car brand.

head of institutional portfolio strategy at J.P. Morgan Asset Management.

In 2024, IBM reopened the massive cash-balance pension plan it froze in 2008. It is using the plan’s surplus to contribute 5% of pay to pension accounts for current employees, who can still contribute to the 401(k) without the match.

That allowed IBM to turn off its 5% 401(k) match and 1% automatic contribution, freeing the cash for other uses. (The company also gave 1% raises.)

Companies are lobbying Congress for legislation to let them use pension surpluses to cover employer 401(k) contributions without the excise tax that might be levied on such transfers, said Jonathan Price, national retirement practice leader at benefits consulting firm Segal.

Starting in August, PECO, the Pennsylvania utility, began crediting 3% to 8% of pay annually to a cash balance pension plan for eligible union workers, a rate that rises with age.

In a statement, PECO parent **Exelon** cautioned that one agreement “should not be viewed as precedent for other negotiations.”

Larry Anastasi, president of Local 614 of the International Brotherhood of Electrical Workers, recalled going “from bar to bar” asking members their priorities for a contract.

“Everybody wanted a pension,” he said.

TECHNOLOGY



TIM HIGGINS

What Tech Thinks of Data-Center Critics

If you're against AI data centers, the joke's on you. That's the message from Silicon Valley and the Trump administration.

For weeks, technology leaders suggested foreign powers—maybe *even* social-ists—are really behind the U.S. populist movement against artificial intelligence. In particular, China.

It fits a broader narrative pushed by President Trump in the run-up to the midterm elections that the Democratic Party has been taken over by left-wing extremists. And even though the anti-data-center revolt is unusually bipartisan, according to polling, Trump waded into the debate recently.

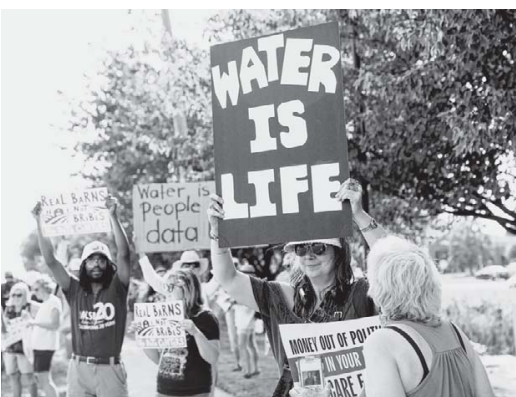
The president warned communities opposing data centers would “end up being backwards and poor,” and that “China could not be happier with this anti Data Center movement.”

That's one of the big questions hanging over November's elections: Which do voters fear more, China or AI data centers?

The stepped-up public campaign to build support for AI follows Hot Luddite Summer and weeks of growing revolt around the physical manifestation of the technology.

The vibe shift caught Silicon Valley flat-footed. Key to lofty valuations being assigned to the likes of Anthropic and OpenAI is the assumption of massive growth—growth that can only occur if more data centers are opened to build.

In turn, Trump appears to be depending on those projects—as well as Wall Street exuberance for AI—to bolster his case for the strength of an economy that many see as unaffordable.



A protest against a data center in Michigan in July.

If it wasn't already clear which camp the Trump administration was in, his Justice Department sided with OpenAI in its legal battle with the New York Times over a copyright dispute. “Rules of law that make it

significantly more difficult to develop a robust AI industry in the United States therefore threaten national security and give a competitive advantage to foreign adversaries who are not so encumbered,” the Justice Department told a federal judge last Tuesday.

The filing didn't specifically mention China, but one can read between the lines.

A tech race needs a good adversary. Tensions between the U.S. and Soviet Union helped fuel the space race. China and its tech ambitions are providing similar grist. The threat of China's advances in AI has been used as a weapon to fight off regulation. It has been cited by Trump in support of his light-touch approach to the industry even as Republican governors called for slowing things down.

It's only natural then that China would become the excuse for why some Americans are voicing their unease with data centers in their communities, worried about electricity prices and water consumption.

To counter those concerns, the pro-AI crowd in recent days pushed back with argu-

ments apparently aimed at appealing to rural America.

Last Tuesday, OpenAI Chief Executive Sam Altman suggested in a podcast that new data centers were more efficient than almond farming, while the next day Commerce Secretary Howard Lutnick pointed to how much water cattle consume. In a CNBC interview, he called the water issue “propaganda by our adversaries.”

As they fight memes, some have blamed the Chinese Communist Party's use of social media to stoke concerns. “It's almost like not banning TikTok has had real world consequences as the U.S. population continues being poisoned by CCP propaganda,” Trae Stephens, a venture capitalist and co-founder of Anduril, recently posted on X.

In June, OpenAI said it banned two clusters of ChatGPT accounts likely originating from China. It said they were being used to support an “apparent covert influence operation,” including creating social-media content claiming data centers were increasing electricity prices.

Albert Zhang, part of OpenAI's team identifying misuse, later clarified during a company event that they weren't trying to claim all data-center debates originated from foreign actors, noting some of the suspected posts they found had very few views.

“It was important for us to disclose this particular operation because it says a lot about the intent of” China “actors and maybe an indication of other operations that may be running across the U.S.,” he said.

(In a statement on Friday, OpenAI said people have real concerns and “it's our responsibility to earn their trust.”)

Then late last month, Elon Musk's X published its own findings after investigating suspected Chinese influence operations. Those findings included images similar to what OpenAI highlighted.

Given the thin evidence, not everyone is convinced. Andy Masley, a high-profile AI researcher who has fought to debunk concerns about data-center water usage, questioned the suggestion the CCP was behind the campaign. “This looks much more like a general bot farm trying to get attention,” he posted on X.

Still, socialism is a good foil. Outside the Brooklyns and Berkeleys of the world, certain parts of America have historically looked pretty skeptically on such politics. In Michigan, for example, an EPIC-MRA poll conducted this summer found 51% of voters were unfavorable to socialism while 22% were favorable. Subsequently, another survey by EPIC-MRA found 62% of Michigan voters opposed development of data centers.

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CLASS ACTION

Legal Notice

**UNITED STATES DISTRICT COURT
CENTRAL DISTRICT OF CALIFORNIA
SOUTHERN DIVISION**

DHIMANT PATEL, Individually and on Behalf of All Others Similarly Situated,

Plaintiff,

v.

EDWARDS LIFESCIENCES CORPORATION and BERNARD J. ZOVIGHIAN,

Defendants.

Case No. 8:24-cv-02221-AH-KES

SUMMARY NOTICE OF (I) PENDENCY OF CLASS ACTION AND PROPOSED SETTLEMENT; (II) SETTLEMENT HEARING; AND (III) MOTION FOR ATTORNEYS' FEES AND LITIGATION EXPENSES

TO: All persons or entities who purchased or otherwise acquired Edwards Lifesciences Corporation (“Edwards”) common stock during the period from February 6, 2024 through July 24, 2024, inclusive (the “Class Period”), and were damaged thereby (“Settlement Class”).

PLEASE READ THIS NOTICE CAREFULLY; YOUR RIGHTS WILL BE AFFECTED BY A CLASS ACTION LAWSUIT PENDING IN THIS COURT.

YOU ARE HEREBY NOTIFIED, pursuant to Rule 23 of the Federal Rules of Civil Procedure and an Order of the United States District Court for the Central District of California (“Court”), that the above-captioned securities class action (the “Action”) is pending in the Court.

YOU ARE ALSO NOTIFIED that Lead Plaintiffs City of Fort Lauderdale Police & Firefighters’ Retirement System and Louisiana Sheriffs’ Pension & Relief Fund (together, “Lead Plaintiffs”), on behalf of themselves and the Settlement Class, and Defendants Edwards and Bernard J. Zovighian (together, “Defendants”) have reached a proposed settlement of the Action on behalf of the Settlement Class for **\$39,000,000** in cash (the “Settlement”). If approved by the Court, the Settlement will resolve all claims in the Action.

In the Action, Lead Plaintiffs assert federal civil securities law claims against Edwards and its Chief Executive Officer, Bernard J. Zovighian, arising from purportedly materially false and misleading statements to investors during the Class Period concerning the growth prospects of Edwards’ core product, its transcatheter aortic valve replacement (“TAVR”) platform. Lead Plaintiffs allege that Defendants’ alleged misstatements violated Section 10(b) of the Securities Exchange Act of 1934 (the “Exchange Act”), and that Mr. Zovighian controlled Edwards when the misstatements were made, in violation of Section 20(a) of the Exchange Act. Defendants expressly deny that Lead Plaintiffs have asserted any valid claims as to either of them, and expressly deny any and all allegations of fault, liability, wrongdoing, or damages whatsoever in connection with the Action. Issues and defenses at issue in the Action included, among others, (i) whether Defendants made materially false statements or omissions; (ii) whether Defendants made the statements with the required state of mind; (iii) whether the alleged misstatements caused class members’ losses; and (iv) the amount of damages, if any.

A hearing (“Settlement Hearing”) will be held on **December 16, 2026, at 1:30 p.m. Pacific Time**, before the Honorable Anne Hwang, United States District Court Judge for the Central District of California, in Courtroom 9C, 9th Floor of the Felicitas and Gonzalo Mendez United States Courthouse, 350 W 1st Street, Los Angeles, CA 90012. At the Settlement Hearing, the Court will consider: (i) whether, for purposes of the Settlement only, the Action should be certified as a class action on behalf of the

Certain persons and entities are excluded from the Settlement Class by definition, as set forth in the full Notice of (I) Pendency of Class Action and Proposed Settlement; (II) Settlement Hearing; and (III) Motion for Attorneys’ Fees and Litigation Expenses (the “Notice”), available at www.EdwardsLifesciencesSecuritiesLitigation.com.

Capitalized terms not otherwise defined herein shall have the same meaning as in the Stipulation and Agreement of Settlement dated July 1, 2026 (“Stipulation”). The Stipulation can be viewed at www.EdwardsLifesciencesSecuritiesLitigation.com.

Settlement Class, Lead Plaintiffs should be appointed as Class Representatives for the Settlement Class, and Lead Counsel should be appointed as Class Counsel for the Settlement Class; (ii) whether the proposed Settlement on the terms and conditions provided for in the Stipulation is fair, reasonable, and adequate to the Settlement Class, and should be finally approved by the Court; (iii) whether a Judgment substantially in the form attached as Exhibit B to the Stipulation should be entered dismissing the Action with prejudice against Defendants and granting the releases specified and described in the Stipulation (and in the Notice); (iv) whether the proposed Plan of Allocation for the proceeds of the Settlement is fair and reasonable and should be approved; (v) whether the motion by Lead Counsel for attorneys’ fees and Litigation Expenses should be approved; and (vi) any other matters that may properly be brought before the Court in connection with the Settlement. Any updates regarding the Settlement Hearing, including any changes to the date or time of the hearing or updates regarding in-person or remote appearances at the hearing, will be posted to the website for the Settlement, www.EdwardsLifesciencesSecuritiesLitigation.com.

If you are a member of the Settlement Class, your rights will be affected by the pending Action and the Settlement, and you may be entitled to share in the Settlement proceeds. This notice provides only a summary of the information contained in the full Notice. You may obtain a copy of the Notice and the Claim Form on the Settlement website, www.EdwardsLifesciencesSecuritiesLitigation.com, by contacting the Claims Administrator at: *Edwards Lifesciences Securities Litigation*, c/o Kroll Settlement Administration, PO Box 5014, New York, NY 10150-5014, by calling toll free 1-833-930-0555; or by emailing info@EdwardsLifesciencesSecuritiesLitigation.com.

To be eligible to receive a payment from the Settlement, you must be a member of the Settlement Class and submit a Claim Form *postmarked (if mailed), or online, no later than December 2, 2026*, in accordance with the instructions set forth in the Claim Form. If you are a Settlement Class Member and do not submit a proper Claim Form, you will not be eligible to share in the Settlement proceeds, but you will nevertheless be bound by any judgments or orders entered by the Court in the Action.

If you are a member of the Settlement Class and wish to exclude yourself from the Settlement Class, you must submit a request for exclusion such that it is *received no later than December 2, 2026*, in accordance with the instructions set forth in the Notice. If you properly exclude yourself from the Settlement Class, you will not be bound by any judgments or orders entered by the Court in the Action and you will not receive any benefits from the Settlement.

Any objections to the proposed Settlement, the proposed Plan of Allocation, and/or Lead Counsel’s motion for attorneys’ fees and expenses must be filed with the Court and delivered to Lead Counsel and Defendants’ Counsel such that they are *received no later than December 2, 2026*, in accordance with the instructions set forth in the Notice.

PLEASE DO NOT CONTACT THE COURT, THE CLERK’S OFFICE, DEFENDANTS, OR DEFENDANTS’ COUNSEL REGARDING THIS NOTICE. All questions about this notice, the Settlement, or your eligibility to participate in the Settlement should be directed to the Claims Administrator or Lead Counsel.

Requests for the Notice and Claim Form should be made to the Claims Administrator:

Edwards Lifesciences Securities Litigation
c/o Kroll Settlement Administration
PO Box 5014
New York, NY 10150-5014
1-833-930-0555
info@EdwardsLifesciencesSecuritiesLitigation.com
www.EdwardsLifesciencesSecuritiesLitigation.com

All other inquiries should be made to Lead Counsel:

Bernstein Litowitz Berger & Grossmann LLP
Jeremy P. Robinson
1251 Avenue of the Americas
New York, NY 10020
1-800-380-8496
settlements@blbgllaw.com

BY ORDER OF THE COURT
United States District Court
Central District of California



Antonio Gracias



Steve Jurvetson



Genevieve Jurvetson

Musk’s Inner Circle Pours Money Into Psychedelics

By BECKY PETERSON

Antonio Gracias and Steve Jurvetson made a fortune from their bets on **SpaceX** when it was still a risky space startup. That isn't the only long-shot wager the billionaires placed.

Gracias and Jurvetson, who are directors at SpaceX and allies of Chief Executive Elon Musk, spent millions of dollars on efforts to mainstream psychedelic drugs, including MDMA, the drug commonly known as ecstasy and molly.

Last year, Gracias cut a \$25 million check from his family foundation to help recapitalize the pharmaceutical company Lykos Therapeutics, after federal regulators rejected its application for MDMA in conjunction with therapy to treat post-traumatic stress disorder, sending the company into a tailspin. Lykos drew criticism for missing serious side effects in some study subjects, including suicidal thoughts.

When Gracias took over, he renamed the company Resilient Pharmaceuticals and moved its headquarters to Chicago, which is home to his investment firm Valor Equity Partners. Resilient is in talks to raise new funding and recently resubmitted a new drug application for MDMA to the Food and Drug Administration, people briefed on the plans said.

Gracias also endowed a Harvard program with a \$16 million donation to fund a professorship and research on psychedelics in society and culture.

Jurvetson and his wife, Genevieve Jurvetson, have been some of the most high-profile

supporters of psychedelic medicine. She is a board member of a nonprofit dedicated to advancing psychedelic philanthropy, and the couple donated from their family foundation to support the Lykos drug trials.

Musk's brother, Kimbal, who is a **Tesla** director, and his wife, Christiana Musk, funded research, including an academic fellowship to understand the effects of psychedelics in society.

Philanthropists looking to expand access to psychedelics zeroed in on MDMA due to its promise in studies. MDMA, which remains illegal at the federal level, induces euphoria and sociability by increasing levels of neurotransmitters including serotonin and dopamine. Some researchers believe that when taken in a therapeutic setting, it can help patients tolerate revisiting past traumatic events.

But the use of MDMA in therapy is controversial because of its popularity as a recreational drug and the potential for abuse. Critics also are concerned about the methodology of drug trials and whether the science supports the high hopes for the treatments.

Elon Musk, who said he was prescribed ketamine to treat depression, spoke of the benefits of psychedelics, including MDMA.

Other high-profile donors supporting research into psychedelics include David Bronner, CEO of the soap maker Dr. Bronner's, New York Mets owner Steve Cohen and his wife, Alexandra Cohen, and Joby Pritzker, a member of the Pritzker family that founded Hyatt Hotels.

President Trump in April signed an executive order to speed up the approval process for psychedelics to weeks, instead of years, for treating illnesses like PTSD and depression. He credited podcaster Joe Rogan for bringing his attention to psychedelics like the root ibogaine, which has been touted as an anti-addiction treatment. An FDA hearing is scheduled for this month on the potential therapeutic uses of psychedelics.

Steve and Genevieve Jurvetson, a board member of the Psychodelic Science Funders Collaborative, attended the signing ceremony. “After losing a family member to opioid addiction, I dedicated myself to this work because I don't want other families to endure the same heartbreak,” she said.

Resilient has spent the past year working on getting FDA approval. For its new application, Resilient conducted a third-party audit of its prior trials to compile new data on adverse events, which had been left out of its earlier application, according to people close to the company. It also ran additional studies, including a Phase I trial launched in April to evaluate the safety of MDMA on healthy adults.

Supporters of psychedelics are putting hope in companies like Resilient getting the green light from regulators.

“A year from now, I hope we'll have multiple FDA-approved psychedelic therapies so patients can safely access treatment under the care of trained medical professionals,” Genevieve Jurvetson said.

COMMERCIAL REAL ESTATE

UCC PUBLIC SALE NOTICE

PLEASE TAKE NOTICE THAT MSC – 650 Poydras HoldCo, LLC (“Secured Party”) will offer for sale at public auction (“Sale”) 100% of the limited liability company interests (“Interests”) held by Poydras Center Mezzanine, LLC (“Mezzanine Borrower”) in Poydras Center, LLC, a Delaware limited liability company (“Pledged Entity”), together with certain rights and property representing, relating to, or arising from the Interests, (collectively, “Collateral”) as fully described in the Mezzanine Pledge and Security Agreement, dated as of June 7, 2016, made by Borrower in favor of Secured Party (“Pledge Agreement”).

The Sale will take place on **September 24, 2026 at 1:00 p.m. (ET)** in compliance with **New York Uniform Commercial Code Section 9-610** both at the offices of Moritt Hoek & Hamoff LLP, 1407 Broadway, 39th FL., New York, NY 10018 and virtually via online video conference. The URL address and password for the online video conference will be provided to registered participants.

The Sale is being made in connection with the foreclosure on a pledge of the Collateral under the Pledge Agreement, pursuant to which Mezzanine Borrower has granted to Secured Party a first priority lien on the Collateral as collateral for the loan in the original principal amount of \$4,400,000.00 (“Mezzanine Loan”) from Secured Party to Mezzanine Borrower.

It is the understanding of Secured Party (but without representation or warranty of any kind) that: (i) the Mezzanine Loan is in default, (ii) Mezzanine Borrower owns the Interests, (iii) the Interests constitute the principal asset of Mezzanine Borrower, (iv) Pledged Entity owns certain real property located at 650 Poydras St., New Orleans, LA 70130 (“Property”), (v) the principal assets of the Pledged Entity are the Property and certain related rights, and (vi) the Property is encumbered by a mortgage lien granted by Pledged Entity as security for a mortgage loan (“Mortgage Loan”) made pursuant to a certain loan agreement by and between the holder of the Mortgage Loan and the Pledged Entity (“Mortgage Loan Agreement”).

An online datasite for the Sale (the “Datasite”) is available at the following link: <https://rimarketplace.com/listing/129493/office/lafayette-square/la> The Datasite will include certain relevant information that Secured Party possesses concerning Pledged Entity, Mezzanine Borrower, the Loan, and the Mortgage (collectively, “Disclosed Materials”) as well as the Terms of Sale for Public Auction relating to the Sale of the Collateral (“Terms of Sale”). Access to such information will be conditioned upon execution of a confidentiality agreement which can be found on the Datasite. No information provided, whether in the Datasite or otherwise, shall constitute a representation or warranty of any kind with respect to such information, the Collateral or the Sale. Participants are encouraged to review all Disclosed Materials and perform such due diligence as they deem necessary in advance of the Sale.

The Collateral is being offered as a single lot, and is being sold strictly on an “AS IS AND WHERE IS” BASIS, AND (i) WITHOUT ANY REPRESENTATIONS OR WARRANTIES (WHETHER EXPRESSED OR IMPLIED) OF ANY KIND MADE BY THE SECURED PARTY (OR ANY OTHER PERSON ACTING FOR OR ON BEHALF OF THE SECURED PARTY), INCLUDING, WITHOUT LIMITATION, WITH RESPECT TO THE EXISTENCE, OR NONEXISTENCE, OF OTHER LIENS, THE QUANTITY, QUALITY, CONDITION OR DESCRIPTION OF THE INTERESTS, THE PROPERTY, AND/OR THE VALUE OF ANY OF THE FOREGOING, AND (ii) WITHOUT ANY RECOURSE WHATSOEVER AGAINST THE SECURED PARTY (OR ANY OTHER PERSON ACTING FOR OR ON BEHALF OF THE SECURED PARTY).

There are specific requirements for any potential bidder in connection with obtaining information, bidding on the Collateral, and purchasing the Collateral, including without limitation complying with the Mezzanine Loan documents, the Mortgage Loan documents, that certain Intercreditor and Subordination Agreement by and between Secured Party and the holder of the Mortgage Loan, the Pledged Entity's governing documents, and the Terms of Sale. Secured Party reserves the right to seek commercially reasonable information from prospective bidders and require a showing of financial ability from prospective bidders.

The Collateral includes unregistered securities under the Securities Act of 1933, as amended (“Securities Act”), and Secured Party reserves the right to restrict participation in the Sale to prospective bidders that represent that the Collateral will not be sold, assigned, pledged, disposed of, hypothecated or otherwise transferred without the prior registration in accordance with the Securities Act and the securities laws of all other applicable jurisdictions, unless an exemption from such registration is available.

Secured Party may, prior to the Sale described herein, assign its right, title and interest in and to the Loan, and in the case of such assignment the assignee shall be considered the “Secured Party” for all purposes hereunder. Secured Party reserves the right to credit bid, set a minimum reserve price, reject all bids and terminate or adjourn the Sale to another time, without further notice. All bids (other than credit bids of Secured Party) must be for cash with no financing conditions and the successful bidder must be prepared to comply with the bidding and closing requirements in the Terms of Sale. The winning bidder must pay all transfer taxes, recording fees, stamp duties and similar taxes as may be required to be paid under applicable law in connection with the purchase of the Collateral.

Questions may be directed to John Daniels of Newmark at (312) 224-3260 or John.Daniels@nmrk.com.

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Investors Put Portfolios Into Hands of AI

Americans are turning to agents and vibe-coding trading algorithms

By Hannah Erin Lang

Like many of Wall Street's top money managers, Colin Edsman has a team helping him stay on top of his investments.

There is Alex, who scans the market regularly for promising stocks and exchange-traded funds. Sarah, who checks over open positions each day before the close. Elena, who whips up a weekly performance report.

There is just one difference: Alex, Sarah and Elena aren't coffee-chugging analysts pulling all-nighters at their terminals. They are Claude agents, working round-the-clock from Edsman's laptop on his kitchen table.

And so far, they are outperforming most of the accounts he runs himself.

"It runs sort of like a hedge fund would," Edsman said of his agentic trading portfolio, which is kept in a separate account from his other investments at **Robinhood**.

The hairstylist and stay-at-home dad said giving the agents names has helped him keep track of their assigned tasks.

Americans are already using artificial-intelligence agents to book vacations, draft emails and automate other tasks. Now, everyday investors can hand over control of their stock portfolios as well. Several brokerages, including Robinhood and **Webull**, have launched features that make it easy to connect to Claude, Codex or other agents. From there, an agent can buy and sell assets on its own.

Executives predict the technology will reshape the world of retail investing. Traders say it gives them the power to make objective decisions,

crunch numbers at a superhuman scale and earn impressive returns without even watching the market. Skeptics worry it could expose less-experienced investors to new dangers.

"For individual investors, this is a real breakthrough," said Irene Aldridge, an engineer and former quant trader who now researches the intersection of AI and financial markets.

At the same time, she said, "Do this at your own risk."

'Mini hedge funds'

Professional investors have long had access to high-powered computers and algorithmic tools that could sift data, spot market signals and automatically execute trades—sometimes in a matter of milliseconds. Some 10 years ago, The Wall Street Journal illustrated how so-called quants were taking over Wall Street.

For individual investors, such sophisticated strategies were accessible only to the tech-savvy few. Now, AI assistants can build an automated strategy from simple written prompts.

For example, agents could be instructed to buy energy stocks as oil prices rise, sell an options contract once it generates a certain return or even monitor the president's social-media posts for market signals.

The ultimate goal, industry leaders say: a team of agents that can run your investments like a group of mini money managers, allowing brokerage customers to put everything from options trading to tax harvesting on total autopilot. Many Americans use the set-it-and-forget-it method for tasks like buying index funds or reinvesting dividends. Agentic trading, they say, makes that approach possible for even the most advanced day-trading strategies.

"These people are becoming mini hedge funds," said



Colin Edsman at Hood Summit in September 2025.

Neil McDonald, U.S. chief executive at Moomoo. The trading platform made agentic trading available in April. By the end of the year, McDonald estimates some 20% of the brokerage's trading volume could be executed by agents. "This is revolutionary."

It is a shift for individual investors, who have played an ever-expanding role on Wall Street. Just over a decade ago, everyday Americans were just starting to buy stocks on their smartphones. In 2026, they have driven rebounds from selloffs, sent a group of chip stocks to the moon and made the world's biggest-ever initial public offering a success.

Now, individuals can play the market with more precision than ever before, said Dean Ahrens, a 19-year-old investor and content creator—without being glued to their screens.

Ahrens said he has automated one options strategy with an agent that would be nearly impossible to execute otherwise. His Codex agent sifts through heaps of options flow data to identify big, aggressive trades, likely coming from institutional players. Then the agent scores the trades based on a variety of factors. Once it identifies a top "high-confidence trade"—and checks again that it meets a certain list of criteria—it piles in, aiming to ride the momentum.

The results have impressed him. Ahrens said he has increased his account at Public from an initial balance of \$3,000 to \$8,000 over just a few months. He added that one trade, two options contracts tied to the chip maker **Micron Technology**, earned a return over 500%.

"I'm thinking about how I

can bring it into my overall portfolio," he said. "It's nice to make money without having to lift a finger."

'AI takes risk'

Individual investors have long been derided as "dumb money" for their supposed tendency to chase rallies or panic-sell when stocks fall. Whether or not that stereotype still holds true, investors who have tried trading with agents say one of the best parts of letting it run is taking the emotion out of investment decisions.

"I'm not in the moment wondering if I'm being too greedy," said Angel Gutierrez, a full-time options trader who built an agent that scores contracts to determine when to sell. "It's kind of like a software version of me with no emotions."

Others worry the technology might only amplify the herd mentality that has burned some traders in the past. One working paper distributed by the National Bureau of Economic Research found that AI models asked to build a general investment strategy recommended concentrated portfolios, stocks with high valuations and companies with the most frequent media coverage.

"AI takes risk, recommends a narrow set of assets, focuses on specific industries, and does not appear to exhibit better performance" than passive benchmarks, researchers wrote.

The widespread use of agents that scour the same publicly available sets of data could also create volatility in markets, said Aldridge, the former quant trader, as agents crowd into similar positions.

It is a phenomenon that even the pros have fallen victim to: the "quant meltdown" of 2007, when a number of quant funds rushed to sell simultaneously, sparking deep losses in a prelude to the

Great Financial Crisis.

Brokerage executives said their customers are implementing the agents thoughtfully, and that their platforms have guardrails to manage risk. At Robinhood, AI-managed portfolios are kept in a dedicated separate account and send notifications for every trade. Edsman, Ahrens and Gutierrez said they hadn't experienced any major losses or instances of their agent going rogue.

For Edsman, the stay-at-home dad, the promise of the technology is worth experimenting with something untested. He is hoping for a world in which agentic trading becomes so easy to use that his 57-year-old mom can make some extra cash in retirement—playing the market in a way that would have been unimaginable for everyday people just a few years ago.

"This could change the way people make money," he said.

How Bond Market Hits Your Wallet



PAUL J. RICHARDS/GETTY IMAGES



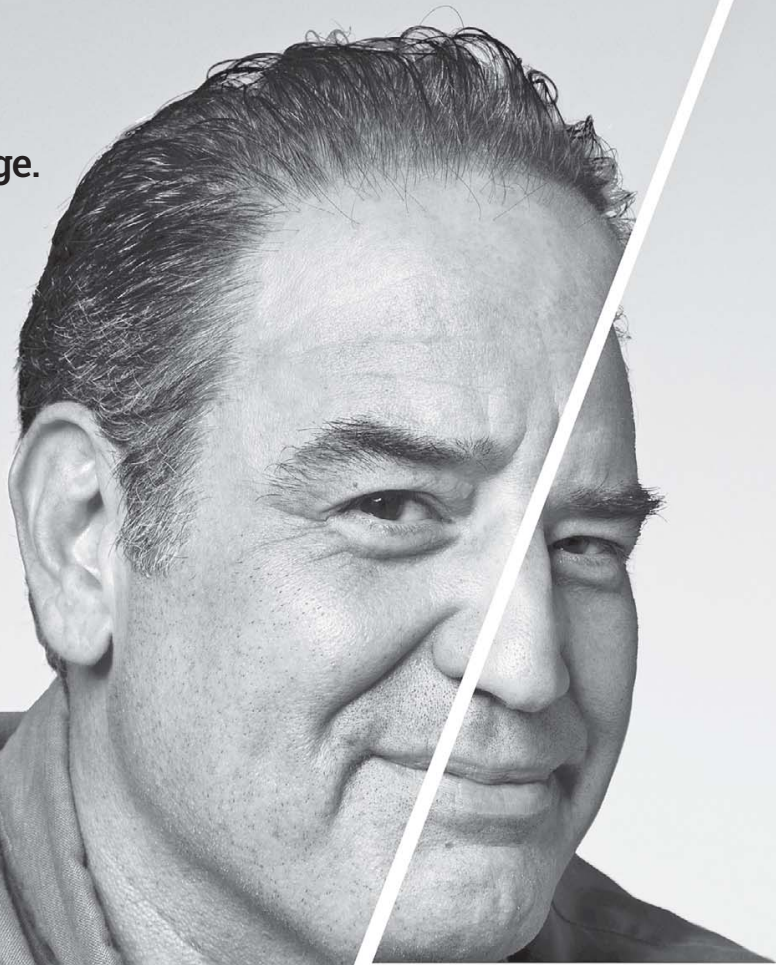
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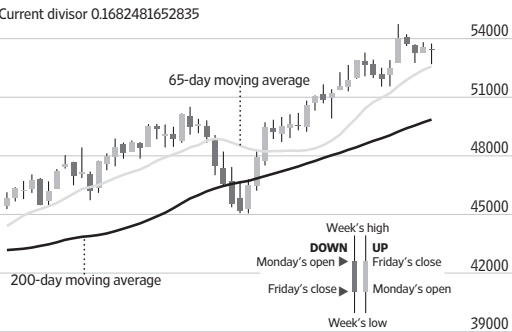


MARKETS DIGEST

Dow Jones Industrial Average

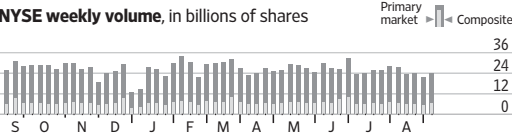
53414.25 ▼145.74, or 0.27% last week
High, low, open and close for each of the past 52 weeks

Last	Year ago
21.75	24.86
P/E estimate *	20.29
Dividend yield	1.50
All-time high	54349.12, 08/05/26



Bars measure the point change from Monday's open

S O N D J F M A M J J A S



* Weekly P/E data based on as-reported earnings from Birinyi Associates Inc.; * Based on Nasdaq-100 Index

Major U.S. Stock-Market Indexes

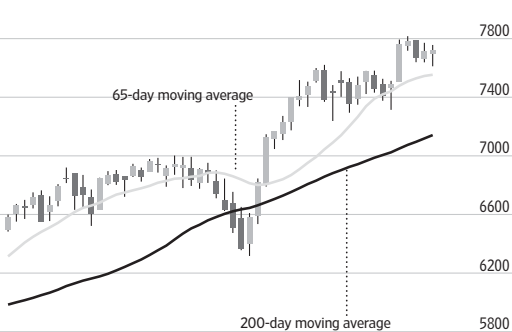
	High	Low	Latest Week Close	Net chg	% chg	Low	52-Week Close (●)	High	%chg	YTD	3-yr. ann.
Dow Jones											
Industrial Average	53746.50	52691.31	53414.25	-145.74	-0.27	45166.64		54349.12	17.7	11.1	15.3
Transportation Avg	21358.92	20550.13	21011.73	-367.02	-1.72	15067.87		23933.14	33.6	21.1	9.9
Utility Average	1088.68	1054.71	1082.78	4.50	0.42	1048.33		1190.23	0.4	1.4	7.7
Total Stock Market	76667.75	75446.64	76346.07	73.90	0.10	62750.36		77313.23	18.8	13.1	19.2
Barron's 400	1648.40	1620.33	1647.74	-2.66	-0.16	1318.70		1685.46	19.2	16.6	17.5
Nasdaq Stock Market											
Nasdaq Composite	26644.57	25995.53	26506.99	104.57	0.40	20794.64		27093.9	22.1	14.05	23.6
Nasdaq-100	29655.22	28953.26	29544.16	110.73	0.38	22953.38		30660.6	24.9	17.0	24.0
S&P											
500 Index	7756.76	7611.20	7718.60	6.84	0.09	6343.72		7798.99	19.1	12.8	19.6
MidCap 400	3794.66	3714.52	3784.99	5.52	0.15	3109.89		3926.98	14.8	14.5	12.3
SmallCap 600	1766.94	1732.57	1765.09	-2.48	-0.14	1364.94		1828.54	21.8	20.3	12.5
Other Indexes											
Russell 2000	2976.66	2916.84	2975.65	3.28	0.11	2305.11		3068.42	24.4	19.9	15.7
NYSE Composite	24725.47	24316.61	24639.25	54.07	0.22	20912.89		24821.68	16.6	12.0	15.3
Value Line	685.69	672.57	682.28	-3.41	-0.50	590.50		702.6	7.7	8.6	5.9
NYSE Arca Biotech	9581.96	9160.92	9430.68	134.47	1.45	6043.49		9539.76	52.1	31.9	20.9
NYSE Arca Pharma	1293.99	1245.40	1266.85	5.87	0.47	925.18		1315.38	32.9	12.5	11.6
KBW Bank	190.19	183.48	189.57	2.41	1.29	143.23		193.91	27.7	15.5	32.0
PHLX\$ Gold/Silver	416.82	391.31	408.92	-4.26	-1.03	261.02		470.37	56.7	19.5	51.6
PHLX\$ Oil Service	109.60	105.23	106.18	1.77	1.69	60.27		109.24	64.4	44.8	3.6
PHLX\$ Semiconductor	11750.25	11056.38	11735.26	265.60	2.32	5761.40		14634.72	103.7	65.7	47.2
Cboe Volatility	16.82	13.80	14.53	0.10	0.69	13.47		31.05	-4.3	-2.8	3.5

● Nasdaq PHLX Sources: FactSet; Dow Jones Market Data

S&P 500 Index

7718.60 ▲6.84, or 0.09% last week
High, low, open and close for each of the past 52 weeks

Last	Year ago
23.61	24.83
P/E estimate *	21.22
Dividend yield *	1.05
All-time high	7798.99, 08/13/26



Bars measure the point change from Monday's open

S O N D J F M A M J J A S

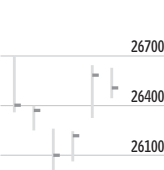
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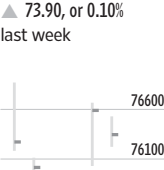
Nasdaq Composite

▲ 104.57, or 0.40% last week



DJ US TSM

▲ 73.90, or 0.10% last week



Commodities and Currencies

	Monday Close	Net chg	% Chg	YTD % chg
WSJ Dollar Index	94.99	-0.26	-0.27	-0.98
Euro, per dollar	0.8604	-0.0005	-0.06	1.09
Yen, per dollar	154.34	-1.93	-1.23	-1.49
U.K. pound, in dollars	1.35	0.002	0.16	0.47
	Last Week Close	Net chg	% Chg	YTD % chg
DJ Commodity	1473.10	33.85	2.35	30.28
FTSE/CC CRB Index	416.41	10.05	2.47	39.37
Crude oil, \$ per barrel	91.48	8.08	9.69	59.32
Natural gas, \$/MMBtu	2.975	0.087	3.01	19.29
Gold, \$ per troy oz.	4429.80	-48.30	-1.08	2.41
U.S. Dollar Index	99.18	-0.53	-0.53	0.87
WSJ Dollar Index	95.24	-0.66	-0.68	-0.71
Euro, per dollar	0.8609	-0.0022	-0.26	1.15
Yen, per dollar	156.27	-3.81	-2.38	-0.26
U.K. pound, in dollars	1.35	-0.0020	-0.15	0.31
	52-Week Low	Close (●)	High	% Chg
DJ Commodity	1061.22		1475.88	39.81
FTSE/CC CRB Index	291.69		417.30	39.84
Crude oil, \$ per barrel	55.27		112.95	47.86
Natural gas, \$/MMBtu	2.52		7.46	-2.40
Gold, \$ per troy oz.	3613.20		5318.40	22.60
U.S. Dollar Index	96.22		101.61	1.19
WSJ Dollar Index	93.64		97.73	0.49
Euro, per dollar	0.83		0.88	0.90
Yen, per dollar	146.47		163.87	6.02
U.K. pound, in dollars	1.30		1.39	0.06
Go to WSJMarkets.com for free access to real-time market data.				
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International Stock Indexes

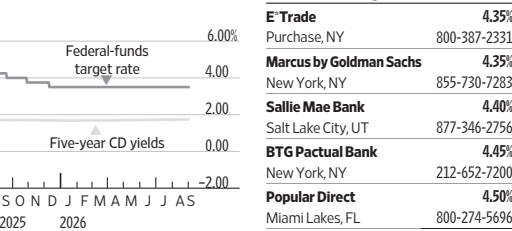
Region/Country	Index	Close	Latest Net chg	% chg	YTD % chg
World					
	MSCI ACWI	1157.73	4.08	0.35	14.1
	MSCI ACWI ex-USA	491.13	4.73	0.97	16.6
	MSCI World	4995.00	8.07	0.16	12.7
	MSCI Emerging Markets	1756.85	30.53	1.77	25.1
Americas					
	MSCI AC Americas	2925.85	0.274	0.01	12.8
Canada	S&P/TSX Comp	36513.80	...	Closed	15.1
Latin Amer.	MSCI EM Latin America	3154.75	-5.61	-0.18	16.4
Brazil	Bovespa	185147.15	...	Closed	14.9
Chile	S&P IPSA	5758.80	2.37	0.04	6.2
Mexico	S&P/BMV IPC	64727.54	-139.07	-0.21	0.7
EMEA					
	STOXX Europe 600	649.90	0.02	0.003	9.7
Eurozone	Euro STOXX	675.04	1.47	0.22	10.3
Belgium	Bel-20	5800.92	-51.62	-0.88	14.2
Denmark	OMX Copenhagen 20	1635.93	-0.13	-0.01	1.7
France	CAC 40	8306.15	27.38	0.33	1.9
Germany	DAX	26006.53	-39.87	-0.15	6.2
Israel	Tel Aviv	4311.01	47.93	1.12	18.7
Italy	FTSE MIB	52229.57	129.14	0.25	16.2
Netherlands	AEX	1115.42	1.92	0.17	17.3
Norway	Oslo Bors All-Share	2497.41	-3.73	-0.15	28.6
South Africa	FTSE/JSE All-Share	161988.96	263.16	0.23	1.0
Spain	IBEX 35	20021.80	-28.90	-0.14	15.7
Sweden	OMX Stockholm	1141.26	0.41	0.04	9.1
Switzerland	Swiss Market	14279.38	-116.56	-0.81	7.6
Turkey	BIST 100	14151.59	139.17	0.99	25.7
U.K.	FTSE 100	10822.13	-8.96	-0.08	9.0
U.K.	FTSE 250	24506.68	-78.03	-0.32	9.1
Asia-Pacific					
	MSCI AC Asia Pacific	284.43	5.17	1.85	24.9
Australia	S&P/ASX 200	9010.90	5.01	0.06	3.4
China	Shanghai Composite	3932.70	2.58	0.07	-0.9
Hong Kong	Hang Seng	25413.12	-237.75	-0.93	-0.8
India	BSE Sensex	76132.81	-382.62	-0.50	-10.7
Japan	NIKKEI 225	66399.84	1378.90	2.12	31.9
Singapore	Straits Times	5792.28	-9.68	-0.17	24.7
South Korea	KOSPI	6995.39	308.18	4.61	66.0
Taiwan	TAIEX	47326.27	775.14	1.67	63.4
Thailand	SET	1618.82	23.24	1.46	28.5

Sources: FactSet; Dow Jones Market Data

Consumer Rates and Returns to Investor

U.S. consumer rates

A consumer rate against its benchmark over the past year



Interest rate	Yield/Rate (%) - Last (●) Week ago	52-Week Range (%) Low 0 2 4 6 8	3-yr chg (pct pts)
Federal-funds rate target	3.50-3.75	3.50-3.75	-1.75
Prime rate*	6.75	6.75	-1.75
SOPR	3.66	3.64	-1.65
Money market, annual yield	0.44	0.44	-0.14
Five-year CD, annual yield	1.75	1.74	-1.08
15-year mortgage, fixed*	6.78	6.70	-0.88
30-year mortgage, fixed*	6.23	6.15	-0.63
Jumbo mortgages, \$832,750-plus*	6.78	6.76	-0.96
Five-year adj mortgage (ARM)*	6.11	6.06	-0.46
New-car loan, 48-month	6.98	6.98	-0.37

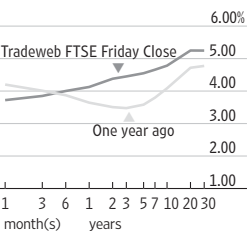
Bankrate.com rates based on survey of over 1,500 online banks. *Base rate posted by 70% of the nation's largest banks. † Excludes closing costs.

Sources: FactSet; Dow Jones Market Data; Bankrate.com

Benchmark Yields and Rates

Treasury yield curve

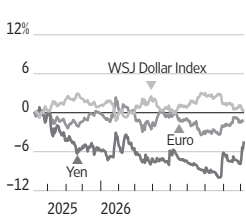
Yield to maturity of current bills, notes and bonds



Sources: Tradeweb FTSE Friday Close; Tullett Prebon; Dow Jones Market Data

Forex Race

Yen, euro vs. dollar; dollar vs. major U.S. trading partners



Corporate Borrowing Rates and Yields

Bond total return index	Yield (%) Last	Wk ago	Spread +/- Treasuries, in basis pts, 52-wk Range Last	Low	High	Total Return 52-wk 3-yr
U.S. Treasury, Bloomberg	4.650	4.610				0.78 3.32
U.S. Treasury Long, Bloomberg	5.240	5.200				-0.80 0.60
Aggregate, Bloomberg	5.040	4.990	28	23	31	1.34 4.21
Fixed-Rate MBS, Bloomberg	5.300	5.260	28	14	32	2.48 4.75
High Yield 100, ICE BofA	6.549	6.191	198	183	298	3.55 7.96
Muni Master, ICE BofA	3.846	3.684	6	1	10	2.33 2.90
EMBI Global, J.P. Morgan	6.533	6.696	162	162	276	6.13 9.28

Sources: J.P. Morgan; S&P Dow Jones Indices; Bloomberg Fixed Income Indices; ICE BofA

New to the Market

Public Offerings of Stock

IPOs in the U.S. Market

None expected this week

IPO Scorecard

Performance of IPOs, most-recent listed first

Company		SYMBOL	Friday's	% Chg From		Company		SYMBOL	Friday's	% Chg From	
IPO date	Offer price		close (\$)	offer	1st-day	IPO date	Offer price		close (\$)	offer	1st-day
				price	close					price	close
Three Lions Acquisition			10.00	...	0.5	Robinhood Ventures Fund II		25.00	...	8.9	
TLACU	Sept. 1/\$10.00					RVII	Aug. 13/\$25.00				
Inflexion Point Acquisition			10.11	1.1	0.1	Thunder Bridge Capital Ptnrs V		9.93	-0.7	0.2	
IPHXU	Aug. 28/\$10.00					TBCVU	Aug. 13/\$10.00				
Rainier Acquisition			10.20	2.0	0.4	SNScout Holding		1.07	-78.6	-65.1	
RNAQU	Aug. 27/\$10.00					SNSC	Aug. 12/\$5.00				
JATT III Acquisition			11.00	10.0	-3.9	Vogex		31.73	144.1	144.1	
JTTT	Aug. 26/\$10.00					VOGX	Aug. 12/\$13.00				
Southern Cross Acquisition II			10.02	0.2	0.2	BlossomHill Thera		22.01	37.6	37.6	
SCATU	Aug. 26/\$10.00					BLSM	Aug. 7/\$16.00				
Advsa Hldgs			0.33	-96.7	-94.7	Latigo Biotherapeutics		23.04	28.0	26.2	
ADBT	Aug. 25/\$10.00					LTGO	Aug. 7/\$18.00				
First Breach			0.78	-90.3	-81.3	Pinnacle Acquisition		10.02	0.2	0.6	
FBDT	Aug. 20/\$8.00					PNAQU	Aug. 7/\$10.00				
Lyntis			12.67	-27.6	-15.6	Ticketplus		8.99	12.4	28.4	
LYNX	Aug. 19/\$17.50					TP	Aug. 7/\$8.00				
Karman Line Acquisition			9.95	-0.5	0.1	Braveheart Bio		26.74	48.6	-10.3	
XTERU	Aug. 18/\$10.00					BRVE	Aug. 6/\$18.00				
NorthStrike Acquisition			10.01	0.1	0.3	Attovia Thera		25.55	50.3	16.7	
NSAIU	Aug. 18/\$10.00					ATTO	Aug. 5/\$17.00				

It's money with a supply cap. Not a supply committee.

Wall Street hangs on the decisions of a handful of central bankers. They meet a few times a year and essentially decide how much money the world gets. Whether to print more. Whether to make it more expensive to borrow. Whether your savings slowly loses value while they figure it out.

There's no such meeting with bitcoin. Because its supply is capped at twenty-one million. All but about a million are already in circulation. The rest follows a fixed, transparent schedule, hardcoded and public, that no one can arbitrarily change.

Does that make bitcoin immune to short-term price swings? Nope. But it does mean the supply itself can't be conveniently expanded whenever there is a "crisis". Bitcoin has appreciated against every currency on the planet. Nobody can say that'll continue. What we can say is that bitcoin's supply schedule never budged while it happened.

Committees change their minds. Math does not.

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FINANCIAL ANALYSIS & COMMENTARY

Birkin Gets in Way of Hermès Watch Goals

Many people only buy the brand’s timepieces to boost their chances of getting a handbag

Nothing says “I only bought this to get a Birkin” like an **Hermès** watch.

At least that is a perception the French brand is fighting as it tries to be taken seriously as a maker of high-end mechanical watches. Trends in the secondhand market show why that will be challenging.

Hermès’s watch unit has been one of its fastest-growing divisions in recent years and has almost tripled in size since 2019. Although sales were weaker in 2025, the brand sold more than half a billion euros of watches.

That is impressive, but Hermès watches are still sometimes seen as Birkin bait—products that shoppers only buy to be offered one of its in-demand handbags.

Although the brand never spells it out explicitly, there is a perception among Birkin collectors that they must spend heavily on other Hermès goods to be offered one of the bags. Dropping tens of thousands of dollars on a watch is a good way to curry favor with sales assistants who allocate Birkins to clients.

High numbers of brand-new Hermès watches end up listed on secondhand websites. This could be a sign that shoppers immediately resell them to claw back some of their cash.

The largest luxury resale platform in the U.S., The RealReal, has sold three times as many pristine Hermès watches on its site over the past five years as Chanel ones, despite both brands’ selling roughly the same number of watches annually, based on Morgan Stanley estimates.

The reseller has sold 33% more pristine Cartier watches than Hermès over the same period. However, Cartier’s annual watch production is 10 times as large as that of Hermès.

The amount of supply on sec-



Hermès has been reducing its production of watches over the years to boost their exclusivity.

ondhand sites means Hermès watches don’t hold their value. Mint-condition Hermès watches on The RealReal have resold at 41% of their original sticker price on average so far in 2026.

By comparison, a person who resells a pristine Rolex will get all of his or her money back, and can make a profit on scarce models like the Daytona. A mint Cartier watch recoups two-thirds of its original price.

What’s more, the resale value of Hermès has also been moving in the wrong direction lately.

Four years ago, one of the brand’s mint-condition watches fetched 51% of its original value at resale, 10 percentage points higher than today. Compare that with Cartier. Its value retention has climbed 15 percentage points over the same period.

Hermès has spent more than

two decades and tens of millions of dollars building credibility as a serious watchmaker.

In the early 2000s, the brand treated watches as an entry-level product to attract new customers. Hermès was churning out around 280,000 watches a year, according to Oliver Müller, founder of Swiss watch consultancy LuxeConsult. Most of the watches were quartz and priced below 1,000 Swiss francs, or about \$1,230 at current exchange rates.

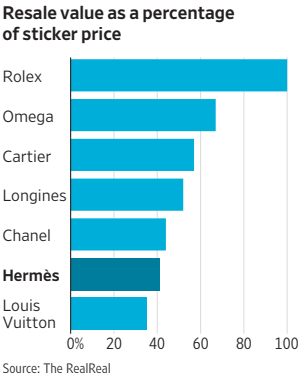
Then, in 2006, Hermès bought a 25% stake in Vaucher Manufacture Fleurier, a Swiss maker of mechanical watch movements. A few years later it bought Nateber SA, a maker of dials, and watch manufacturer Joseph Erard Holding. The brand is currently expanding its Noirmont watchmaking facility in Switzerland.

Over the years, Hermès has

drastically reduced its annual watch production by around 75% to boost exclusivity. Average prices are much higher. Hermès now sells some very high-end mechanical watches, such as a men’s Slim d’Hermès Quantième Perpétuel that costs more than \$50,000.

The brand makes “extraordinary pocket watches” and beautiful enamel-painted dials, according to LuxeConsult’s Müller. “They do have a certain kind of legitimacy now in watchmaking,” Müller said.

But the circus around the Birkin hurts Hermès’s watchmaking ambitions. Serious collectors monitor resale prices. A watch that loses most of its value as soon as you walk out of the store is a tough sell to connoisseurs. And anyone who genuinely likes Hermès watch designs can pick up a brand-new one in the secondhand market at 60% off. So



why bother paying full price?

The watch industry has an interesting dilemma at the moment. Brands that have the most clout as mechanical watchmakers, like Audemars Piguet and Patek Philippe, would love to sell more watches to women. But they aren’t having much success. Audemars’s boss, Ilaria Resta, said only 20% of the brand’s sales are to women, in line with the Swiss watchmaking industry’s average.

Luxury fashion houses do a better job of designing watches that appeal to women, but they lack credibility with sophisticated watch collectors. Chanel, Hermès and Louis Vuitton are all trying to change that by investing in supply chains for mechanical movements and hiring watchmaking talent. Bernard Arnault’s youngest son, Jean Arnault, heads up Louis Vuitton’s Geneva-based watchmaking unit La Fabrique du Temps, as well as **LVMH**’s overall watch division.

Hermès is the luxury brand that is arguably making the best attempt of it. Unfortunately, Birkin hunting is undercutting some of the good work.

—Carol Ryan

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“AI is changing what work looks like faster than culture can keep up. How are you closing that gap?”



WSJ — Technology Council

Kevin Adams

CIO | EDWARD JONES

“By treating AI as an operating model change, not a technology rollout. People need to understand how their work changes, where human judgment remains essential and what they are accountable for when working with AI. The organizations that win won’t simply deploy the most AI. They’ll redesign work so humans and AI can each do what they do best.”



WSJ — CMO Council

Alisa Barber

CMO | PAYSAFE

“The biggest challenge with AI is adoption, because of resistance or fear. At Paysafe, we embraced AI early by providing secure, approved tools and rolling out training globally so employees could experiment confidently and responsibly. Just as importantly, we encourage curiosity and reward usage. When people understand the guardrails and see leadership embracing AI themselves, it becomes an opportunity rather than a threat. Culture follows confidence.”



WSJ — Technology Council

Andrea Malagodi

CTO | SONAR

“By making AI adoption a change-management effort, not a tool rollout. I believe in giving teams the room to experiment with meaningful work, pair that freedom with clear guardrails and verification, and share both lessons and failures. Then measure outcomes, such as quality, cycle time and reduced handoffs—output is not a metric. When people see how AI expands their autonomy while preserving accountability, culture starts to catch up.”

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JOURNAL REPORT

INVESTING MONTHLY

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THE WALL STREET JOURNAL.

Tuesday, September 8, 2026 | **R1**



You Can Give Your Child More Than \$19,000 a Year. Here's How the Gift Tax Really Works.

The tax code makes it easier to give money than many people think

BY PETER COY

AMERICA'S WEALTH divide is increasingly a generational one. From 1989 to 2022, households headed by people age 65 to 74 added \$231,000 to their median net worth, while households headed by people under 35 added just \$20,000, according to Fed-

eral Reserve data. There are several reasons for the widening gap. Older Americans have ridden decades of gains in stocks and real estate, while many younger people are stuck in rentals, struggling with the soaring cost of child care and the burden of student debt. The result is that older Americans *Please turn to page R2*

Few People Challenge Their 'Prior Authorization' Denial. That's Often a Mistake.

Patients denied coverage for a drug or treatment can be successful when they appeal, but it takes evidence and persistence

BY GAIL MARKSJARVIS

WHEN MOST people get "prior authorization" denials from their health insurers, they have a similar reaction: They give up.

There's no point, they figure. But what they don't know is that when people appeal the denials—as they are legally allowed to do—they often win. Almost everyone with private health insurance must go through the prior-authorization process to get approval before filling some prescrip-

tions or getting certain medical tests or procedures. Both patients and doctors complain about denials and delays in the process. Yet few people challenge denials. According to one major survey of people covered by Medicare Advantage health insurance plans, only 11.5% appealed when their insurance originally denied care. That survey, conducted by health-policy researcher KFF, also found that 80.7% of people who do appeal are successful. "Many people give up too soon," says Terry McLellan, a nurse by training and founder of patient advocate firm SunNav Health Care Advocates, McKinney, Texas. McLellan says the keys to success are to urge doctors to *Please turn to page R4*

Inside



Young Money
The unexpected cost of pet care has members of Gen Z rethinking their finances. **R4**

International Investing
Looking to diversify a portfolio heavy with U.S. stocks? Don't let global funds' names fool you. **R5**



Retirement Rookies
While biking around Japan, our columnists realized they've become "accidental pilgrims." **R6**



Silver Linings
Writer Robbie Shell considers whether to cash in family silver since her children don't want it. **R6**



Scan this code to learn why small-cap stocks might be a good bet due to AI speculation.

JOURNAL REPORT | INVESTING MONTHLY



The NYSE when markets reopened on Sept. 17, 2001.

RICHARD DREW/AP

Financial Flashback

A look back at Wall Street Journal headlines from this month in history

25 YEARS AGO ▶

In striking the World Trade Center on Sept. 11, 2001, terrorist hijackers not only reduced the Twin Towers to rubble, but they also struck a blow against the nerve center of U.S. finance. The New York Stock Exchange and other U.S. markets never opened on that Tuesday, and would stay closed for the rest of the week.

When the markets reopened six days later, patriotism flowed freely despite price declines.

A more-prolonged shutdown would have eroded investors’ faith in the markets, officials worried at the time. “Keeping the markets closed shows that terrorists brought you to bay, and it also creates more uncertainty,” said Gary Gensler, a former Treasury official who oversaw financial markets, and a future financial regulator, in a Wall Street Journal article the day after 9/11. Open markets “allow for a lot of economic pressures to be relieved in an orderly way,” he added.

The reopening on Sept. 17, the Monday after 9/11, was a feat that many investors and market officials cheered given the logistical hurdles of working in the shadow of Ground Zero. “The fact we were able to do a complete day of trading without any disruptions is a home run for the marketplace,” Matt DeSalvo, head of North American stock trading at Morgan Stanley, told the Journal that day.

The Dow Jones Industrial Average on Sept. 17 dropped 684.81 points, the steepest point de-



The Wall Street Journal, Sept. 12, 2001

cline ever at that point. But the 7.13% drop was far from the biggest percentage decline, and the fact that markets didn’t fall further was a relief.

Ultimately, it took the market just one month to recover the ground lost after the attacks.

—Simon Constable

30 YEARS AGO ▼

On-Line Investing Flourishes as Brokers Slash Commissions on Computer Trades

50 YEARS AGO ▼

Pound Continues Record-Breaking Fall to Under \$1.69 in ‘Scary’ London Market

The Tax Code Makes It Easier To Give Big Gifts Than Many People Think

Continued from page R1

may have more capacity to give to their children and grandchildren than ever before. And many would rather give the money now, when it can help with a house, child care or other major expenses, than leave it behind after they die.

The good news for families considering such gifts: The tax code makes it easier to give money while you’re alive—with “warm hands,” as the saying goes—than many people realize. Here are some answers to common questions about such giving.

My understanding is that there is a \$19,000 limit on annual giving per recipient. Is that right?

That is a common misunderstanding. That figure is the limit on how much you can give without submitting paperwork to the Internal Revenue Service. As of this year, you can give up to \$19,000 to each of your children, each of their spouses, and each of your grandchildren, every year generally without filing any paperwork to the IRS in the form of a gift-tax return.

Those gifts add up. If you gave one child \$19,000 a year for 30 years, you would have transferred \$570,000. A married couple could give that child \$38,000 a year, or \$1.14 million over 30 years. They could make separate gifts of the same size to the child’s spouse and to each grandchild. Gifts to nonrelatives get the same favorable tax treatment.

And you can give considerably more than that. Gifts above the annual exclusion generally require you to file Form 709 with the IRS, but that doesn’t mean you owe tax. Instead, the excess counts against your lifetime gift-and-estate-tax exemption, which

in 2026 is \$15 million per person, or potentially \$30 million for a married couple.

Say you give your daughter \$100,000 this year. The first \$19,000 falls under the annual exclusion. The remaining \$81,000 counts against your \$15 million lifetime exemption. You would file a gift-tax return, but in most cases you wouldn’t owe any gift tax. In other words, the federal gift tax simply isn’t an issue for most families—even families making quite substantial gifts.

Sounds like I won’t need to worry about Form 709.

Filing is still worth doing even if you’re sure you will never owe anything. Once a gift is adequately disclosed on Form 709, assuming no fraud is involved, the IRS generally has only three years to challenge how it was reported. If it isn’t disclosed on a return, that three-year clock never starts, and the IRS can potentially question the gift years later.

What’s more, your chil-

dren’s mortgage lenders might want documentation that a down-payment contribution from you was a gift, not a loan. The form creates that paper trail.

My friend paid directly for his grandchildren’s tuition. Does that count toward the limits you just described?

No. Tuition payments made directly to a qualifying school, and qualifying medical expenses paid directly to the provider, are entirely excluded from gift tax, with no dollar cap. They don’t count against either the \$19,000 annual exclusion or your lifetime exemption. Note that the education exclusion covers tuition only—not room, board, books or supplies.

What about “529” education-savings plans?

Grandparents love to contribute to 529 plans. And there is a front-loading option that most people don’t know about. The



IRS lets you contribute five years’ worth of annual exclusions at once—namely, up to \$95,000 per beneficiary in 2026, or \$190,000 from a married couple. The money starts compounding immediately instead of trickling in over the five years. But you have to file Form 709 to make that election, and the contribution generally uses up your annual gift-tax exclusion for that beneficiary during those five years.

One newer wrinkle: As of 2024, under the Secure 2.0 law, if a 529 has money left over after a beneficiary finishes school, up to \$35,000 lifetime can be rolled into a Roth IRA for that beneficiary. That reduces use-it-or-lose-it anxiety. (The rollover counts toward the beneficiary’s annual Roth IRA contribution limit, which is \$7,500 for 2026. Only money that’s been in the account at least five years can be rolled over. The beneficiary must have earned income in the rollover year at least equal to the amount of the rollover, and the account must have been open for at least 15 years.)

I was always told that the best way to minimize taxes is to leave appreciated stocks in my estate, so my children inherit them on a “step-up” basis—that is, they won’t owe capital-gains tax on the appreciation of the shares that occurred before they inherited them.

The step-up in cost basis can be extremely valuable. If you give appreciated stock to your children during your lifetime, they generally inherit your cost basis, meaning they could face a big capital-gains tax if they choose to sell. If they inherit the stock at your death, however, the basis generally resets to its market value at that time, potentially eliminating capital-gains tax on all the appreciation that occurred during your lifetime.

On the other hand, if your children or grandchildren have relatively little taxable income, they may be in a low or even zero tax bracket for capital gains. So you could give them assets now, and they could turn around and sell the assets without incurring much if anything in taxes. One caveat: A young child’s or student’s capital gains above \$2,700 are taxed at the

parents’ rate. The tax advantages of keeping your money until you die are often overstated.

How do the new Trump Accounts change the picture?

Trump Accounts went live on July 4 and are still being sorted out by the IRS. The short version: Money grows in them tax-deferred. Parents can contribute up to \$5,000 of after-tax money per year per child under 18, and employers can kick in up to \$2,500. Grandparents can contribute too, but the \$5,000 annual cap is shared across all contributors combined.

Because the child cannot touch the money until age 18, contributions would ordinarily not qualify for the annual \$19,000 exclusion, so donors would have to file a Form 709. But the IRS doesn’t want to be deluged with those forms, so it has come up with a safe harbor that will relieve most taxpayers of the need to submit the 709, says Lawrence Pon, a certified financial planner in Redwood City, Calif. Getting professional help with the paperwork, if you’re in doubt, is probably wise.

One drawback of the Trump Accounts is that 18-year-olds who gain control of the accounts may not handle the windfall responsibly. (And any withdrawals they make are taxable at ordinary income-tax rates, for what it’s worth.) A 529, by contrast, stays under the parent’s control.

So you’re saying I should give away all my money?

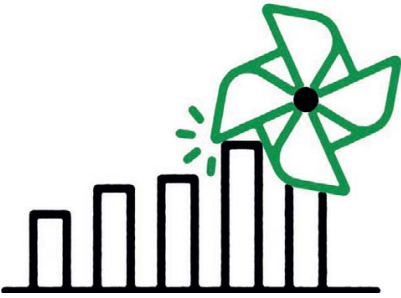
Not at all. A gift is irrevocable, and your own retirement expenses aren’t. The tax code doesn’t ask whether you can afford to give—that is a separate question you have to answer for yourself, and it should come before any tax optimization.

If Medicaid for long-term care is a realistic near-term possibility, be careful: If you make gifts less than five years before applying, Medicaid may assume that you’re trying to impoverish yourself to qualify for the government benefit, and deem you ineligible for Medicaid for a penalty period.

Peter Coy is a writer in New Jersey. He can be reached at reports@wsj.com.

Monthly Monitor • William Power

Stock Funds Are Up 12.6% in 2026



The stock market has lost a lot of its momentum, but fund investors are still having a relatively momentous year.

Investors have plenty to concern them, including inflation, a possible Federal Reserve interest-rate increase and U.S.-Iran tension. And now the momentum has waned for shares, like Nvidia, that are tied to artificial intelligence.

But despite all those headwinds, August was another positive month for U.S. stocks and fund investors, boosted in particular by shares of software companies that posted strong earnings.

The average U.S.-stock mutual fund or exchange-traded fund posted an average total return in the month of 2.4%, according to statistics from LSEG, to push investors’ average year-to-gain to 12.6%. (See Mutual-Fund Yardsticks table at WSJ.com/investingmonthly.)

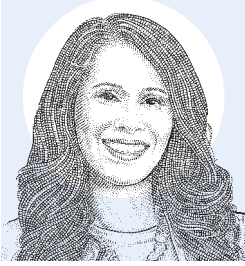
“While the fall months tend to be

against U.S. funds last year, amid tariffs and trade wars—rose 2.1% in August, and are up 13.4% so far in 2026.

Bond funds gained in the month. The average total return of funds focused on investment-grade debt (the most common type of fixed-income fund) were up an average 0.4% to leave them with a 0.3% decline so far in 2026.

Meanwhile, a Treasury selloff has been pushing up global bond yields. Schleif calls that “a not-so-subtle message to policymakers that the bond vigilantes are not thrilled with the current trajectory of fiscal affairs.” Still, those higher yields present more options for investors at a time when they might need them, she adds.

William Power is deputy section editor of Journal Reports. Email him at william.power@wsj.com.



‘Investors are increasingly rewarding fundamentals over all-or-nothing AI narratives. Storylines are always more nuanced than headlines.’

Saira Malik
Chief investment officer, Nuveen

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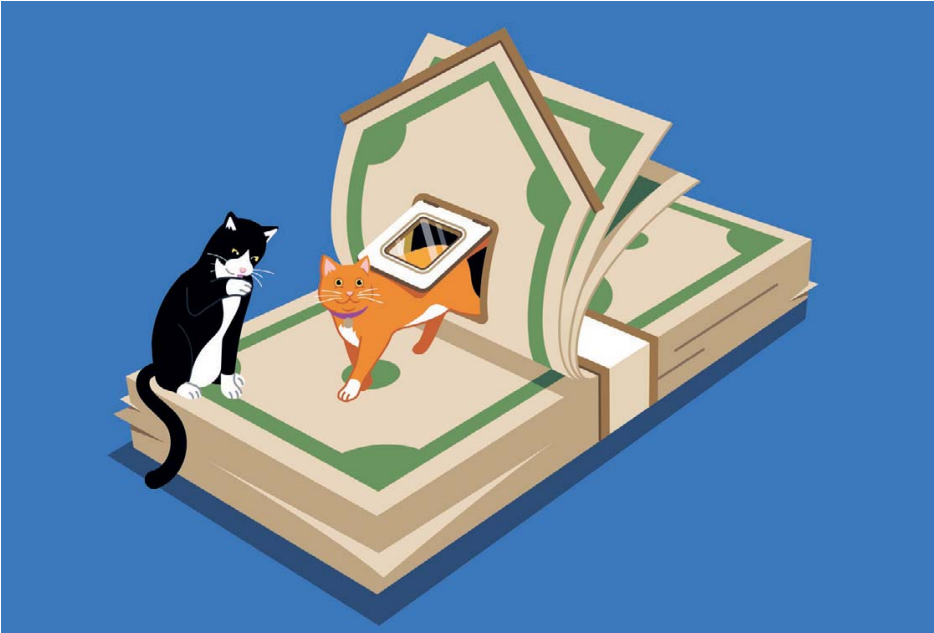


Young Money • Oyin Adedoyin



Young Adults’ Latest Lesson: Balancing Pet Care and Budgets

Pet ownership among Gen Z has spiked, but many are unprepared for the big bills



WHEN we found blood in our cat Gumdrop’s stool earlier this year, my boyfriend, Ean, and I rushed him to the vet. The doctor couldn’t tell us what was wrong with him, but he said a \$800 ultrasound might give us more information.

As Ean and I looked at each other warily, I couldn’t decide which was more ridiculous: that pet care could actually be this expensive or that we were considering paying the \$800.

Turns out, a growing number of young adults are just like us, bringing home furry friends to then be shocked by the cost of caring for them.

Some are like me. We didn’t grow up with pets so we didn’t know what to expect when it comes to the expenses and how to plan for them. Others are like Ean. While they had a childhood pet, their parents shouldered the responsibility and expenses, and the costs of pets were never included in lessons about personal finance. Regardless of our profiles, caring for our furry family members is complicating our budgets.

Households spend an average of about \$1,700 annually on their pets, according to the American Veterinary Medical Association. That can be a strain for younger owners who are just starting out and juggling other bills.

Pet ownership spiked during the pandemic. But while pet ownership eventually stabilized overall, the growth continued for younger Americans. The number of Gen Z households with a pet was up 43% last year compared with 2023, according to the American Pet Products Association.

“The real expansion is coming from Gen Z and millennial pet owners,” says Pete Scott, chief executive of the association.

Rethink emergency funds

Even though Ean and I passed on the ultrasound for Gumdrop, we still had to pay for the office visit and anti-nausea medication. We then decided to get a second opinion from another vet, who took a blood test and encouraged us to put Gumdrop on a wet-food diet. That meant shelling out for an automatic wet feeder since we’re both at work during the day.

We spent more than \$1,200 combined on our pets in that one month—more than the \$1,000 I try to save monthly for my emergency fund. So that got me thinking how I could better prepare for the inevitable future pet bills.

Ashley Bleckner, a wealth adviser at Ellevest in San Diego, says incorporating pet care into a younger person’s limited budget means your emergency fund isn’t just for your own emergencies. It should be expanded to include your pet’s emergencies. She recommends deciding how much of an emergency expense you’re will-

ing to cover while your pet is still healthy and keeping that amount where you can easily access it.

So in addition to food, litter and toys, I’ve added \$100 a month for potential emergency vet visits to the pets part of my budget.

My friend Arran budgets \$200 monthly for his two cats, Chaplin and Mila. He spends about \$80 a month on food and two big bags of litter. Regular vet and vaccine visits typically run him about \$200 annually for both cats, but that can easily double or triple if one cat gets sick, he says.

Arran also has a side hustle—3-D printing plant pots and selling them on Etsy—that earns him from \$300 to \$1,000 monthly. And the proceeds have now become his emergency fund for the cats.

The indirect costs

Pet insurance is one way to mitigate some costs, says Bleckner. It allows pet owners to spread out the risk a little in the event of an emergency. But she adds that insurance isn’t the best option for everyone. Policies typically have limits and exemptions and usually only cover reimbursements, meaning pet owners will still need to cover an expense upfront.

I considered pet insurance for Gumdrop, but he doesn’t qualify for a lot of the policies because of his pre-existing condition. We are planning to get coverage for our other cat, Omelette, while she’s still young and healthy.

My friend Brenna pays \$77 monthly for pet insurance, which she says saved her thousands of dollars when her dog Honey had a bladder infection last year. Still, she says caring for Honey is by far her biggest expense aside from rent. That includes \$1,000 a quarter on doggy daycare and \$300 on annual vet shots, even with pet insurance. Brenna says she sets aside \$300 in her monthly budget for Honey.

There are other indirect costs of pet ownership that particularly

impact younger adults. Arran recently got a new job that requires him to move from Tulsa, Okla., to New York City. Living with a roommate would be significantly cheaper than living alone, but he hasn’t found a potential roommate who doesn’t already have pets or who is OK living with two cats.

He’s currently searching for a studio or a one-bedroom apartment instead, and expanding his rent budget because of it.

And a pit bull named Malta is part of the reason that my friend Anna and her fiancé, Liam, have a car in Brooklyn, where they live. Having a car makes it easier to take Malta to the vet and to visit family and take her along. “I guess it’s like another little toll but it’s obviously worth it,” she says.

Anna and Liam each have \$500 saved in case there’s an unexpected expense. And that emergency fund came in handy when Malta started limping shortly after Anna suffered an ankle injury. By the time a vet examined her, she was running around normally and the vet suggested that she might have faked the injury after watching Anna. Still, that false alarm cost them about \$160.

The long-term benefits

So as my friends and I work through the shorter-term strain pets are having on our spending, we can take solace in some longer-term benefits. Research suggests that having a pet can save people money on healthcare costs in the long run.

Having a dog gets you out on regular walks, for instance. And pets can help alleviate conditions like anxiety and PTSD.

Before I moved to New York, my therapist at the time suggested I consider getting a pet since I would be living solo for the first time. I was skeptical at first. But then I found a pet adoption company online and a photo of a tuxedo cat named Omelette caught my eye. When I met her in person, it was what I could only describe as love at first sight.

Omelette and Gumdrop are now both an important part of my home—and my budget.

Oyin Adedoyin is a personal-finance reporter with The Wall Street Journal. Email her at oyin.adedoyin@wsj.com.

ELIOT WATT FOR WSJ



How to Appeal Your Insurance Carrier’s ‘Prior Authorization’ Denial, and Win

Continued from page R1

provide diagnosis details that precisely target an insurance company’s objections, back up the argument for care with authoritative medical information and studies, and be persistent. Even if an initial appeal fails, patients can take their challenge further for additional reviews.

More specifically, here are the steps she and other advocates say patients should take to win.

Pay attention to words

When an insurer denies a prior-authorization request, the com-

pany sends patients and doctors a letter explaining why. It might deny a drug and designate a cheaper one, or it might say a procedure, test or treatment isn’t medically necessary.

“A good appeal letter addresses every point,” says Abby Zachritz, founder of Advocacy Abby in Gainesville, Fla.

When appealing a denial, patients should go through their medical records to try to pinpoint what may be providing a hurdle and then urge their doctor to add information.

McLellan notes one case in which an insurance company refused an echocardiogram for a patient complaining about heart palpitations because a questionnaire answered by the doctor’s office said the patient didn’t have a history of high blood pressure. But McLellan knew the patient only recently had been diagnosed with high blood pressure, so she had the doctor’s office add the detail to the patient’s paperwork and the insurance company agreed to cover the echocardiogram.

An appeal is likely to fail if a patient simply states that their doctor says they need a certain treatment or test. Patients can bolster their appeals by providing medical-journal articles on clinical studies and medical guidelines that pertain specifically to details of their case.

This can be essential because insurance-company policies are often outdated and don’t list the most effective and current medicine or procedure doctors are using, says Elizabeth Johnson, chief executive of MedicoCX in Boise, Idaho, which helps doctor groups find the clinical studies and other research needed for their patients.

For example, Johnson points to Tezpire, a fairly new drug for treating nasal polyps with injections instead of surgery. It received Food and Drug Administration approval for the polyps procedure in 2025. Yet since many insurance companies were behind in updating their policies to reflect the approval, prior authorizations continued to deny the drug automatically, she says.

Once a clinic provides the information about FDA approval, insurance plans often approve prior authorizations even before they have officially updated their policies, she adds. That has worked for Tezpire.

Work with your doctors

While many doctors don’t have the time or familiarity with prior-authorization appeals to help patients, patient advocates say physicians or their office staff are a crucial part of the process.

“Some doctors will go out of their way [but] others aren’t well versed in the process with insurance and will just try to find something else for the patient” even though an alternative treatment option might not be best, says Jerilyn Arneson, a St. Louis-based patient advocate.

She and other experts advise proactively working with your doctor’s office to appeal wrongful prior-authorization denials. A patient can speed appeals by calling an insurance company to get more information and then providing details to the doctor’s office.

“Before leaving the doctor’s office ask: Who in the office will help me if there is an objection from an insurance company,” says Melissa Paige, president of the National Association of Medication Access & Patient Advocacy. “And ask the doctor for the ‘diagnosis codes’ for your case.”

The codes are used by doctors and insurance companies to classify diseases, symptoms and medical conditions, and are used for billing. These codes can be called ICD-10 or procedure codes.

Since details about a diagnosis can be important for winning an appeal, McLellan sometimes skirts office staff and has patients make an appointment with their doctor so they can directly ask for help with an appeal. She also occasionally tells patients to pay out of pocket for a second doctor to provide a fuller opinion than the original doctor’s.

Know your drugs

Sometimes, insurance companies deny a prescription because it isn’t on their “formulary list”—a list of drugs that an insurance plan says it covers.

If a drug isn’t on the list, a patient’s doctor can ask the insurer to cover it anyway because

a patient needs it and nothing else will work. The request to the insurer may be called a “formulary exception,” or “coverage determination” for Medicare Part D plans.

Yet even when a drug is on an insurer’s formulary list, the insurance company may not immediately agree to cover it, saying that the patient must try another drug—typically a cheaper one that may be listed in the formulary list as Tier 1 or Tier 2. (More-expensive drugs are typically listed as Tier 3 or Tier 4 on the formulary list.)

Trying a cheaper drug instead of a pricier one is called “step therapy.” It means that eventually the insurance company may cover the more expensive drug a doctor ordered, but only if the patient tries another drug first and it fails to work.

To appeal a “step therapy” requirement, the patient and doctor can present medical records about the patient’s past on other medicines. They can argue that a more expensive drug from Tier 3 or Tier 4 on the insurer’s formulary list is essential without delay.

For evidence for the appeal, MedicoCX’s Johnson said she may contact “medical science liaisons”—whose job is to convey scientific information—at pharmaceutical companies who can send articles or data supporting the doctor’s prescription.

Free help might be available from an employer’s benefits office, a hospital advocate or social worker, a State Health Insurance Assistance Program for Medicare, the Medicare Rights Center, the Patient Advocate Foundation or a foundation that helps with certain diseases.

Gail MarksJarvis is a writer in New York. She can be reached at reports@wsj.com.

ALEX NABUM FOR WSJ



Why Your International-Stock Fund May Not Be as U.S.-Free as You Hope

Overseas ETFs may include heavy concentrations of American stocks if you don't know where to look

BY DEBBIE CARLSON

FOR MUCH OF the past decade, investing abroad didn't pay off for U.S. investors as technology stocks powered domestic markets. Now with the S&P 500 lagging behind international markets for the second consecutive year and concerns about the benchmark's heavy tech concentration, overseas stocks have returned to favor.

But investors who want to diversify their portfolios by adding international-stock funds may unwittingly be doubling down on U.S. stocks instead. That is be-

cause although stock index funds with names such as "international," "world" or "global" do provide exposure to foreign stocks, some may own U.S. stocks as well—up to 60% or more in some cases.

"It's important [investors] do some due diligence in terms of the 'how is the index constructed' and what it includes so that they understand what they're actually getting," says Catherine Yoshimoto, director of product management at FTSE Russell.

Consider two popular Vanguard exchange-traded funds that show how the change of one word—world instead of international—changes the funds' makeup: the \$98 billion **Vanguard Total World Stock ETF** (VT) and the \$161 billion **Vanguard Total International Stock ETF** (VXUS).

The world fund has a 62% weight to the U.S. and a one-year return of 24%. Nine of the top 10 holdings of the world fund are identical to Vanguard S&P 500 ETF (VOO), with the difference being the Vanguard world fund has **Taiwan Semiconductor Manufacturing** in its top 10 versus **JPMor-**

gan Chase in the S&P 500 fund.

The international fund has no U.S. exposure, with Japan its largest country weighting at 15%, and a one-year return of 27%.

A methodological mix

So how does a fund labeled world end up with such a heavy dose of U.S. stocks?

The reason comes down to the definitions institutional investors use. Historically, "international" investing meant owning developed markets outside the U.S. As emerging markets began to open to foreign investors, index providers built broader benchmarks—often labeled "world," "global" or a similar variation—that combined developed and emerging markets, and unlike "international" indexes, could include the U.S.

These terms drive returns, says Aniket Ullal, head of ETF research and analytics at CFRA Research, as ETF and mutual-fund providers use the indexes to create the funds.

Yet there is no standard industry definitions nor regulations for

those broad terms when it comes to naming the fund, says Kathy Kellert, head of equity index product at Vanguard.

Index providers such as MSCI, FTSE Russell and S&P Dow Jones use a mix of common and proprietary quantitative and qualitative data—such as economic development, and the size and liquidity of the country's markets—to classify countries into developed and emerging markets.

It is why the world and global funds that include U.S. stocks will look similar to U.S. funds like the S&P 500. MSCI, for instance, defines "world" as developed markets only, so without including emerging markets to counterbalance some of the U.S. stock influence, the percentage overlap with the S&P 500 rises.

How much room a country occupies in the index changes over time, depending on the strength of its economy and companies, said Raman Aylur Subramanian, head of market classification taxonomies at MSCI.

Depending on the index provider, the U.S. now accounts for between 60% to 65% of the

global market capitalization. This isn't an intention to mislead, but rather reflective of the U.S. market's liquidity and American companies' profitability.

What in the world?

How, then, should do-it-yourself investors who already have substantial U.S. holdings proceed?

Ullal suggests looking for funds labeled international rather than global or world funds, unless those world and global funds specify these exclude the U.S. Examples of funds without U.S. exposure include the \$11.8 billion **iShares MSCI ACWI ex-U.S.** (ACWX) or the aforementioned Vanguard Total International Stock ETF.

Ullal says investors might also consider splitting exposure into international developed and emerging-markets funds for geographic and sector diversification.

Such funds include the \$315 billion **Vanguard FTSE Developed Markets Index Fund ETF** (VEA) or the \$193 billion **iShares Core MSCI EAFE ETF** (IEFA). Complementary emerging-market funds from those issuers are \$162 billion **Vanguard FTSE Emerging Markets** (VWO) or \$154.6 billion **iShares Core Emerging Markets ETF** (IEMG).

Investors also should check that the name of the fund and the underlying benchmark align with their expectations. An example is the \$8.4 billion **iShares MSCI World ETF** (URTH). The iShares fund uses the MSCI World Index and its top 10 is identical to the S&P 500, with 26% of its 1,281 holdings in the top 10, and the U.S. comprises 72% of the fund. The iShares fund has 22% one-year return.

In the aforementioned Vanguard Total World Stock ETF, the word "total" is a buyer's first clue that it is more than just developed-market large and mid-cap companies. That fund tracks the performance of FTSE Global All Cap Index, which measures the performance of large, midcap and small-cap companies around the world. That is why the holdings and returns are different from the iShares world fund.

Because of the nuances between indexes and how fund issuers define and disclose what's in the fund, DIY investors may want to avoid a lot of mixing and matching of funds from different issuers, says Neale Ellis, co-chief investment officer at Fidelis Capital. "You may end up doubling up or not getting anything if you're not operating from the same definition," he says.

Debbie Carlson is a financial journalist in Chicago. She can be reached at reports@wsj.com.

IBD Insights

How to Read Buy/Sell Signs From Institutional Investors

Tracking a stock's price range and volume can give individuals clues on big money's demand

BY MIKE JUANG

LIKE DETECTIVES following a suspect's footprints, savvy investors know it's important to read the clues the market is giving. One of the biggest can be found in answering the question: Are institutional investors—the mutual funds, pension funds, hedge funds and other big players that can move stock prices—buying or selling?

Institutional investors leave large footprints in their wake, and that shows up in a stock's trading volume and price.

What to look for

Institutions can keep a stock's price high by snapping up shares as others in the market sell, creating what's called support in a stock. Likewise, institutions want to sell shares when demand is still hot and before the larger market catches on, keeping prices from rising above certain levels. This is called resistance.

Volume is the first important

clue because it points to the big amounts of money only institutional investors can wield. But it's also imperfect.

That's why it's important to also consider the stock's price and trading range. One useful gauge is a stock's up/down volume ratio, which takes a stock's volume on up days and divides it by volume on down days over a 50-day period. A resulting ratio of 2.0 means twice as much up volume occurred on up days as down days, and a ratio below 1.0 points to heavier volume on down days. A neutral ratio of 1.0 points to churn, where neither buyers or sellers are influencing the stock.

Here's where it all comes together. When institutions are buying shares, that action keeps prices at or above a floor of support over a period. The stock tends to finish in the higher end of its weekly price range, and the volume will also be

much higher than normal. This is called accumulation.

Flash memory and data-storage company **Sandisk** provided a good example of accumulation earlier this year. The stock had an impressive run and shares closed near the top of their trading range during the week ended Jan. 6 on heavy volume. This pattern was repeated for several consecutive weeks. The stock pulled back in March, but that was accompanied by lower volume, indicating that institutions were taking a break from buying, and not necessarily selling.

After the pullback, the buying clues reappeared. Sandisk has rocketed more than 500% this year overall amid the artificial-intelligence boom.

Conversely, when a stock

stays lower despite increased volume, it can be a sign that institutions see a stock as overvalued and are eager to sell even as demand remains strong from other investors. This is called distribution.

Trade Desk, an advertising technology company, showed these signs in early 2025 as its newest ad platform received a tepid response from its clients. For several weeks, the stock consistently closed near the lows of its trading range, together with above-average trading volume.

The institutional moves presaged a broader ad-market pullback that accelerated Trade Desk's decline throughout 2025. Shares are now trading at less than one-tenth the stock's \$141 peak from December 2024.

The concept even lends itself to broader markets. A distribution day occurs when the S&P 500 or Nasdaq closes 0.2% lower or more on higher volume. One distribution day doesn't necessarily mean trouble, but many distribution days in a short period is an early warning that institutions are bailing out of the market.

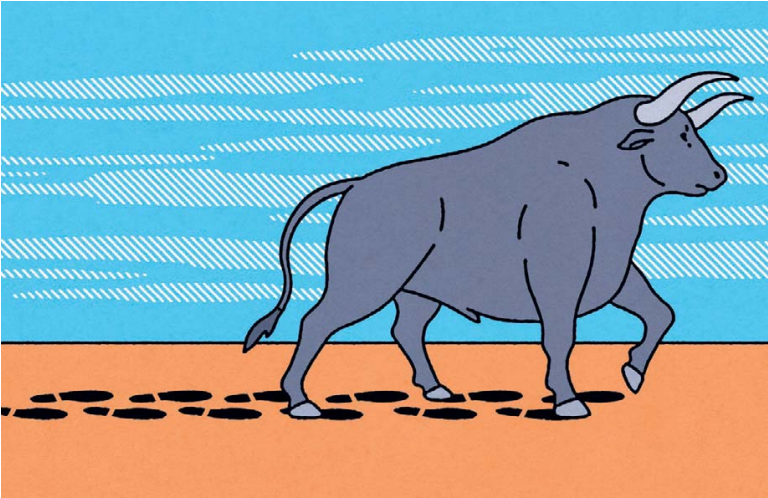
Capitalizing on the clues

Investors don't have to calculate these patterns themselves. Tracking accumulation and distribution can be automated through everyday indicators found in stock-charting tools. Some can help find a stock's average trading volume, making it easy to spot the spikes in volume that institutions leave.

Some more-sophisticated tools can give ratings or create trend lines pointing to buying momentum or selling pressure.

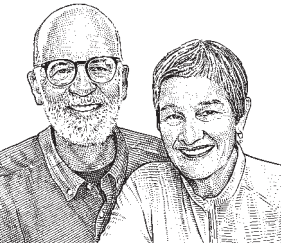
Ultimately, by scrutinizing price ranges and volume, investors can glean how institutional investors feel about a stock's prospects. Then they can add to successful positions or take risks when they know the bulls are behind them—or pull back when things turn bearish.

Mike Juang is a video producer at Investor's Business Daily. He can be reached at reports@wsj.com.



JOURNAL REPORT | INVESTING MONTHLY

Retirement Rookies • Stephen Kreider Yoder and Karen Kreider Yoder



Stephen Kreider Yoder, a long-time Wall Street Journal editor, joined his wife, Karen Kreider Yoder, in retirement in late 2022. In this monthly column, the 69-year-olds chronicle some of the issues they are dealing with in retirement.

STEVE: This has become Karen & Steve's Year of the Pilgrimage.

It began in April in Japan's countryside, took us among Iowa cornfields in July and will lead us home this month down the Pacific Coast.

"I think we've become accidental pilgrims," I said as we pedaled our tandem bike near the southern coast of Shikoku island this spring.

We had cycled that morning to three Buddhist temples near Kochi city and were heading toward a fourth. They were among the 88 temples of the Henro pilgrimage route that traces back 1,200 years and meanders roughly 750 miles around Japan's fourth-largest island.

We hadn't included many Henro temples when planning our six-week Shikoku tour. We aren't Buddhist, we avoid moving in groups and we aren't big on bucket-list travel. Yet, here we were, steering toward our 12th temple of the week.

Pilgrimages inspire some people, we knew from acquaintances who had trekked routes such as the Camino de Santiago in Spain. Retirees seem to find them an adventurous way to spend newfound free time discovering fresh perspectives.

It took Shikoku to enlighten us. Even snobbishly independent travelers like us, we concluded, could find inspiration in the traditions, landscapes, camaraderie and hospitality a pilgrimage offers.

We chose Shikoku because it is one of the world's bike-touring gems, perfect for us slow-moving retirees. It offers quiet roads along coastlines and river gorges and into mountains, among rice paddies and through towns with tiled roofs where villagers pride themselves on their Shikoku hospitality.

Our first epiphany came five days in, after we broke camp un-

How Two Retirees Became 'Accidental Pilgrims'

We have avoided group travel. Then we went on bike trips in Japan and Iowa.

der cherry blossoms above Cape Muroto, Shikoku's southeast tip. We coasted downhill to a spot above the ocean where Hotsumisaki-ji, Temple No. 24 on the Henro pilgrimage, was conveniently on our route.

Early-morning pilgrims had arrived by foot or car, some in traditional white smocks and thatched hats, carrying wooden staves. They pulled tiny candles from pouches and lighted them, burned incense, dropped coins in the offering box and prayed. Some chanted Buddhist mantras.

The effect was magical—the incense clouds, the mantra hum, the breeze off the ocean. We rode on to Temple 25 in the village of Muroto, where the scene played out again. These spiritual spots somehow pulled us into history while planting us in the present.

That night, in a hostel catering to pilgrims, I redid our GPS map to join the Henro route the next day in Kochi. Somewhere around Temple 31, Chikurin-ji, where pilgrims pray to a deity of mental clarity, it became clear: We should rewrite our whole map to add more of the Henro into our 1,250-mile trip.

Our revised route blessed us with hundreds of encounters with pilgrims. Four middle-aged women walking together hailed us cheerily from a rest shelter, an e-biking pilgrim quizzed us on our trip, and scores of others—some traveling on charter buses—approached to laud us with a "kakkoi!" ("cool!") or cheer us along, "gambatte!"

When we ended our accidental pilgrimage at Temple No. 1, Ryozen-ji, we had visited 55 of the 88 Henro temples. A young Japanese pilgrim who had just completed the route took our photo. "You did well," he said.

KAREN: On our second pilgrimage of 2026, we joined devotees on a 390-mile route from one of the world's great rivers to another.



The Yoders, above, near the end of their travels on the Henro pilgrimage route, and at Mr. Pork Chop on their ride across Iowa.

came us, some lawns decorated with vintage Schwinn bicycles. We pitched our tent beside the high-school track and watched buses of Ragbrai participants pull into town, reminding us of the pilgrim busloads in Shikoku.

We immediately found camaraderie among other riders. Some had ridden annually for decades. Others, like us, were what Ragbrai tradition designates "virgins."

At 4:30 a.m., as we were about to take off on the first riding day, a man named Wayne emerged from the dark near the port-a-potties and asked: "May I pray for you?"

"Yes, yes you may," Steve replied. "We'll need all the help we can get." He asked for our safety over the week.

As we rode into the sunrise between cornfields, we began encountering riders we would see often—mostly passing us—on road bikes, folding bikes, recumbents, fixies, e-bikes, tandems, clunkers.

The route was full of ceremony. Children cheered as we

entered towns. High-school bands played in town squares. Main streets were lined with food stalls—pulled pork, pancakes, grilled corn.

We were soon performing the Ragbrai's most sacred ritual: eating pie. We bought pie from church ladies, high-school clubs, a state-fair blue-ribbon winner. We

shared stories with a gooseberry-pie baker, whose mother had trimmed the berries, much as my mother had in her last years. By week's end, we had eaten 16 kinds of pie at least once.

In overnight towns, we made a habit of supping at churches, which offered hospitality and dinners of pasta, lasagna, chicken. And pie.

On the last day, we rode downhill to the Mississippi, where waves of happy cyclists performed one last ritual, dipping their wheels in the river. And there in Dubuque was Wayne, hailing us again, his prayer answered.

On Sunday, we pedaled alone toward Southeast Iowa to visit Steve's father. "This feels like a pilgrimage, too," Steve said. We have rituals there—paying respects to aging aunts and uncles, attending the home church, visiting Steve's mom and little sister in the cemetery, buying pie at the Amish store.

Our Year of the Pilgrimage, we agreed, wasn't just for epic treks but also because, in retirement, our trips increasingly felt like pilgrimages. On other recent visits, to Ohio and Hokkaido, we were paying homage to childhood hometowns probably for the last time. Our bike rides across America since retiring have been epic pilgrimages. In November, we will embark on our annual Amtrak pilgrimage to the Midwest.

This month, we hope to be finishing a legendary cycling pilgrimage, the Pacific Coast Bicycle Route. We've ridden in past years from Canada to Oregon and from San Francisco to the Mexico border.

It's time to fill that gap in the pilgrimage, from Oregon south and across the Golden Gate Bridge. We don't know precisely what the road will bring, except history, scenery, good food, camaraderie, hospitality and enlightenment.

Write to reports@wsj.com.

My Kids Don't Want the Family Silver. Should I Melt It Down for the Money?

I could get a nice cash windfall. Then again, the silver has been in the family for generations.

BY ROBBIE SHELL

DURING ONE of our weekly coffee dates, two friends shared their recent experience at a store that advertises "top dollar" for gold, silver, jewelry, coins and other valuable items. Both women had turned in their family's silver, and both expressed regret over the time it took to complete the task. "It was a relief to get it all sorted," one friend said. "I won't have to bother with it again." Neither woman had second thoughts.

When I looked at all the sterling silver my mother passed on to me that I have never used—and that our adult children have no interest in—I wondered if I should be heading in a similar direction. Gather up all the boxes of silver, take them to a dealer to be

melted down and walk away with a cash windfall. My husband was all for it.

It would certainly be the easy way out, the continuation of a downsizing effort following one of the dictates of retirement—less stuff, more experiences. We have cleared out rugs, chairs, couches, mirrors, prints, dishes, outdated book sets and other items after saving them for years in the hopes that our children would want them (they didn't).

And silver, once turned over to a dealer, would leave us with money we never counted on—like getting a small legacy from a distant aunt who died suddenly and included me in her will. As my husband was quick to note, we could use the money for a family vacation or simply give it to our sons, a gift they would welcome more than

anything else we could offer.

If all this made a strong case for cashing in, then why were boxes of silver still sitting in my basement? Why was I reluctant to take the easy way out?

Works of art

Even in its tarnished state, silver is breathtaking. The place settings, trays, tea set and other items in my collection aren't just relics from a different generation, but works of art that, once melted down, can never be reclaimed or replicated. Being complicit, however reluctantly, in their destruction seemed almost sacrilege.

And while polishing silver was unexpectedly hard work—unlike most of our other cooking/dining possessions that can be tossed into a dishwasher or washing machine—the effort also inspired a sense of satisfaction, an appreciation for the beauty my manual labor uncovered. Like a penitence, their brilliance began to appear from beneath the tarnish.

My final defense of the silver had to do with family: I wanted my mother, or at least the memory of her, to have a say in the debate. Her expectation from the beginning was that I would cherish this gift and pass it on to my children, just as she had done when she passed it on to me. Her conviction showed in the way she packed away every piece, writing my name across the top of each box. Could I ignore the implicit message in her effort?

More than that, they are a reminder of a way of life that was important to the generations that preceded my own. I wondered if at some point my children would regret their decision,

that they would realize not everything they own has to be utilitarian.

The compromise

My husband wasn't buying it: Regret at some future date, and probably never, he said, wasn't a reason to keep "the stuff" around now.

It was hard to argue with his reasoning. Despite my invocation of my mother, the truth is the lifestyle that had once been important to her has never been important to me. And the idea of polishing silver was realistically never going to be part of any household routine.

Our final reckoning? A

compromise: Save a few of the most beautiful pieces and melt down the rest; take the money and donate one-third of it to the Society for the Prevention of Cruelty to Animals, my mother's favorite charity, and one-third to each of our sons.

I like to think of our solution as a reverse form of alchemy. Whereas the alchemists of old sought ways to turn base metals into gold, I am transforming a precious metal into gifts for the most important people in my life, family members past and present.

Robbie Shell is a writer in Philadelphia. She can be reached at reports@wsj.com.



Heirlooms like silver carry emotional value that can be hard to dismiss.